Pro Tip: Don’t be an nincompoop

If someone asks you not to contact them, don’t contact them again. Not because there isn’t a chance it could work. But because for the same effort, you could reach out to someone who isn’t already negatively inclined. It’s just more efficient to turn neutrals to YES than NO to YES. On top of that, you don’t want a bad reputation. That kind of stuff follows you. Try hard because you have a genuine desire to solve their problems, but be respectful.

Second, once you finish contacting your list, start back at the top again. This actually works for three reasons.

One, because they simply may not have seen your first series of messages. Only a fool would think one hundred percent of people see what you put out one hundred percent of the time. So we make up for that discrepancy with follow up.

Two, even if they do see it, it may not have been a good moment to respond. People's schedules change every day. And there are times when people can’t respond to you even if they wanted to. So the more opportunities you give them to respond, the greater the chance they will.

Three, their circumstances may have changed. They might not have needed you then, but need you desperately now. Imagine a person you message about losing weight before the holidays. At that time, they fit into their ‘skinny’ jeans, so they feel no pain. They probably wouldn’t respond. But after they gained ten lbs over the holidays, they may all of a sudden be in desperate need of what you offer. And now, they respond to your reach out attempt. The

only thing that changed was their circumstance. So try again in three to six months and get an entirely new group of engaged leads *from the same list*.

Everything may be right except the timing. So the more times we contact them, the more likely we will catch them at the time they're ready to engage.

Action Step. After you've attempted to contact them multiple times, multiple ways, wait three to six months. Then, do it again.

> **Pro Tip: If You Are New To An Outreach Team, Shadow The Best Guy On The Team.**
>
> Then, double their inputs. If they make 200 calls, make 400. If that means you work more - duh. You will suck before you are good. You can make up for your lack of skill with volume. Volume negates luck. And when you do twice as many, you'll get good in half the time. Once you beat their numbers, then you can get cute and try new things. Replicate before you iterate.

Three Problems Strangers Create → Solved

I wrote the book in this order to build on itself. Start with warm reach outs. Get some reps. Post some content to grow your warm audience. Get even more reps. Then, you'll be ready for cold reach outs.

And now, we solved the three core problems cold audiences create: finding the right list of people, getting them to pay attention to you, and getting them to engage. Victory!

Author Note: For People With Low Ticket Products.

I had trouble making cold outreach profitable when selling for my direct to consumer business. Cold outreach teams are expensive, and my average ticket wasn't high enough. But, I learned I could make a low ticket product→a high ticket product, if I sold a lot at once. So I switched from using cold outreach to get customers, to using cold outreach to get affiliates who got customers for me. There were two ways that worked. Either I'd sell the affiliates lots of products in bulk up front, then they'd sell my products to their customers. Or, I'd use cold outreach to recruit them, then get them to sell my products to their customers, and receive a commission after the sale. One affiliate sale can be worth thousands of customers. Both ways transformed my 'low ticket' sale into a 'high ticket' sale by selling many at once. So the numbers pencil out. If you have trouble using cold outreach for your direct to consumer business, consider going after affiliates instead. More on this in the affiliates chapter later.

Benchmarks–How well am I doing?

The two times I failed at cold outreach I hired people who never tracked metrics well. The third person did. And cold reach outs succeeded. The person who runs it (maybe you) has to know the metrics of the sales process like the back of their hand. Every single stat.

Let's break down the numbers with a couple platform examples. I cannot give an example for every platform because it would take too long. My hope is that you can generalize the concept to whatever platform you use.

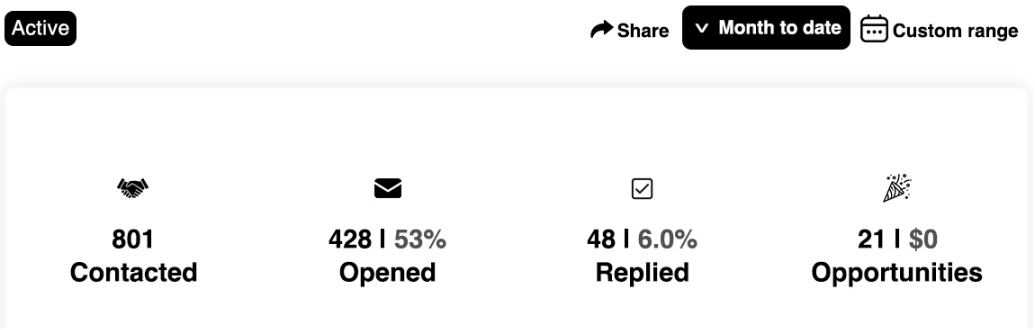
Phone Example

Let's say I make 100 cold calls per day. And, let's say I get a twenty percent pick-up rate. From there, I am able to get twenty-five percent of people to want to take my lead magnet. That means I got four engaged leads. If it took me four hours to make those calls, it means I got one engaged lead per hour. I can do this at first. Once the amount of engaged leads that convert to customers makes me more than it costs to pay a cold outreach rep–I teach someone else to do it for me (more on this in Section IV). So you know you do well when you make at least ***three times*** the lifetime profit of a customer compared to what it costs you to get them.

Email Example

Let's say you send 100 personalized emails per day. From there, thirty percent open our email. From there, 10% reply showing interest. That means we'd have three engaged leads (30% x 10% = 3%). The numbers will vary but shoot for 3% of your list turning into engaged leads. Here's a sample from a new campaign for a very niche high ticket service business in our portfolio. It shows a

4% lead engagement rate. And presumably, a third of them convert into sales. That would net us one new customer per one hundred outreach attempts.



Direct Message Example

Let’s say I make a personal video or record a personal voice memo for one hundred people. I say their name and add one personal line before delivering my standard message. From there, twenty percent of people reply. We now have twenty engaged leads. From there we use the same A-C-A format from the warm outreach section to qualify them for a call and so forth. So like the phone example, you know you do well when the cost of doing cold outreach is less than three times what you make in profit from a customer. Note: You can do WAY better than three times, that’s the bare minimum. For context, the portfolio company above gets over 30:1 returns from its outreach efforts.

Costs

This method is labor intensive. Nearly all costs are in the form of labor. In order to calculate our return on advertising, we add up all labor and software costs associated with steps one through three in the section before last.

Let’s imagine we have a team doing cold calls:

- We pay them $15 per hour and $50 per shown appointment or “shows.”
- We have $3600 in profit per sale.
- Leads cost us ten cents.
- They call 200 leads per day.
- We would likely get about two shows per day from one rep.
- If they worked eight hours per day, we would pay $120 in labor and $100 in show commissions per rep and $20 for the leads.
- This means we would pay $240 for two shows or $120 per show.
- If we closed 33% of shows, our cost to get a client (excluding commissions) would be $360.
- Since we get $3600 profit per new client, we would make a 10:1 return.

That’s how cold outreach works. Then, you just add bodies. It is boring and tedious, but brutally effective.

Pro Tip: Give Each Rep An Explicit Number Of Leads To Work Every Week.

They should care for these leads like they are their children. If you give a rep too many, they will waste them. If someone can work one hundred leads at full capacity, I'll give them seventy-ish. That way, they have time and energy to squeeze everything they can out of the leads they've got. And since all reps get the same amount of leads every week, you can give them absolute quotas for deals. Ex: I give you seventy leads. You give me back seven appointments. I pay you. No leads left behind.

This Sounds Hard, Why Bother?

Most people dramatically underestimate the amount of volume it takes to use cold outreach. They also underestimate how long it takes. But there are seven *enormous* benefits to using cold outreach:

1) You don't need to create lots of content or ads. You focus only on one perfectly crafted message you convey to all your prospects. Your only goal is to make that one message better every day. There is no 'ad fatigue' or 'banner blindness' since your prospects have never seen anything from you. So, you don't need to be a marketing genius to make this work.

2) Your competition won't know what you're doing. Everything is private. By that fact alone, you can continue to operate in secrecy. You are not educating your competitors about how you acquire customers. They don't know what you're doing, or even, that you

exist.

3) It's incredibly reliable. All you have to do to get more is do more. A certain amount of input creates a certain number of responses. It becomes like clockwork, bringing a reliable flow of new engaged leads into your world. You can reverse engineer the amount of sales you want to make to the number of inputs at the top of your lead pathway. Eventually you'll have an equation: for every X people contacted, you get Y customers. Then, you simply solve for X.

   Ex: Let's say for every 100 emails, I get one customer. If I want 100 customers, I need to send 10,000 emails. That's 333 per day. One person can send 111 emails a day. Therefore, I need three people sending emails every day to get 100 customers per month.

4) Fewer platform changes. Private communication is rarely subject to platform changes. Whereas public platforms change rules and algorithms every day. You gotta stay on top of rule changes to remain effective. In contrast, rules for cold calling, door knocking, and cold email have hardly changed in thirty years.

5) Compliance is less painful. Many platforms have stringent rules around claims you can make about the stuff you sell. Some also ban certain industries altogether (tobacco, firearms, cannabis, weight loss, etc.). With cold outreach, you don't need to deal with any of this. You still need to be FTC compliant, but you don't *also* need to worry about platform rules on top. This makes life easier. If you have a phone, you can make money. If you have an email account, you can get leads. This makes you very hard to stop.

6) No spokesperson = Sellable business. If an investor can buy it from you without worrying your business will stop getting customers if you leave….your business is ***far*** more valuable. Having an established outreach team is how we were able to sell Gym Launch. The business could grow without me dancing in front of

the camera or relying on me being super ridiculously good looking (ha!). I don't think they would have wanted to buy us without it, or at least, not for as much.

7) Hard to copy. Even if someone wants to copy your entire cold outreach system, they'll often need to learn how to do each step. And, many steps are invisible. They don't know how you scrape your lists. They don't know how you personalize your messages. They don't know what softwares you use to distribute the messages etc. On top of that, they'd still need to learn how to hire, train, and operate a team of people who can do each step. Once you have a head start, it compounds with time. It becomes very hard to catch you.

Author Note: Belief Breaking Volume - Scaling To 60,000 Emails Per Month

To break your beliefs around what is possible, here's an example. To break past $1,000,000 per month, we automated the entire process of scraping, crafting, and sending emails for one of our portfolio companies. One virtual assistant sends 2000 emails per day using multiple pieces of software. This generates the business 40 engaged leads per day. Note, the response rate dropped because we took out so much personalization. From there, they are able to get 10 percent of engaged leads sold. Meaning, they get four new customers per day. This got them past that 100 customers per month barrier. Fun Facts: They started with us at $250,000 per month (our minimum size requirement for investment at the time). The business makes $20,000 per customer. With four new customers per day, do the math at how big they are now. :)

Your Turn

If you recall our advertising checklist this kicks off your journey to get more engaged leads with cold outreach. You start this as you run out of people to advertise to, or, because you just want more. Here's a sample.

Cold Reach Outs Daily Checklist	
Who:	Yourself
What:	Hook + Lead Magnet/Core Offer
Where:	Any private communication platform
To Whom:	List: Scraped, bought, or software used.
When:	Everyday, 7 days per week
Why:	Get leads to engage to sell stuff
How:	Live calls, voicemail drops, email blasts, text blasts, direct message texts, video messages, voice messages, direct mail pieces, hand written cards, etc.
How Much:	100 Per Day
How Many:	Day 1 - 2x, Day 2 - 2x, Day 7 - 1x
How Long:	As long as it takes.

Pro Tip: Count in 100s

This is a volume game. You will need to do a lot of volume, efficiently, to get the results you want. Don't set a daily goal below 100. And don't stop for 100 days minimum. If you do 100 reach outs for 100 days straight, I promise you will start getting new engaged leads.

Next Up

Now that you have set your commitment for this cold outreach method, we move onto the last thing a single person can do to advertise: run paid ads.

FREE GIFT: Cold Outreach Script Samples

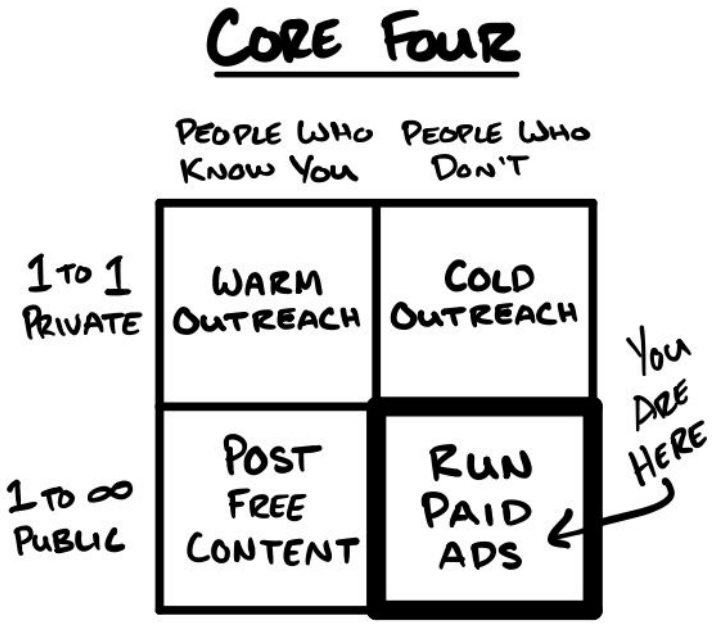
I had to cut scripts to make this book a manageable length. If you want to model your scripts off them, go to: **Acquisition.com/training/leads**. And, if you needed another reason besides 'it'll make you money'....it won't cost you any. It's free. Enjoy. And as always, you can also scan the QR code below if you hate typing.



#4 Run Paid Ads Part I: Making An Ad

How To Publicly Advertise to Strangers

Advertising is the only casino where, with enough skill, you become the house.



June 2013.

“Let’s try some Facebook ads for the gym.” I spouted.

Sam’s eyebrow went up. “They don’t work. I already tried.”

Now this was the brief time between quitting my “real job” and starting my first gym. I wanted some experience. So I cold-emailed more than 40 gym owners for a chance to shadow them. Sam was the only one who responded to my pleas for mentorship. He let me

work at his gym, *with him*, for minimum wage. I'm forever grateful for that opportunity.

"I promise, I really think they'll work." I said. "Let me give it a shot with the stuff I learned from that workshop last weekend. I'll do everything." *That workshop took most of my puny savings.*

Sam leaned back in his chair, crossing his arms. "I'll tell you what. I'll give you a thousand bucks to play with. If you lose it, then you have to shut up about this Facebook stuff. If you make more, I'll split the profit with you."

"Deal."

I worked with a freelancer to get everything set up. We went back and forth until it was "perfect." A few days later, I marched into Sam's office to show him what I'd made.

"It's ready." I said.

He spun his laptop to face me. "Alright, Hormozi. Show me what you've got."

I placed the ugliest ad you've ever seen:

I'M LOOKING FOR 5 CHINO HILLS RESIDENTS TO TAKE PLACE IN A FREE 6 WEEK CHALLENGE. YOU MUST LET US USE YOUR BEFORE AND AFTER PICTURES IN OUR MARKETING IN EXCHANGE FOR THE PROGRAM. CLICK LINK TO SIGN UP:

[LINK]

No images. No videos. No frills. → Just words. ALL CAPS.

The ad went live.

We got leads within hours. I called them all and booked appointments as fast as I could. I also texted them about an hour before to remind them of our appointment. And as soon as they walked in, I started yapping about our six week challenge. I had zero sales skills. My *conviction made up for my lack of skill.* They bought.

I sold 19 people at $299 each. We made just under $5700 from the $1000 investment. True to his word, Sam cut me a check and handed it over. He made it out for $2500. More than my share.

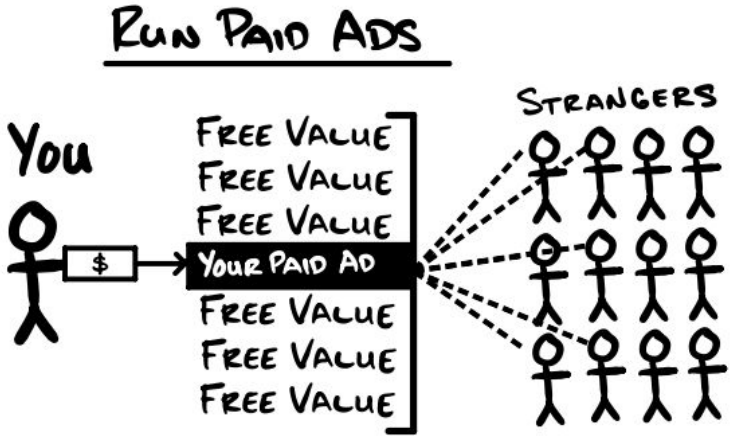
“Sam, this is–”

He cut me off. “Nice work, Hormozi. *Do it again*.”

***

The “6 week challenge” became the biggest promotion in the gym industry. *For seven years*. It drove at least $1.5B in revenue, more by now. I taught it to over 4,500 gyms. And I bet more than 10,000+ gyms used versions of the promotion without licensing it. Maybe you saw ads for it in your local market. And yes, if you’re curious, it got more sophisticated as time went on.

How Paid Ads Work



Paid ads are a way to advertise one-to-many to cold audiences. People who don't know you. Paid ads work by paying another person or business to put your offer in front of *their* audience. Think of it like renting eyeballs or earballs. And because you don't need to spend time building an audience, paid ads are the fastest way to get the most people to see your stuff– You trade money for reach. *A considerable advantage when you know what you're doing*. Ads are riskier. But, when done right, they can get you more leads than any other method.

With warm and cold outreach we have to do more stuff to reach more people. To reach more people with free content, we depend on the platform or audience sharing it if they feel like it. Paid ads are different. The reach is *guaranteed*. But getting your money back isn't. So it's a game of efficiency rather than reach. Let me explain:

In principle, if you paid enough money, you could get every person in the world to see your ad. And, if every person in the world saw your ad, someone would buy. Even if only by accident (ha). So the question isn't "do ads work?" it's "*how well* can you make them work?" In other words, it's a push and pull between how much you spend and how much they buy.

And like cold outreach, paid ads go to colder lower trust audiences. So even with good offers, a smaller percentage of people will respond. And like cold outreach, paid ads get over this hurdle by putting your offer in front of more people. And if an ad isn't profitable, most of the time, it's because the right people *never saw it*. So to make an ad profitable, the right people *have to* see it. This keeps our ads efficient.

This chapter reveals how I create more efficient paid ads by finding needles in the haystack. I start with the entire world as my audience (haystack) then narrow down to get a higher percentage of engaged leads (needles). First, I pick a platform that contains my ideal audience. Second, I use whatever targeting methods that exist within the platform to find them. Third, I craft my ad in a way that ***repels*** anyone else. Finally, I tell whoever's left standing to take the next step. People overcomplicate it. But that's it. That's all we're doing - narrowing down who sees our ad so we have the highest chance of getting the right type of people to respond.

Once we advertise profitably in a small puddle of an audience, we expand to a pond, then a lake, then an ocean. And as the audience gets bigger it does have more of the wrong people, but it has more of the right ones too. So ads decrease in efficiency, but at that point you can afford it. In other words, the ratio between what you spend and how much they buy goes down but the total amount of money you make goes up. So instead of spending $1000 to make $10,000 with $9000 in profit, you spend $100,000 to make $300,000 with $200,000 in profit. Your ratio goes down, but you make more money. So the risk is higher because you spend more. But so is the reward. This means we want to make the audience as big as possible while still turning a profit.

Paid ads give us four new problems to solve. Let's break them down together:

1) Knowing where to advertise

2) Getting the right audience to see it

3) Making the best ad for them to see

4) Getting permission to contact them

Step 1: “But where do I advertise?” → Find a platform where these four things are true



Platforms distribute content to an audience. If you’re not familiar with any available platforms, I invite you to come join me on planet earth. If you’ve ever consumed content, which you have, you’ve directly or indirectly used a platform and been a member of its audience. And wherever there’s an audience, you can usually advertise. So if you want to become a great entrepreneur, you have to learn about them. Here’s what I look for in a platform I want to advertise on:

- I've used it and gotten value from it as a consumer. So I have some idea how it works.

- I can target people on the platform interested in my stuff.

- I know how to format ads specific to the platform (which I’ll dive into in step three).

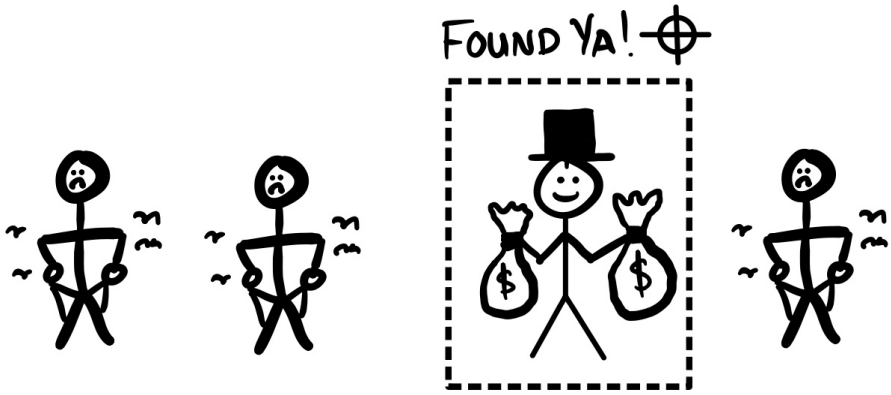
- I have the minimum amount of money to spend to place an ad.

...And yes, platforms change all the time, but these principles stay the same.

> **Pro Tip: Place Ads Where Your Competitors Place Ads (To Start)**
>
> Platforms often have different ad types. For example, on LinkedIn, you can send message ads or you can run newsfeed ads. On Instagram, you can run ads to the newsfeed or stories. On YouTube, you can run ads on the side bar, mid stream, or as pre-roll. So how do you know where to start? Look at the ad placement of other people in your space, and start there. If they can make it work so can you. *Replicate before you iterate.*

Action Steps: Start with one platform that meets the four requirements. And start watching, listening, or reading ads on the platform as a first step to learning how to make one.

Step #2: "But how do I get the right people to see it?" → Target them



So if we start with the entire world, which we kinda do, we need to be a bit more specific. For example, if you choose a platform that has 100,000,000 users, you've already cut out 99% of the world–right off the bat. And, if everyone who buys from you speaks English, you also want to *exclude* the audiences within the platform who don't. If that's half the platform's users, you're already at 99.5% of the world excluded. Specific is good.

The right message to the wrong audience will fall on deaf ears. It doesn't matter how good your ads are. If you're marketing to Florida residents about a local business in Iowa, it's probably not gonna work. So you have only one goal when targeting–get the highest number of people you think will buy your stuff to see your ad.

We did our first round of targeting by selecting our platform. We do the second round *within* the platform itself. Modern advertising platforms have two ways to target. You can use them separately or combine them:

1) Target a lookalike audience. Modern platforms can show your ad to an audience that is similar to, and much bigger than, a list you provide. Advertisers call this a **lookalike audience.** Modern platforms will make lookalike audiences for you so long as you upload their minimum list size. The bigger the list and the higher

quality the contacts, the more responsive the lookalike audience will be. Start with your list of current and previous customers. If your customer list is big enough to meet the platform minimum, use it. If it's not big enough, add your warm reach out list. If it's still not big enough, add your cold reach out leads to hit the minimum. This is exactly what I do. Forcing the list to the right size sometimes makes the lookalike audience too broad. And that's OK because you can…

2) Target with factors of your choosing. Targeting options include: age, income, gender, interests, time, location, etc. For example, if you know no one over forty-five or below twenty-five has ever bought your thing, then exclude anyone outside that range. If you sell car parts then show your ad *during* car shows and *on* car channels. If only people with pets buy your thing, then include pets as an interest. Basic filters on top of the platform-generated lookalike audience are a simple way to get more of the right people to see your ads. End result: more efficient ads.

Pro Tip: Local Targeting

Since local markets are already *tiny* in comparison to national markets, you won't want to add many more filters. Be as specific as possible, but no further. The local market on its own is already .1% of a nation, so you're already pretty narrow.

The more filters you use, the more specific the list. The more specific the list, the more efficient your ads but the faster you will "burn" through it. However, this specificity sets you up to get more wins early on. The wins from smaller specific audiences now give you the money to advertise to larger and broader audiences later. *This is how you scale.*

Action Steps: Bring all your lead lists together into one place. Separate them by past and previous customers, warm outreach, and cold outreach. Eventually, you'll have a list of people that engaged with your paid ads by giving you contact information but didn't buy. That'll come in handy. Then, if the platform allows, use these lists in order of quality to create your lookalike audience. Then, if the platform also allows, add filters on top of your lookalike audience to target an even higher percentage of people to engage with your ad. If you are incapable of making a lookalike audience, then simply start by targeting interests.

Step #3 "But what should my ad say?" → Call Out + Value + Call to Action (CTA)

To this day, I don't change the channel when I see an ad. I rarely mute ads or skip ads. In fact, I have no premium subscriptions that remove ads on any media platforms either. Main reason: I *want* to consume the ads. I *want* to see how businesses do three things. 1) How they call out their ideal customers. 2) How they present the value elements. 3) How they give their audience a call to action. When I look at ads this way, it turns what was once an everyday nuisance (ads) into a continuous learning experience. Consuming ads on purpose, with the core elements in mind, makes me a better advertiser. And it will make you a better one too.

Let's use the three chunks to make an ad.

1) Call Outs - I need to get them to notice my ad

2) Value - I need to get them interested in what I have to offer

3) Calls to Action - I need to tell them what to do next

1) Call Out: ***People noticing your ad is the most important part of the ad…by a lot.***

The purpose of each second of the ad is to sell the next second of the ad. And the headline is the first sale**.** As David Ogilvy says "After you've written your headline, you've spent eighty cents of your advertising dollar." Focus your effort front to back. As crazy as this sounds (and all the pros are nodding their heads), my advertising became 20x more effective when I focused the majority of my effort on the first five seconds. We need the audience's eyes and ears just long enough for them to realize "this is for me, I'll keep paying attention." <u>This "first impression" is the part of the ad I test the most</u>.

Imagine you're at a cocktail party in a big ballroom. Lots of people talking in groups. Loud music playing in the background. In all that noise, a single sound pierces through it all and you turn around. Wanna know the sound? Your name. You hear it, and *instantly* look for the source.

Scientists call it the 'cocktail party effect'. In simple terms, even when there's tons of stuff going on, a single thing can still catch and hold our attention. So our goal with callouts is to harness the cocktail party effect and cut through *all* the noise. After all, if they never notice your ad, nothing else matters.

A **callout** *is whatever you do to get the attention of your audience.* Call outs go from hyperspecific - to get one person's attention - to not at all specific - to get everyone's attention. Let me explain. If someone drops a tray of dishes, *everyone* looks. If a child yells "MOM!", then the *moms* look. If someone says your name, only *you* look. But again, they all get attention. And I try to make my call outs specific enough to get the right people *and* broad enough to get as many of them as I

can. So pay close attention to how advertisers use call outs, especially the ones targeting your audience.

Here's what I look for with verbal callouts- *using words to get attention:*

1) Labels: A word or set of words putting people into a *group*. These include features, traits, titles, places, and other descriptors. Ex: *Clark County Moms* *Gym Owners* *Remote Workers* *I'm looking for XYZ* etc. To be most effective, *your ideal customers need to identify with the label.*

    a) People automatically identify with their local area. So with local ads, the more local, the better. A local ad with "LOCAL AREA + TYPE OF PERSON" callout is *still* one of my all-time favorite ways to get someone's attention. It worked two hundred years ago, it works today, and it'll work tomorrow. So think: Americans < Texans < Dallas Residents < Irving Residents. If you live in Irving, you'll immediately think this ad could affect you. So, it catches your attention.

2) Yes-Questions: Questions where if people answer "yes, that's me" they qualify themselves for the offer. Ex: *Do you wake up to pee more than once a night?* *Do you have trouble tying your shoes?* *Do you have a home worth over $400,000?*

3) If-Then Statements: *If* they meet your conditions *then* you help them make a decision. *If you run over $100,000 per month in ads, we can save you 20% or more... *If you were born between 1978 and 1986 in Muskogee Oklahoma, you may qualify for a class action lawsuit…*If you want to XYZ, then pay attention…*

4) Ridiculous Results: Bizarre, rare, or out of the ordinary stuff someone would want. *Massage studio books out two years in advance. Clients furious.* *This woman lost 50 pounds eating pizza and fired her trainer* *The government is handing out

thousand dollar checks to anyone who can answer three questions* Etc.

Callouts don't have to be just words. They can also be noises or visuals in the environment. Let's go back to the cocktail party. Sure, a dropped tray of dishes would get everyone's attention, but so would the cling*cling*cling* of a knife against a champagne flute. They both get everyone's attention for different reasons–one signals an embarrassing disaster and the other signals important news… *but, in either case, everyone still wants to know what happens next.* So if the platform allows, good advertisers use verbal and nonverbal callouts *together*.

Here's what I look for with nonverbal callouts- *using the setting and spokesperson to get attention:*

1) Contrast: Any stuff that "sticks out" in the first few seconds. The colors. The sounds. The movements etc. Note what catches your attention. Ex:

    a) A bright shirt almost always gets more attention than a black or dull shirt.

    b) Attractive people almost always get more attention than plain looking people.

    c) Moving stuff almost always gets more attention than still stuff.

2) Likeness: Think visually *showing* labels–features, traits, titles, places, and other descriptors that people identify with.

    a) People want to work with people who look, talk, and act in ways familiar to them (and you may not look, talk, or act in ways familiar to them). So if you serve a broad

customer base use more ethnicities, ages, genders, personalities etc. in your ads. If you serve a narrow customer base (ex: medical devices for seniors), then use people who look like them.

i) Quack like a duck**.** If you want to attract ducks, look like a duck, walk like a duck, and quack like a duck. If you want to attract plumbers, dress like a plumber, talk like a plumber, be in a plumbing environment. Even with the same message, your ad will do far better if you look the part (or find people who do).

ii) If you see an ad for doctors, notice the spokesperson. What age are they? Gender? Ethnicity? Are they wearing a lab coat? A stethoscope? Are they in a medical facility? All these things get a specific type of person interested in health related products and services to pay more attention than they would have otherwise.

iii) Mascots also work well because they don't age, never ask for more money, and never take days off. Think Micky Mouse for Disney. The Geico Gecko. Tony the Tiger for Kellogg's. The Michelin Man. etc. A mascot is a great way to create an enduring spokesperson for your business.

iv) <u>Advanced:</u> Whichever likenesses you choose to use, if it's not you, the business becomes less dependent on you and therefore more sellable. You also may just be an ugly son of a gun. Plus, pretty people convert better anyways. Good news is, it doesn't cost much to get a pretty person to

say stuff to a camera.

3) <u>The Scene:</u> Think *showing* the Yes-Questions and If-Then statements.

   Ex: An ad with…

   a) A person tossing and turning in bed calls out people with sleep troubles.

   b) A pear next to an hourglass can call out people with a pear shaped body.

   c) A room full of stuff stacked to the ceiling calls out people with too much junk.

   d) A rock hitting a window calls out people with broken windows.

   e) A local landmark. Locals think - *"Hey, I know that place!"* and pay attention.

Now, this isn't an exhaustive list. *Far* from it. I show you these to pull back the curtain. This way, you can see the infinite ways advertisers cut through the noise, so you can too.

Pro Tip: Infinite Ads

Here's one of the highest ROI tips I can give you about making ads. Record ten or so new ads every week. But, record thirty or more first sentences or questions to begin the ad. Think five second clips. These are the call outs people consume before deciding to watch more. With thirty callouts and ten main ads you can make three hundred variations in a matter of hours. Once you know the best callout, you apply it to all ads.

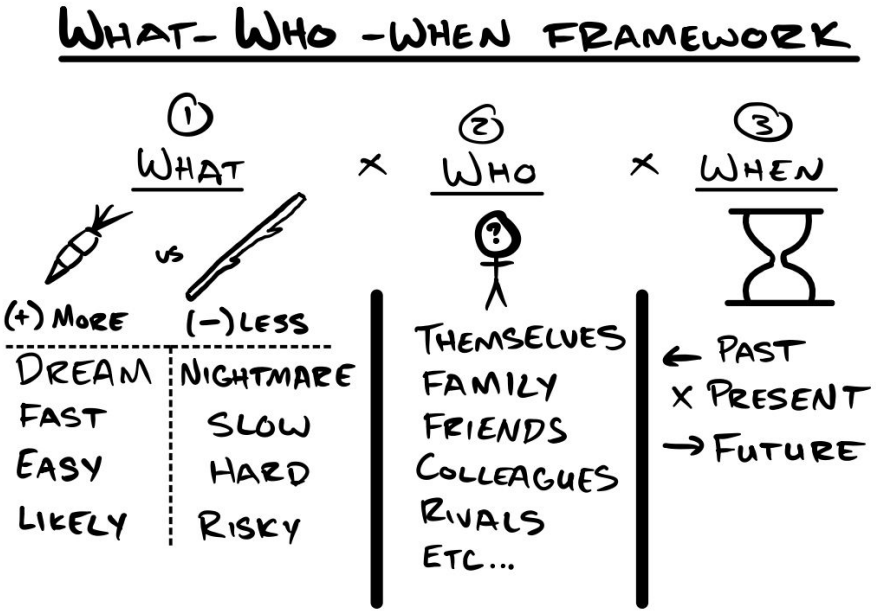
Action Step: I'm always impressed with the clever and innovative ways advertisers call out their prospects. So instead of muting or hitting "skip ad" *look for the call outs*. Become a student of the game. My goal is that for the rest of your life when you see an ad *you turn up the volume.*

Now, once they've noticed our ad, it leads us to the second chunk of the ad–we need to get them interested…

2) **Get Them Interested.** If people think an offer or lead magnet has big benefits and tiny costs, they value it. And they'll exchange money or contact information to get it. But if the cost outweighs the benefits, they don't value it, and they won't. *So the best ads make the benefits look as big as possible and the costs look as small as possible*. This makes an offer or lead magnet as valuable as it can be and gets the most engaged leads because of it.

A good advertisement, paid or not, uses clear and simple ways to answer the question: *why should I be interested in your thing?* It tells people why they should want your lead magnet or offer. Now, there are a million ways to do this, but I'll share with you my What-Who-

When Framework. This mental framework hinges on knowing the value equation forwards *and backwards*. So all you have to do is know eight key things about your own product or service: how it fulfills each element of value for your prospect, and how it helps them avoid their hidden costs (remember those?). Think of them like carrots vs sticks. How your offer delivers more good stuff *and* less bad stuff. Then think of the perspectives of the people who would experience them (Who). And finally, what time period (When) they'd have these experiences (positive or negative).



In the words of David Ogilvy "The customer isn't a moron. She's your wife." So you know what that means? *Write to her*. Ads cause the prospect to think questions to themselves. And a good ad answers those questions at precisely the time they think it. So if you can answer what they're thinking with your ad, using the words they'd use, you've won.

So let's start with <u>The What:</u> Eight Key Elements

- **Dream Outcome**: A good ad will show and tell the maximum benefit the prospect can achieve using the thing you sell. It should align with the ideal prospect's dream outcome for that sort of product or service. These are the results they experience after buying the thing.

    - **Opposite - Nightmare**: A good ad will also show them the worst possible hassles, pain, etc. of going without your solution. In short - the bad stuff they'll experience if they don't buy.

- **Perceived Likelihood of Achievement**: Because of past failures, we assume that even when we buy, there's a *risk* we don't get what we want. Lower perceived risk by minimizing or explaining away past failures, emphasizing the success of people like them, giving assurances by authority, guarantees, and how what you have to offer will at least give them a better chance of success than what they currently do, etc.

    - **Opposite - Risk**: A good ad will also show them how risky it is to *not* act. What will their life be like if they carried on as they always have? Show how they will repeat their past failures and how their problems will get bigger ***and*** worse…

- **Time Delay**: A good ad will also show them how slow their current trajectory is or that they'll *never* get what they want at their current rate…

    - **Opposite - Speed**: To get things we want - we know we have to spend time getting them. A good ad will *show* and *tell* how much faster they will get the thing they want.

- **Effort and Sacrifice**: A good ad will also show them the amount of work and skill they'll need to get the result *without* your solution. And, how they'll be forced to keep giving up

the things they love and continue suffering from the things they hate. Or worse, that they work hard and sacrifice a ton right now… and have gotten…*nowhere*. In other words, they waste more time and money doing what they currently do than if they just bought our darn solution!

- **Opposite - Ease**: To get things we want - we know we have to change *something*. But we then assume we have to do stuff we hate and give up stuff we love. And ease comes from a lack of needed *work* or *skill*. A good ad disproves the assumption. It tells and shows how you can avoid the stuff you hate doing, do more of the stuff you love doing, without working hard, or having a lot of skill and *still* get the dream outcome.

Those are the 8 key elements. Now we fully understand The What – how we deliver the four value elements, and how we avoid their four opposites. We now go to the next W - The Who.



Who: Humans are primarily status driven. And the status of one human comes from how the other humans treat them. So if your product or service changes how other people treat your customer, which it does in some way, it *pays* to show how. And talking about the value elements from someone else's perspective shows all the ways it'll improve the status of your customer. So we want to outline two groups of people. The first group is the people gaining status, your customers. The second group is the people giving it to

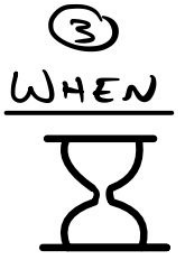
them: Spouse, Kids, Parents, Extended Family, Colleagues, Bosses, Friends, Rivals, Competitors, etc.

All of these perspectives give us different opportunities to show how the prospect's status may improve. And - they give us a *ton* of bonus benefits. As in, if you lose weight, do your kids have a new role model? Does your spouse now decide to get healthy too? Are you more likely to get promoted at work? Science says - yes. Does your frenemy no longer make those little jabs at dinner?

Let's do business examples. If I said something was risk free, I want to spell out how *their spouse* won't nag them about the purchase since there's no risk. I'd talk about how their kids would notice they weren't as stressed or distracted anymore about work. How their competitors notice their phones don't ring as much because all their customers are flowing to your new customer. How their business owner buddies say "business must be good" when they pull up in their new car at the golf range. You get the idea. These are all added benefits to the prospect we'd miss out on if we *only* looked at it from their own perspective.

And, we can apply each new <u>who</u> perspective to each value driver. This is how you get so many different stories, examples, angles, etc., to describe the benefits (more carrot and less stick).

That leads me to the third lens of the What-Who-When framework - <u>The When</u>.



When: People often only think of how their decisions affect the here and now. But if we want to be extra compelling (and we do), we should also explain what their decisions led to in the past *and* what their decisions *could* lead to in the future. We do this by getting them to visualize through their own timeline (past–present–future). This way, we help them to see the consequences of their decision (or indecision) *right now*.

Let's use the weight loss example from earlier *from their perspective*. We'd show them getting teased as a kid (past) struggling to button their favorite pair of jeans (present) or moving up *yet another* belt loop (future). What does that nightmare look like to their spouse? To their rivals? How embarrassing!

Remember, we can also run the same timeline through *someone else's* perspective. Their kid asking why other kids make fun of them (because they passed on bad food habits) (past), or how their kids complain now that the other kids' dads participate at practice when they don't (present), or how their doctor said they might not walk their daughter down the aisle at her wedding (future). Note: this is all the *bad stuff* they want to avoid. Our next copy elements would contrast those with the good stuff that could happen (present and future) *if they buy our thing*.

We use both towards good stuff and away from bad stuff then combine it with the past, present, and future of the prospect's life to create *powerful* motivators in our copy.

Putting the What, the Who, and the When together, we answer *WHY they should be interested.*

If I continued on with the weight loss thing, I might talk about how:

Their spouse (WHO) *will perceive how fast* (WHAT) *they fit into 'that suit your wife loves that didn't fit but does now' in the future* (WHEN). *Or, how their kids* (WHO) *month after month* (WHEN) *got more interested in eating healthy and tagging along during workouts* (WHAT). *Or, how they* (WHO) *catch a look at themselves in a reflection in the mall in a few months* (WHEN) *and realize 'stuff actually fits me in this store'* (WHAT).

Pro Tip: Make Your Ads As Specific As You Can But No Specific-er

The more specific your copy the more efficient it can get, but also the longer it tends to get. And if it gets too long for the platform it lowers efficiency. So make the *ad in its entirety* as specific as you can in the most efficient space you've got. If you've got audio and visuals at your disposal then use *contrast, likeness,* and the scene itself to match your copy – It becomes more specific without getting any longer. And this makes your ad even more efficient and profitable.

When we combine:

- everything we can to get the prospect going *toward* the four value drivers, while also getting them *away from* their opposites
- the many perspectives we can show them gaining status, *and*

- different timelines for each…

…This adds up to *why* they should be interested. And now we have a lot of ways to get them interested! And - the more angles we cover, the more interested they'll become.

Also - since you asked - the only difference between long ads and short ads is how many angles we have time to cover from the copywriting framework. Longer ads use more. Shorter ads use fewer. So add or take away based on the platform, but keep the callouts (the first few seconds) and CTAs (what to do next) the same.

Pro Tip: Get Unlimited Inspiration.

Many platforms have a database of ads past and present. As of this moment, if you search "[PLATFORM] ad library" in a search engine, in a few clicks you will find them. If you see an ad that runs for a long time (a month or more), assume it's profitable. Then, take notes on the callouts they use, how they illustrate the value elements, and their CTAs. Look for the words they use *and* how they demonstrate them. Break down fifty or so ads and you will have a massive head start to creating winners of your own.

Action Steps: Get as many advertising angles with your offer as you can with the What-Who-When framework.

What: Know the eight key things about your own product or service. How it fulfills each element of value, and how it helps avoid their opposites.

Who: Show how the eight key things about your product or service can change *your prospect's* status. Then, show how *the people they know* give status to the prospect when they buy your thing or take status away if they don't.

When: Get the prospect to see the consequences of buying and not buying through their past, present, and future. Especially through their change in status with people they know. This way, we help them to see the value of their decision (or indecision) at this very moment.

Author Note: You Don't Need to Become a Copywriting Expert.

I'm certainly not. And if I thought copy was the limiter for most, I'd have spent more time on it. Sure, world class entrepreneurs have copywriting skills. But, world class copywriters don't necessarily have entrepreneurial skills. *Don't sacrifice one for the other*. If you explain your offer clearly using the What-Who-When framework, you'll have enough skill to remove copywriting as a limiter on your growth. And that's all you have to do–get good enough to grow. After all, if you call out the right people and have an amazing offer, you barely need any copy to begin with. *You just gotta explain your offer.* Get good enough to make your ads profitable, then scale and see what breaks next.

I also include a few more ad tips and tricks that have served me well in the lessons at the end of the chapter. But even if you never use them, there's only one more thing you'll need to turn these interested folks into engaged leads…

3) CTA - Tell Them What To Do Next

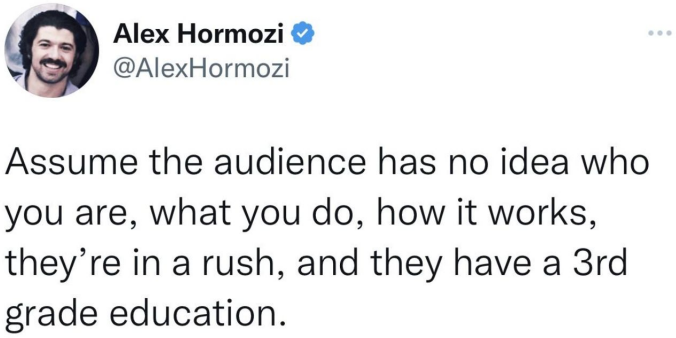
If your ad got them interested, then your audience will have huge motivation… for a tiny time. Take advantage. Tell them *exactly* what to do next. S-P-E-L-L it out: Click this button. Call this number. Reply with "YES." Go to this website. Scan this QR Code (wink). So many ads *still* don't do this. Your audience can only know what to do if you tell them.

Make CTAs quick and easy. Easy phone numbers, obvious buttons, simple websites. For example, a common CTA is to direct the audience to a website. So make your web address short and memorable:

Instead of… alexsprivateequityfirm.com/free-book-and-course2782

Use.. acquisition.com/training

Note: This comes from a guy who spent $370,000 on a single word domain Acquisition.com. So, I may overvalue easy domains, but I don't think I do. I think everyone else *under*values them. Just my two cents.

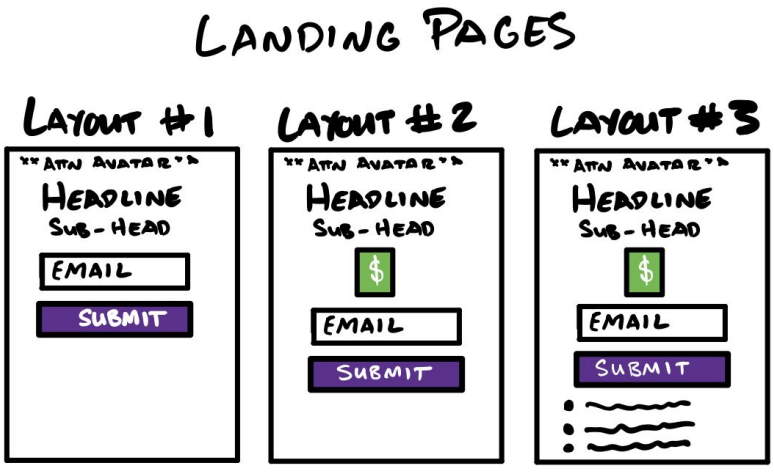


Beyond these basics which most still forget, you can also use all the tactics like urgency, scarcity, and bonuses from “Step 7” from the “engage your leads” chapter to make even stronger CTAs. They apply here, and everywhere else you tell your audience to do something.

So we can now pick a platform to advertise on, target who we show our ads to, make the ads they see, and tell them what to do next. All we have to do now is get their contact information.

Step #4 “How do I get their info?” → Get Permission To Contact Them

After they take the action–Get. Their. Contact. Information**.** My favorite way to get contact information is a simple landing page. Don’t overthink it. The simpler your landing page, the easier it is to test. Focus on the words and the image. Here are my three favorite templates. Pick one and start testing.



And make your landing pages match your ads. People click an ad because you promised them some benefit. So carry that same look and language over to your landing page. Make sure what you promised in your ad is what you deliver. This sounds simple, but a lot of people forget, and waste money until they remember it. You don't want to end up with some Frankenstein experience where everything looks different. You want a continuous experience from "click to close."

Get more people through more steps. In Robert Cialdini's seminal work, *Influence*, he shows that people like to think of themselves as consistent. So, if you remind them of the action they just took (CTA), and show how taking the next action aligns with it, you'll get more people to take the second action (Contact Info). For example, "Now that you just did A, you need to do B to get the most of A." *Or* "Doing A makes you a 'doing A' kind of person. Doing A kind of people, do B."

To be clear, we aren't selling anything. We are asking if they're interested in the stuff we sell. And if they're interested, they'll give us a way to tell them more about it. And when they do, they become engaged leads. Woo!

Action Step: Build your first landing page. I wasted four years feeling too scared to make a landing page. When I finally tried, I finished before lunch. Nowadays there are tons of "drag and drop" tools to build websites in minutes. And if you're still worried about it, freelancers will build a site, probably using those same drag and drop tools, on the cheap. So just get it done.

→ **Now, you have engaged leads from paid ads!** Hooray! We did it!

Run Paid Ads Part I Conclusion

What *has to* happen for advertising to work? Well, we have to show our ad to the right people. So, we pick the right platform and target the people within that platform that have the highest percentage of our audience. Once we do that, we have to get them to notice our ad. Once they notice it, they have to consume it to get a reason to take action now rather than later. We do that using the value equation. And demonstrate it in the past, present and future, from their perspective and the perspectives of the people they know. And once they have a reason to take action, they have to have a way to give us permission to contact them. *That action turns them into an engaged lead*. And since those things gotta happen, they slowly but surely became the three core elements of every ad I create:

1) Callouts (for them to notice it)

2) Value Elements (to give them reason to do something)

3) Calls to action (to give them a way to do it)

Now… only one question remains…how efficient are we? Let's talk about money stuff.

#4 Run Paid Ads Part II: Money Stuff

“I’m just trying to buy a dolla’ and sell it for two” - Proposition Joe, The Wire

We focus on efficiency with paid ads throughout this chapter and the last one because *efficiency matters more than creativity.* All advertising works. The only thing that differs between advertisements is how *well* they work. Maybe people get crazy about making paid ads because they have words like “copy” and “creative” and “media” then get hyper-focused on getting all that stuff “perfect” (as if you can). You can tweak all day and night… until the cows come home! The reality is that paid ads, any advertising really, is all about *the return on your investment.* And with paid ads it gets clear as day because you put X dollars in for people to see the ad and get Y dollars out if they buy your stuff. So if you want a *$100M leads* machine, you just need to get it "good enough" to scale. Why? Because good enough is good enough.

Since efficiency matters most, we want to be as efficient as possible so we can scale as much as possible. That way, we get as many leads as our little heart’s desire.

That being said, there’s enough nuance to scaling paid ads that it felt better to break it into its own chapter. This chapter answers four big questions about ads as I understand them:

- How much do I spend? → Three Phases of Scaling Ads
- How do I know how well I’m doing? → Cost & Benchmarks

- If my ads aren’t profitable, how do I fix it? →Client Financed Acquisition.

- What do I wish I had known before I ran my first paid ad? →Lessons

“But how much do I spend on paid ads?”→ The Three Phases of Scaling Paid Ads

There are three stages to spending money on ads as I see it.

Phase One: Track Money

Phase Two: Lose Money

Phase Three: Print Money

Let’s break them down together.

Phase One: *Track Money.* Before spending a dollar on ads, set everything up so you can accurately track your returns. If you don’t track, you’re gonna get cleaned out. It would be like going to a casino and playing your favorite game for as long as you felt like it rather than for as long as you could afford it. But, once you have tracking, you can do more of the stuff that makes you money and less of the stuff that doesn't. It rigs the game in your favor. So get a consultant, watch tutorials, and get it set up. End of story. Once you have the tracking, you can start losing money like a pro (wink).

<u>Phase Two</u>: *Lose money* (half-joking). I prefer to call it 'investing in a money printing machine.' After all, when running paid ads, you pay first. So your bank account has to go down before it comes up.

I emphasize this because I'd rather prepare you: *you're gonna lose money*. In fact, I've lost money more *times* than I've made money running paid ads. But every time I make money with paid ads, I make back everything I lost, *and then a bunch more.* So the number of times I lose is high but the amount I lose is low because I know when to shut it down. And my number of wins is low but the amount I win is very high because I know when to hit the gas. So, think of it like this.

Imagine I spend $100 on ten ads - $1,000 in total. Nine of them lose all $100. Then, one of them makes $500 back for the $100 I spent. I'm still down $500. Many people stop here because they see a $500 dollar loss. But not us. We see a winner. So now we buckle up and 100x down. We spend $10,000 on the winning ad and make $50,000 back.

Note: I still lost *nine times*, but the *one time* I won, I won big. And this is important, because you might lose, nine or ninety-nine times in a row before you win big. But, to win big, you have to see the winners and *double, triple, quadruple, 10x down on them*. This is why paid advertising is a lot like a casino. You'll often lose in the beginning to learn the game. But - with enough skill - you eventually become the house. That being said, during this "lose money" phase, you can still be smart about it. Here's how I do it.

I budget two times the cash I collect from a customer in thirty days (<u>not</u> LTGP) when testing new ads. I wasted tons of money letting ads run too long before I realized they sucked. But on the flipside, I've lost even more money by giving up on ads before I

gave them a chance. Eventually, I hit a sweet spot by budgeting two times the cash I collected from a new customer in the first thirty days to test a new ad. For example, if I know I make $100 in profit from a customer in the first thirty days, I'll let an ad go up to $200 in spend before shutting it off (as long as I'm getting leads). If I'm not getting any leads from an ad at all, before I spend 1x thirty-day cash I shut it off ($100 in the example).

It costs money to build an advertising machine. I worked with a business that took a year to get paid ads profitable. It was tough. But other businesses in their space ran profitable ads which meant *we could too*. Once they were profitable, they made their year's worth of 'wasted' money back in the *next month*. It costs money to build an advertising machine…and that's *normal*. Just make sure you measure the returns over a long time horizon, not next week. Can you think of anything more valuable than a machine that prints money? It would be unreasonable for it be cheap (or easy). Once you start making more money than it costs you to make it, you're in phase three.

Phase Three: *Print Money.* If you're making back more money than you spend - the answer is simple - *spend as much as you can*. After all, if you had a magic machine that gave you $10 for every $1 you put into it, what would your budget be? Right. All the money. But realistically, you probably have some other constraint on your business that prevents you from unlimited customers coming in. So here's how I scale my budget.

Instead of asking "How much money should I spend on an ad?" I ask "How many customers do I want?" or "How many customers can I handle?" So once ads break even or better, I reverse my budget from my sales goals. If I can only handle 100 customers next month, and customers cost me $100 to get, I'd need to spend $10,000 to get them (100 x $100). But since ads get less efficient as they scale, I usually pad the budget by twenty percent. So that

means $12,000 over thirty days, or $400 per day in ad spend. I reverse my daily ad budget from my lead-getting goal. Then, *I commit to it*. If the number terrifies you, then you're doing it right. Trust the data. This is how you scale. And that's why most people never do.

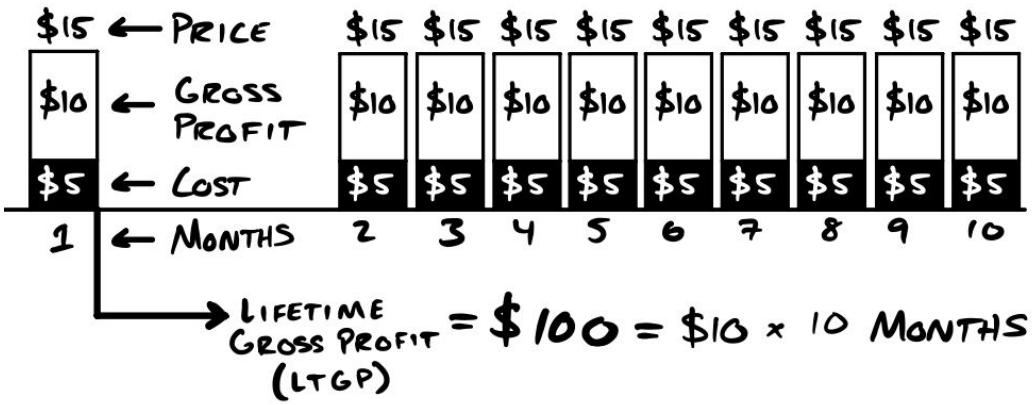
"How well am I doing?" - Cost & Returns - Efficiency Benchmarks

Efficient paid ads make more money than they cost. If that sounds painfully obvious, good. You've already got most people beat. I measure paid ad efficiency by comparing the lifetime gross profit of a customer (LTGP) with the cost to acquire a customer (CAC). I express this ratio as LTGP to CAC.

I Measure LTGP Instead of "Lifetime Value" or "LTV"

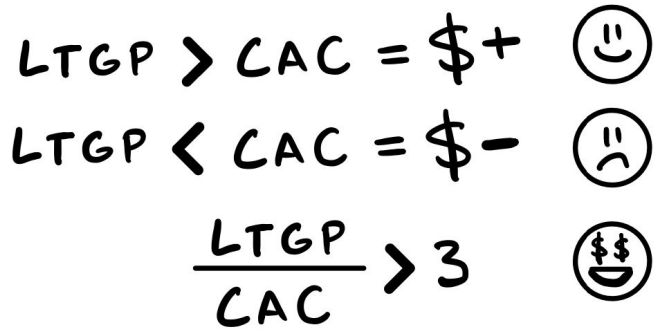
Lifetime gross profit is all the money a customer ever spends on your stuff minus all the money it takes to deliver it. For example, if a customer buys something for $15 and it costs $5 to deliver it, your gross profit is $10. So if that customer buys ten things over their lifetime, then they bought a total of $150 in stuff. But it cost you a total of $50 to deliver that stuff. That makes the lifetime gross profit $100.

Gross profit is important in general because it's the actual money you use to acquire customers, pay rent, cover payroll, and... everything else to run your business.



So if you've ever heard me say "I'm getting 3 to 1 on this" I refer to my LTGP-to-CAC ratio. I compare how much I made against how much I spent. So if LTGP is greater than CAC, you have profitable advertising. If it's lower than CAC, you're losing money.

What's a good LTGP to CAC ratio? Every business I invest in that struggles to scale has at least one thing in common - their LTGP to CAC ratio was *less than* 3 to 1. As soon as I get it above 3 to 1 (either through decreasing CAC or increasing LTGP), they take off. *This is a pattern I personally observed, not a rule.*



You have two big levers to improving LTGP:CAC:

- Make CAC lower - Get cheaper customers. We do this with more efficient ads following the steps we just outlined.

- Make LTGP higher - Increase how much you make per customer. We do this with a better business model.

For maximum money… *I prefer to do both*.

For example, if you made a billion dollars per customer, then you could spend nine hundred and ninety-nine million dollars to get a customer and *still* have a million dollars leftover. You could spend pretty much whatever it takes to get a customer. No matter how crappy your ads - you'd still probably win. On the flip side, if you made one cent per customer, you'd have to get each customer for *less than a penny* to make it work. Even with the best ads, you'd fail.

I bring this up because we speak with hundreds of entrepreneurs every month. They often think they have crappy ads (high CAC) when, in reality, they have a crappy business model (Low LTGP). Here's a finding that will probably surprise you as much as it surprised me. The cost to acquire customers, between competitors in the same industry, is <u>much closer than you'd think</u>. The difference between the winners and the losers is *how much they make off each customer*.

So how do you know if it's your ads or your business model that needs work? I use the industry average CAC as my guide. Research your industry averages for the cost to acquire customers. If your CAC is below 3x your industry average (good), *focus on your business model* (LTGP). If your CAC is above 3x the average (bad), *focus on your advertising* (CAC).

Things can only get so cheap. Eventually you just gotta make more. Think about it like this– lowering the cost of getting a customer by $100 will eventually take more work than making an

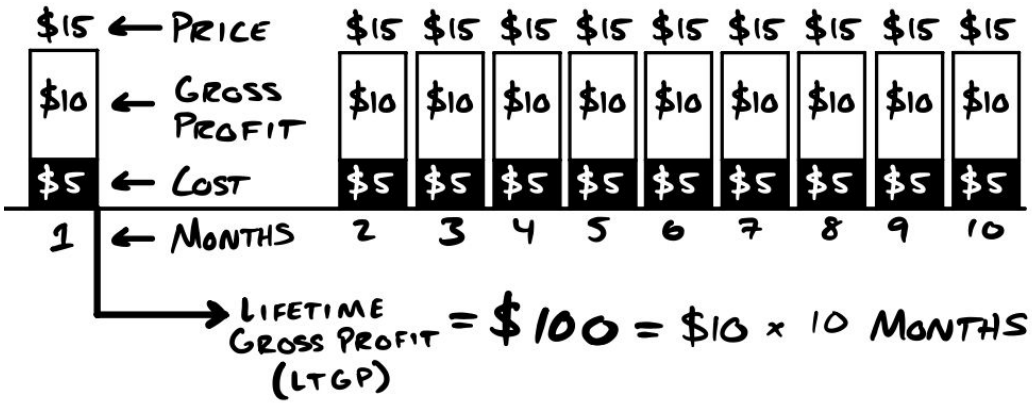
extra $100 from them. So once your cost is low enough, focus on your business model. Costs can only approach zero but how much you make can go up to infinity. Increasing advertising efficiency beyond a certain point is like trying to “save your way” to a billion dollars. You feel like you’re making progress, but you’re never gonna get there.

“My ads aren’t profitable, how do I fix it?” → Client Financed Acquisition

For many businesses, LTGP is bigger than CAC. Yay. But *not after the first purchase.* Boo. The profit from the customer’s *first purchase* is often less than the cost to get them. It can take many months to collect the full LTGP. So you get your money later instead of now. This cash flow problem cripples your ability to scale ads and get more customers. Boo again.

But… if your customer spends more than it costs you to get ***and*** fulfill them–in the first 30 days–then you have the funds to scale *now* and *forever.* I call this **client financed acquisition.**

I pick thirty days because any business can get interest free money for thirty days in the form of a credit card. And if we make more than the cost to get and fulfill the customer in the first thirty days, we square our balance. Now, we have zero debt and a new customer which we can keep profiting from forever. Then, we repeat the process. Money is no longer your bottleneck. This is the key to limitless scale. *I repeat the same image above so you can reference it.*



Let’s see client financed acquisition in action:

- Say we have a $15 per month membership that costs us $5 to deliver. That leaves us $10 gross profit left over.

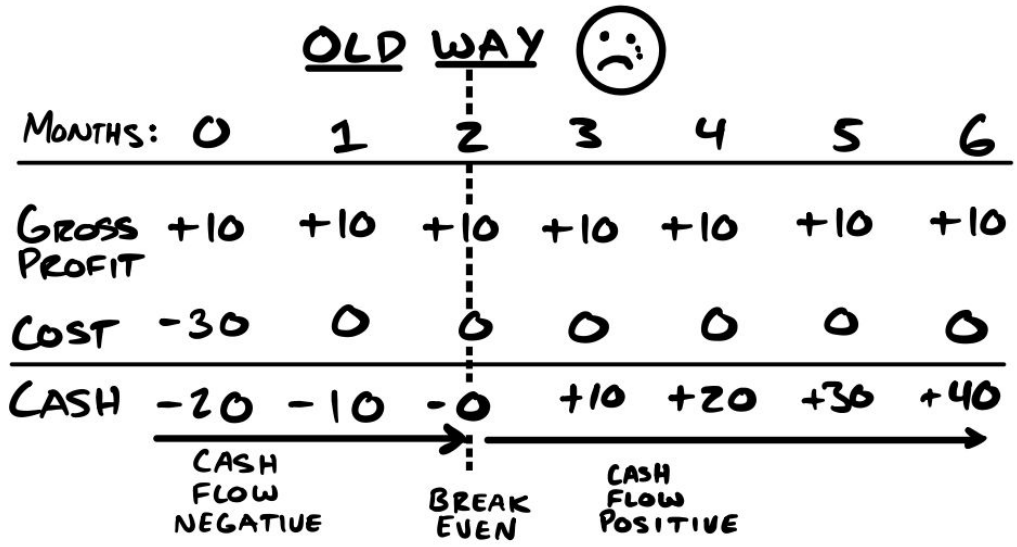
  ($15 membership) - ($5 cost) = $10 gross profit per month

- And let’s say our average member stays for ten months. That makes our lifetime gross profit $100.

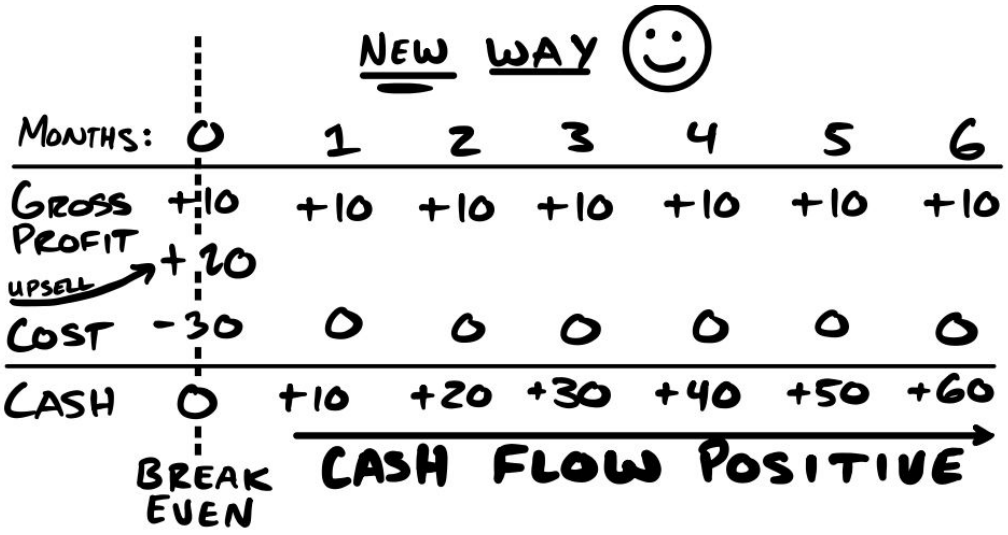
  ($10 gross profit per month) x (10 months) = $100 LTGP.

- If the cost to get a customer is $30 (CAC = $30), we have a 3.3:1 LTGP : CAC ratio.

  ($100 LTGP) / ($30 CAC) = 3.3 LTGP / 1 CAC → 3.3:1
  Our ads make money. Hooray.



But wait…there's a problem. You spent $30 in ads and only got $10 back. Ten bucks trickles in, one month at a time, until you finally break even…two. months. later. That's tough! Make no mistake, you should 100% make that trade. But, now we have a *cash flow* problem.



Here's the way I fix it- *I immediately sell them more stuff*

- If I offer a $100 upsell (with 100% margins) that one in five new customers take. That adds $20 of gross profit per customer.

  ($100 upsell) /(5 customers) = $20 average upsell dollars per customer.

- This takes us from $10 to $30 in the first thirty days (our break-even window). The first purchase is $10. But now *the average upsell adds $20.*

  $10 + $20 = $30 gross profit per customer in less than 30 days.

- And since it costs $30 to acquire them, we break even. Great!

  $30 CAC - $30 cash collected within thirty days = free customers!

Every $10 a month that comes in thereafter is “gravy.” Now, I can go get another customer while I keep collecting that $10 profit per month for the next nine months. This is how you print money. The things you can sell or upsell are unlimited.

If I cover the cost to get and fulfill a customer in the first thirty days I can pay off my card, then do it again. It’s how I’ve scaled every company I’ve started for the past seven years past $1M/mo in the first twelve months - without outside funding. With efficiency out of the way, creativity is your only limit.

Bottom Line: Figure out a way to get your customers to pay you back in the first thirty days so you can recycle your cash to get more customers.

Personal Lessons from Paid Ads

1. **Don't Confuse Sales Problems With Advertising Problems.** The cost to get customers doesn't only come from advertising (it just mostly does)… For example, a company I invested in spent twelve weeks and $150,000 to run paid ads. They were getting the right leads on the phone, but they weren't buying. The owner said advertising didn't work. But the ads worked fine, great even, *their sales sucked*. The owner threw up his hands and gave up…six inches from gold. Frustrating. Confusing an advertising problem with a sales problem cost them an estimated ~$30M in enterprise value. If your engaged leads have the problem you solve and the money to spend, and they're not buying, then your ads work fine–you have a sales problem.

2. **Your Best Free Content Can Make The Best Paid Ads.** Some of the best paid ads I've ever run came from free content. If you make a free content piece that generates sales, or performs very well, nine times out of ten it'll make a great paid ad.

    a. **User Generated Content (UGC).** If you can get your customers to create testimonials or reviews using your product, post them. If they perform well as free content, they often make killer ads too. Having a system in place to encourage these public posts from customers is my favorite way of getting a steady stream of potential ads. And - the best part is - it's no extra work.

3. **If You Say You Suck At Something, You Will Probably Suck At It.** Never say "I'm not techy" or "I hate tech stuff." It just keeps you poorer than you should be. I said it for…wait for it… FOUR YEARS. Then one day, I snapped because I hated my website designer more than I hated tech itself. "If this idiot can

do it, so can I." Four years of wasting time and lost money reversed with four hours of concentrated effort.

Your turn

I can teach you how to place an ad in twenty minutes. It'll cost ya $100. Worth it? I hope so. It's an important skill. It won't make you money, but you will learn a lesson worth far more than a hundred bucks - *running ads is easier than you think.* In fact, platforms spend zillions to make it as easy as possible (so they can make more money). Here's all you gotta do:

Search "HOW TO PLACE A [PLATFORM] AD." Then place one for $100. Don't go all the way to the end then chicken out. Spend the gosh darn money. Rip off the bandaid. As soon as you do - you're no longer an observer, you're in the game.

Once you have put all these pieces together, it's time to send it. Spend money. Start with an acceptable amount of money you are willing to lose each month. Expect to lose it. You won't be earning, you'll be learning.

If you recall our advertising checklist, you'll need to pick each line to fill out your action card. This kicks off your journey in paid ads to get more engaged leads. Sample Paid Ads Checklist:

Paid Ads Daily Checklist	
Who:	Yourself
What:	Your Offer
Where:	Any platform/audience you can buy access to
To Whom:	Target audience or lookalike audience
When:	Everyday, 7 days per week
Why:	Get engaged leads to sell
How:	Call Out + 3Ws + CTA
How Much:	Learning Budget, Then Reverse to Sales Goal
How Many:	30+ Call Outs x 10 Ads
How Long:	As long as it takes

Paid Ads Part II Conclusion

Paid ads are the fastest way to scale how many leads you get. We spent the lion's share of this chapter talking about efficiency. Because once you understand how ads really make money, it becomes much easier to win. I've been very successful with paid ads, but it wasn't because I was the most creative or had the best copy. It was because I knew the numbers. So follow the steps outlined.

I recommend doing paid ads last for two reasons. First, skills from the other three methods transfer to this one. And second, paid ads cost money. Money you will have if you start with the other three methods first. So learn the skills and make the money from the other three methods, so you have the shortest learning curve on this one.

And once we have all that, we scale it. We expect to lose more times than we win. And once we win, we scale the hell out of it. And that's how we do it.

Paid ads is the last of the core four ways a single person can let other people know about their stuff. But before we transition to the

second half of the book, I wanna show you how to put these strategies on steroids.

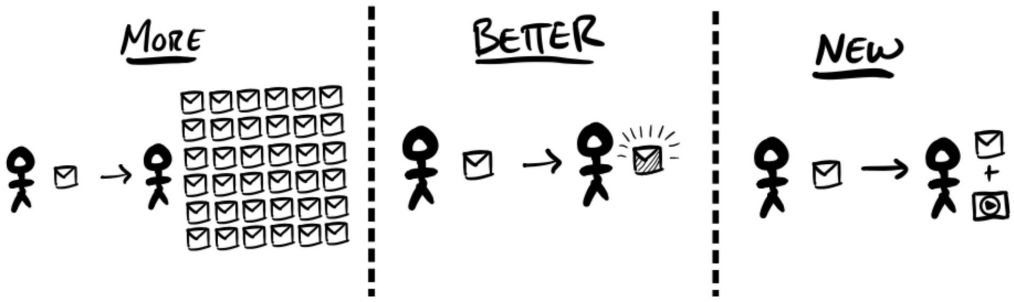
FREE GIFT: Bonus Training - Paid Ads Fast Track

Running paid ads is the fast track. It's high risk high reward. I recorded a deeper breakdown of paid ads frameworks that have served me across industries and price points. You can find it here for free, as always: **Acquisition.com/training/leads**. My gift to you - money you'll make in the future. And as always, you can also scan the QR code below if you hate typing.

SCAN ME

Core Four On Steroids: More Better New

"If at first you don't succeed, use force."



I surveyed the fifty or so faces of the group. All entrepreneurs looking to scale their businesses. Each hungry for the "missing link" that would flood them with engaged leads. After finishing a presentation on lead generation, *I opened up the floor for Q&A*:

The first business owner chimed in, "I just feel like I've saturated the market. I don't think we can get any bigger in the chiropractor niche than we already are."

"What're you doing in revenue?" I asked.

"$2,000,000 a year"

"And how much do you spend on advertising?"

"About $30,000 a month on Facebook"

"What's your conversion rate from click to close?"

“I don’t know”

“So you don’t track overall throughput?”

“I guess not.”

“Okay…What other platforms do you advertise on?”

“None.”

“How much content do you make for chiropractors?”

“None.”

“How much cold outreach do you do?”

“None.”

“And the $30k you spend, on one platform, for a two million dollar business, saturated the $15.1B chiropractor industry? Does that sound reasonable?”

A second business owner chimed in before he could answer "If it helps - I'm in the chiropractor niche too, and I spent $30k in advertising, across *four* platforms, last *week*..."

“Do you still feel like you’ve saturated your niche?” I asked.

He got the point.

***

I have this conversation daily with entrepreneurs looking to grow. Typically, they have figured out how to get enough customers from one platform to get them to $1M-$3M per year. It's still not completely predictable. And they have their ups and downs. But they have the "gist" of what they need to do and have seen some success. So it's at this point they hit a wall because they think they can't make more money. They assume they've "tapped" their market. I kid you not. I had a conversation with a different entrepreneur making about $3,000,000 per year in the weight loss space. He worried increasing his ad spend past $40,000 per month would saturate his ad platform. For context, that platform has over 1B active daily users. And he was selling weight loss… in America… a $60B industry. Silly.

There are more leads out there than you can possibly imagine. I've used a framework to unlock those leads over and over again and now you can use it too.

How To Get Even More Leads: More Better New

First, you reach out to people who know you. Then, you start making free content. Then you start reaching out to people who don't know you. Then you start running paid ads. This is how you *do* the core four to get engaged leads. And there's really nothing else a single person can do *on their own* to get them.

But what if you are doing the core four and still not getting as many engaged leads as you want? Well, worry not! There are two ways to boost *any* of the core four to get even more engaged leads

on your own. I use these every time I want to increase the engaged lead flow in a portfolio company. They are easy to remember: **More, Better, New**.

Simply stated:

1) You can do *more* of what you're currently doing.

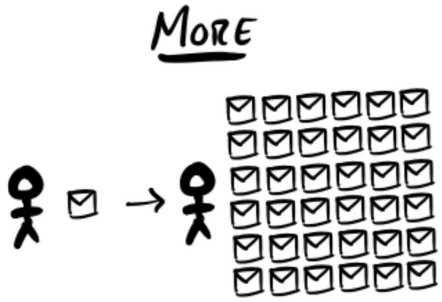
2) You can do what you're currently doing *better*.

3) You can do it somewhere *new*.

And, just like the story in the beginning with the agency owner, that's *exactly what I was asking him*. Could you advertise more? Could you advertise better? Could you advertise somewhere new?

So let's start with the one I actually do first: *More*.

More



You've done some advertising by now. And you know the advertising that you do works to some degree. So the next obvious thing you can do to get more engaged leads is - *more*. *A lot more*. Crank up the volume to your max capacity.

Even with no improvements at all, if you double your inputs, you'll get more engaged leads. Make twice the reach outs, post twice the content, run twice the ads, double the ad spend, etc. You won't regret it. Unless, of course, you hate money.

So while we'll always focus on testing to make ourselves *better*, which we'll get to in a moment, the biggest increases often come from advertising *more*.

Here's how I do *more*: The Rule of 100

The rule of 100 is simple. You advertise your stuff by doing 100 primary actions every day, for one hundred days in a row. That's it. I don't make many promises, but this is one. If you do 100 primary actions per day, and you do it for 100 days straight, you will get more engaged leads. Commit to the rule of 100 and you will never go hungry again.

Here's what it looks like applied to each of the core four:

Warm Reach Outs:

100 reach outs per day

Example primary actions: email, text, direct message, calls, etc.

Post Content:

100 minutes per day making content.

Release at least one per day on a platform. As you get better, post even more.

Example primary actions: short and long videos or articles, podcasts, infographics, etc.

Cold Reach Outs:

100 reach outs per day

Example primary actions: email, text, direct message, cold call, flyers, etc.

As with all cold advertising, expect lower response rates, so use automation.

Paid Ads:

100 minutes per day making paid ads

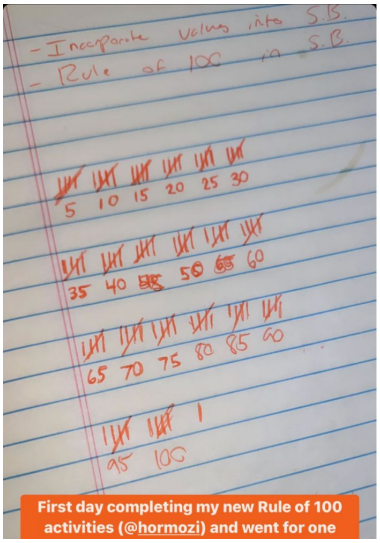
Example primary actions: direct response media ads, direct mail, seminar, podcast spots, etc.

100 days straight of running those paid ads. Use the daily budget we calculated together in the paid ads chapter. Aim for Client Financed Acquisition.

Pro Tip: More Ads Means Better Ads Means More Leads.

Facebook reviewed the accounts of all advertisers on their platform. They found something curious. The top .1% of advertisers test eleven times more creative than everyone else. Oftentimes, it's not that you can't scale an ad profitably. You just can't scale a *mediocre* ad profitably. And the only way to find the *exceptional* ads is to make eleven times more of them. Success leaves clues. Do what the .1% do to get what the .1% get.

Here's some inspiration from someone in #Mozination following the rule of 100:



Better



Getting better gets you more leads for the same effort. We want that. And you can only get better by doing one thing–testing. So you do more and more… *until it breaks*. Then, you make it *better*. In other words, if you do *more* for long enough, your CAC will eventually get too high to sustain. So you make a tweak and see if it improves. If it does, keep doing it. If it doesn't, toss it out. Thousands of these tiny tests separate the winners from the beginners.

Every action a lead takes before they become a customer is a potential "drop-off" point. So *I do the most testing at whatever step the most leads drop off.* I call these "constraints." Constraints are the points where the smallest improvements create the biggest boost in results. That's why they're so important. We get the biggest bang for our buck. For example, if you have three steps in your process:

30% Optin (give you their contact information)

5% Apply ← This is the constraint because it has the biggest drop-off

50% Schedule

But let's ignore the constraint for a moment. Imagine we improve each step by 5% by itself.

30 + 5% → 35% Optin = 16% Increase in leads (1.16x)

5 + 5% → 10% Apply = 100% Increase in leads (2x)

50 + 5% → 55% Schedule = 10% Increase in leads (1.1x)

We get wildly different results! Improving the constraint also comes out the clear winner. So, *focus on the constraint.* And, again, if you're not sure which step is the biggest constraint, find the step where the most leads drop off. You'll get the biggest reward for the smallest improvement.

Here's how I get better: *I test one thing per week per platform*. And I do it for four big reasons.

1) If you test multiple things at a time on one platform you never really learn what worked.

2) Steps affect each other. A *single* change can affect results at other steps. For example, if you change step one, and more people optin, but *fewer* people apply, no bueno. But you wouldn't know that if you changed both steps. If you make one change *you can see what happened*. If you make a bunch of changes…good luck trying to figure out what worked (or didn't).

3) It forces you to prioritize what will get you the most engaged leads. You can do an infinite amount of tests. But, time is

limited. So you must choose your tests wisely. For example, if you only do one “big” test per week per platform, don’t waste it on a color change from red to bright red.

4) Maybe the most important, you run the test for long enough to see if you actually get an improvement. Too short and you won’t get enough data. Too long and you waste time you could’ve spent improving the next constraint. With the size of my team and the amount of money I spend on advertising, one week is typically long enough for me.

In every company I own, I set up a testing schedule. Every Monday we run one split test per platform. We give it a week. And the next Monday, we do three things:

1) Look at the results, and pick the winners for each platform test.

2) Then (important), we write down the results of the test in a log of all tests. So the next time we do something, we start a zillion improvements later, not at square one.

3) Come up with our next test to beat our current ‘best’ version. If we can’t beat the version we’re currently running in *four tries (or one month)*, we move onto the next constraint.

You continue to allocate effort to make things better. But, at a certain point, the effort you put into making it better brings lower and lower returns. At some point, it makes more sense to invest your effort into something that will bring higher returns. Only at this point, do we try something *new*.

Pro Tip: Front > Back (most times)

In general, the lowest percentage steps usually happen at the front. And, the higher percentage steps happen at the back. As in 1% of people may click an ad then 30% will give you their contact information. This is why (most times) you'll end up focusing on the front more than the back. And that's fine. Those steps are usually the constraint. They have largest returns for the smallest improvements. The call out. The value elements. The offer. The CTA. The landing page headline. Sub headline. Image, etc. Down the pathway you go in order of what the lead will see and then do.

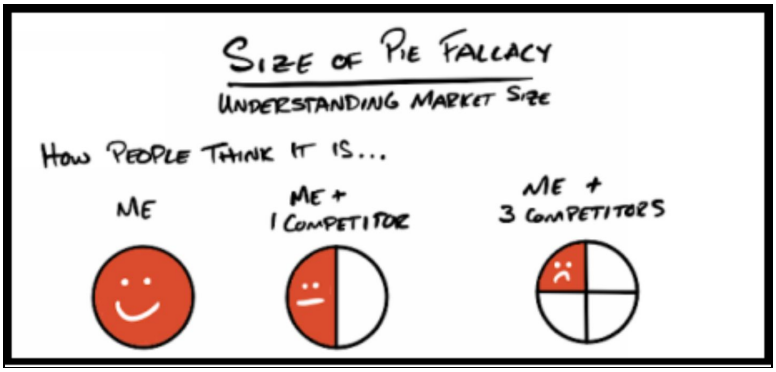
Pro Tip: Better, More, New

When talking to businesses less than $1,000,000 per year in profit, I usually advise them to do *more* first. They haven't done enough volume for percentage changes to make a big difference. But once you cross, $1,000,000 in annual profit, making things better can be the lowest cost, highest return thing you do. So once a business is big enough, I flip the order from "more, better, new" to "*better*, more, new."

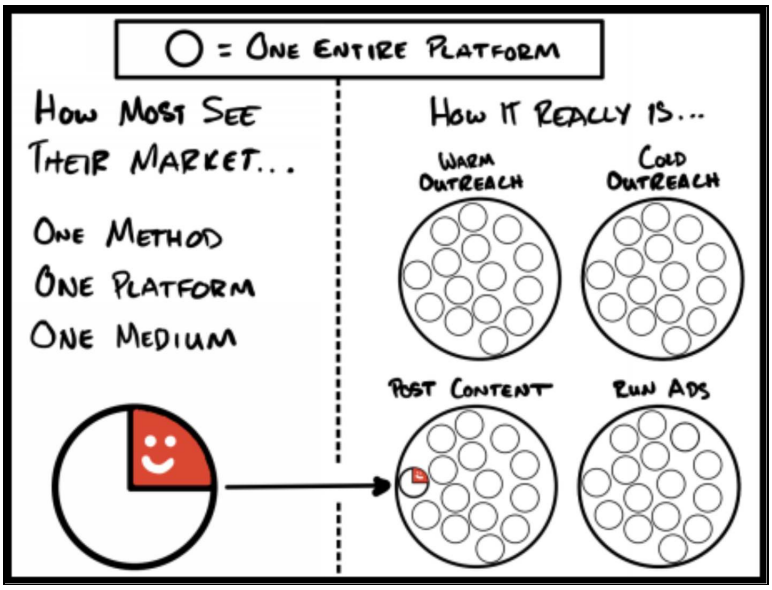
New



So after you've improved your marketing efforts through 'more' and 'better' the only thing you have left is - 'new places in new ways.' In simple terms–*new*. And if you think your business can't possibly get any bigger, let me show you *why* it can. Then, I'll show you *how* it can.



Most business owners look only at the platform and tiny community they market in. And usually, there are only three or four big companies marketing in their niche. So, they assume those companies *must* split the *entire* market between them. This is exactly what the entrepreneur in my intro story did. Think for a moment about how ridiculous this is. I call this problem: **The Size Of The Pie Fallacy**. Here's a drawing to illustrate how the market is, in fact, much bigger than most assume.



The Size Of The Pie Fallacy. A small business uses one of the core four, on one platform, in one specific way, with a very targeted audience. And in that *same* space, advertising the *same* way, there may only be a handful of other competitors.

They mistakenly assume the tiny slice of the universe they advertise to is the entire available market! This is why most businesses stay small. When they plateau, they think there's no more leads to get. They believe they got as big as they possibly can. Because, for many, saying "I'm as big as I can get" is much easier than saying "I'm not as good at advertising as I thought." This false argument keeps entrepreneurs everywhere poorer than they should be.

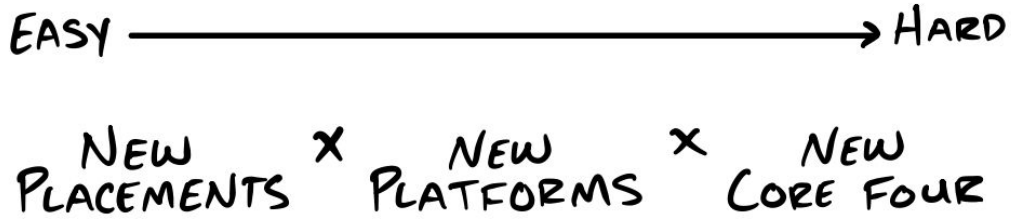
When to do *new*: When the returns you get from doing more↔better are lower than what you could get from a new placement or new way of advertising.

There are many other slices of attention (and potential leads) sitting *just inside the tiny universe of "post content*." They could add new placements (since many platforms have multiple places

and forms of content). For example, on Instagram you can make stories, messenger ads, and posts. On YouTube you can make shorts, longs, community posts, etc. Or, they could add a new platform. They go from Instagram messenger to Facebook messenger. They go from YouTube shorts videos to Instagram short videos (reels). Etc. And once they've exhausted those, they could add an entirely new core four activity.

And if you're curious, the order I pick my next 'new' comes down to one thing: what will get me the most leads for the amount of work? That is the rule. And nine times out of ten, it goes like this:

New placements → New Platforms → New Core Four.



Bottom Line: No matter how you advertise, you could do it in new ways (different styles of content) or in new places (think other platforms). Then finally, do a new core four activity altogether. And, you guessed it, each of them gets us what we want - more leads.

Now, this is much harder in practice, which is why I exhaust 'more, better' first. But at a certain point you have to expand to 'new' placements, platforms, and core four activities to let more people know about your stuff.

Action Step: Exhaust more better first. Once you can't do anymore, any better (meaning the returns are lower than putting that same effort into a new platform) try *new*. Use this rough order:

new placement, new platform, new core four activity. Get it going. Measure how you do. And scale up from there using more–better. Then, rinse and repeat.

‘More Better New’ Summary

First, you do *way more* of the advertising that works until it “breaks.” Then, *the next drop off point becomes obvious*. Then you keep that level of advertising up while you go back, fix the constraint, and make it *better*. So really, *better* and *more* work with each other more than they work separately. The first question I usually ask myself before we invest in a company that needs to get more customers is “What’s stopping them from doing ten times what they’re currently doing?” Sometimes, nothing– so we just do *more*. Other times we just need to make something *better* first. So answer that question and you’ll know what to do next.

Only once you’ve exhausted more–better do the real returns come from doing *new*. First, go with new ad placements on a platform you know. Second, go with placements you know on a new platform. Then, once you get the hang of that new platform, use new placements on it. Once you exhaust that, you can add a new core four activity on top of what you currently do. That gives you my simple, *real-world way*, I put the core four on steroids to get even more leads.

Conclusion

Advertising is *the process of making known*. It’s what we do to let strangers know about the stuff we sell. Now, we solved ‘the stuff’ problem with your lead magnet or offer. But to get them to turn

into engaged leads, you have to tell them about it. So we spent this section going over the only four ways a single person can advertise–let other people know about their stuff. And to do it, you trade either time, money, or both. And when you do it, you can advertise to people who know you (warm) or you can advertise to strangers (cold). You can advertise publicly (content/ads) or privately (outreach).

As far as what to do when? Whenever I build a business I think about it this way–after I do warm outreach to get my pool of customers going–if I have more time than money, I move to posting content. If I have more money than time, I go with cold outreach or running ads.

But remember, you only need to do one to get engaged leads. So, just pick one. Then, *max it out*. Do more. Do better. Do new. And, all the advertising methods compound together. The money, systems, and experience you earned from the prior method will help you master the next. A business that posts free content and runs paid ads will get more out of their ads *and* their content than a business that does only one or the other. A business that does cold outreach and makes content will get more from their cold outreach *and* work their warm leads better than one that does only one. Every combination of the core four advertising activities boost each other in some way.

And as a personal note, I've done 'em all. I built my first business off posting content and warm outreach. I built my gyms off free content and paid ads. I built Gym Launch off paid ads and cold outreach. I built Prestige Labs off affiliates (which we cover in Section IV). I built ALAN off paid ads and affiliates (also Section IV). I built Acquisition.com off posting content. There are many ways to get engaged leads. If you master one, you will be able to feed yourself for the rest of your life. *They all work if you do.*

Next Up

If you follow the steps in this book, you'll run out of hours in the day. You won't be able to do any more, any better… let alone add anything new! So you'll need help on your journey to the land of endless leads. You'll need allies. Those allies come in four different flavors. And since there are more of them than there are of you, they're the key to getting there. So let's go get them.

FREE GIFT: Bonus Training - More, Better, New

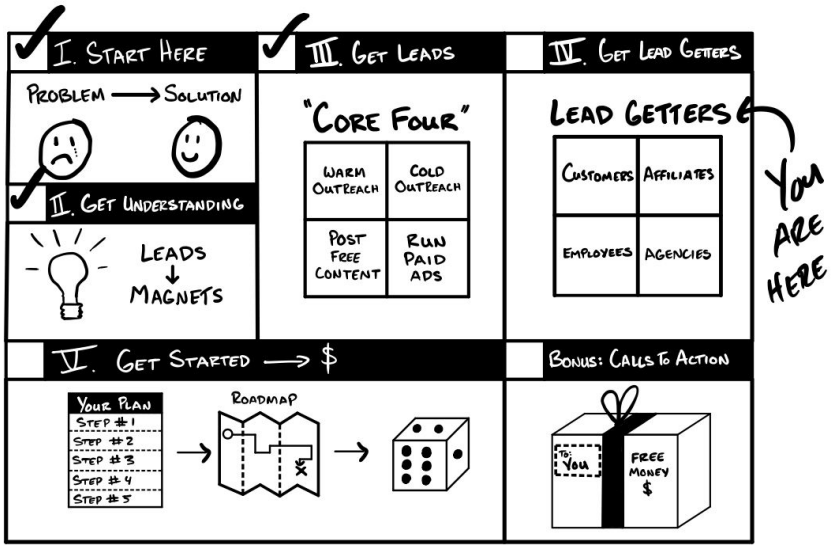
This is one of my favorite topics around scaling businesses. Our portfolio CEOs cite this as one of the most impactful frameworks I've given them. If you want to see a video version of me breaking this down. You can find it here for free, as always: **Acquisition.com/training/leads**. And as always, you can also scan the QR code below if you hate typing.



Section IV: Get Lead Getters

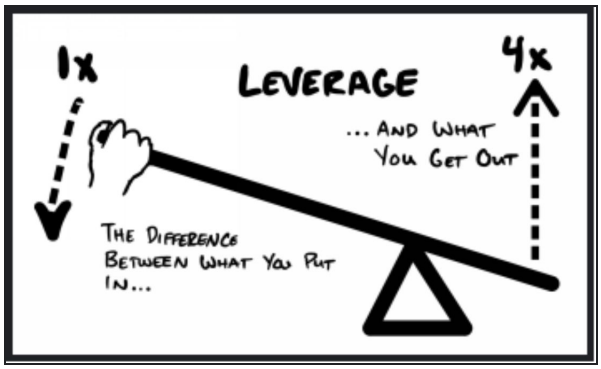
Get people who get you more leads

“Give me a lever long enough and a fulcrum on which to place it, and I shall move the world.” - Archimedes



Building A $100M Lead Machine Is All About Leverage

An old lady can lift a semi-truck with a long enough lever. The strongest man in the world, without one, *can’t*. The length of the lever determines how much someone can lift. This is leverage. We can use the principle of leverage in advertising. Let me explain:



Someone with internet can send a message to millions of people at once. Someone writing postcards by hand *can't*. The internet allows us to reach more people for the same time spent. So, it's higher leverage.

That means leverage boils down to how much we get for the time we spend getting it. So we want to use higher leverage activities to get what we want. More stuff we want. Less time getting it. Good.

And we want *leads. Lots of leads.*

Pro Tip: Don't Mistake Leverage for Speed

One person can only move so fast. A person 1000x ahead of you isn't moving 1000x faster. They *can't*. They're doing different stuff. So the future that feels so far away, with leverage, is closer than you think.

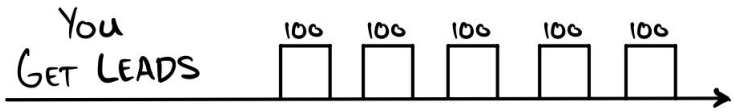
Lead Getters Give You Leverage



People can find out about the stuff we sell from two sources. *We* can let them know using the core four. Or, *other people* can let them know using the core four. I call these other people **lead getters**. When other people do it for us, we save time. That means we get more engaged leads for less work. Leverage baby.

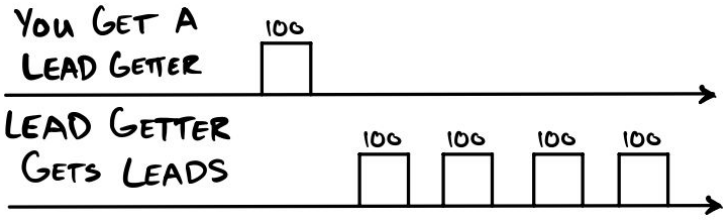
Imagine four scenarios:

Scenario #1: You <u>are</u> the lead getter. You do the core four all day everyday by yourself. You get enough leads to pay the bills.



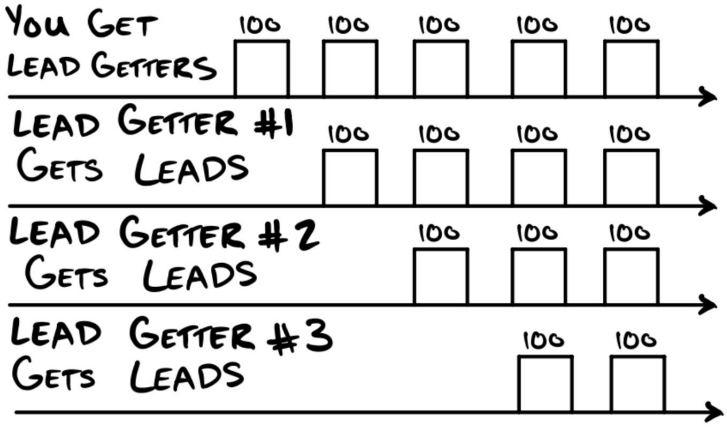
Work: HIGH Leads: LOW Leverage: LOW

Scenario #2: You <u>get</u> a lead getter. You get a lead getter to do the core four on your behalf. Now, the lead getter brings enough leads to pay the bills without you advertising. You work less than scenario #1 and get the same number of leads.



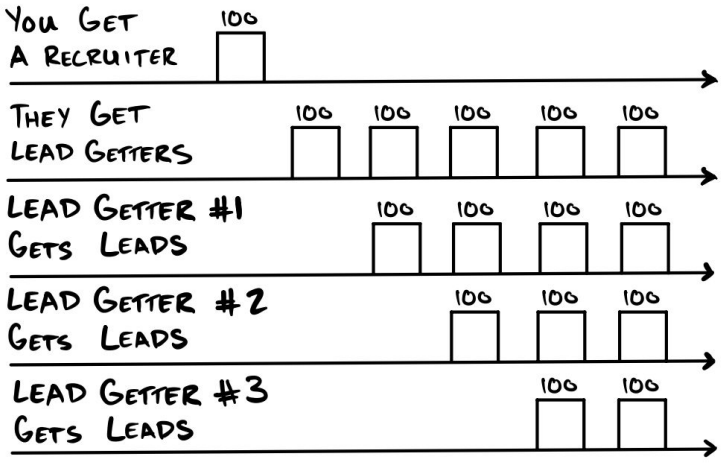
Work: LOW. Leads: LOW. Leverage: HIGH.

Scenario #3: You get lots of lead getters. You spend all your time getting other lead getters. Your leads go up every time you get another one. You work all day everyday, but you get way more leads than you did when it was just you. You work more than scenario #2 but get *way* more leads.



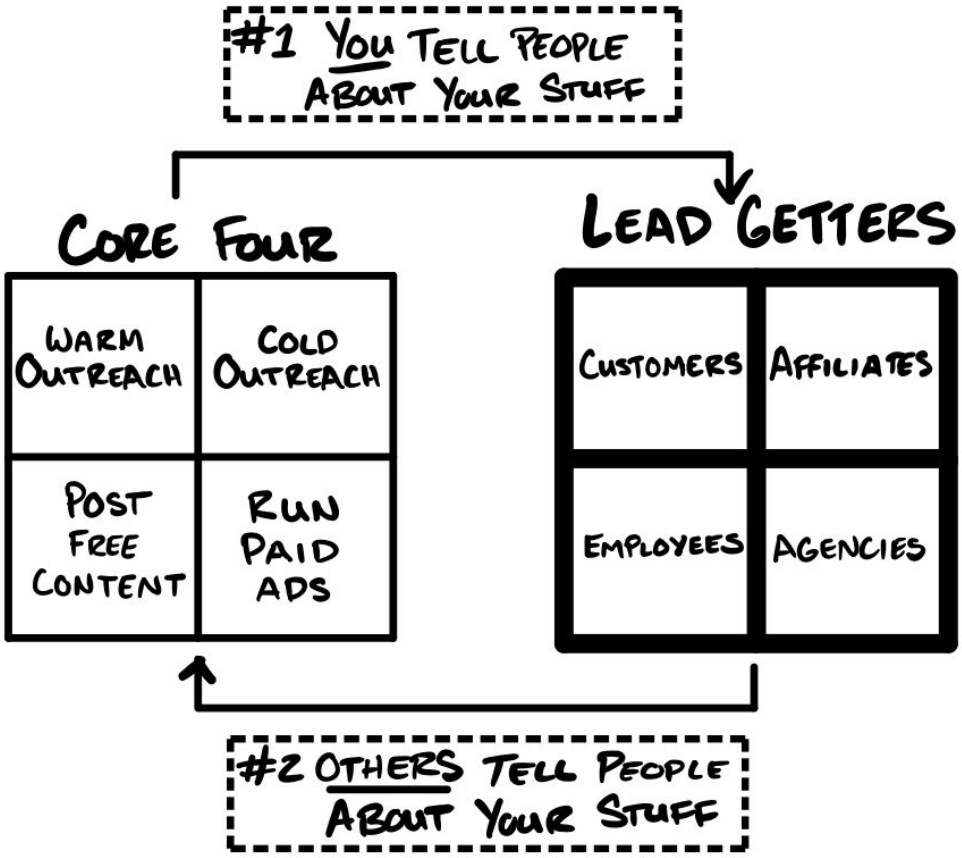
Work: HIGH. Leads: HIGH. Leverage: HIGHER.

Scenario #4: You get a lead getter who gets lead getters. You recruit somebody who recruits other people to advertise on your behalf. They get more lead getters every month. You only had to work to get the first lead getter *once*, but his leads continue climbing without you working. You works less than scenario #3, and you get more leads each and every month.



Work: LOW. Leads: HIGH. Leverage: HIGHEST.

Now you've got the makings of a *$100M Leads* machine.



Outline of The “Lead Getters” Section

The lead getters aren’t part of the “core four” because they’re not things you do. You do not ‘do’ affiliates or ‘do’ customer referrals or ‘do’ agencies or ‘do’ employees. But, *you have to do the core four to get them*. They come from warm outreach, cold reach outs, posting content, and running paid ads. And once you get them, *they* do it for you.

So the core four stacks. One time to get them, and a second time for when lead getters get engaged leads on your behalf. But it doesn’t have to end there. In fact, it shouldn’t. The process repeats. Lead getters can go get lead getters! So we do something once then lead getters can do it forever.

But wait, I thought this book was about getting leads? So am I trying to get leads? Or do I want lead getters? Answer: Yes. Lead getters start out as leads, then get interested in the stuff you sell and become engaged leads like anyone else. The difference is they get other people interested in the stuff you sell, too! And ideally, every lead becomes a lead getter.

The following chapters explain, in detail, *how to get other people to advertise for you*. And, if you want to scale to $100M+, you have to understand them:

#1 Customers- they buy your stuff then tell other people about it to get you leads.

#2 Employees- people in your business that get you leads.

#3 Agencies- businesses with services that get you leads.

#4 Affiliates- businesses who tell their audiences about your stuff to get you leads.

*All four lead getters let other people know about *your* stuff. In other words, all four are higher leverage than you doing it on your own.

Once you do understand the four lead getters, you can build a lead getting machine for every company you start for the rest of your life. I'll break down how I use all four lead getters. How each is different. How to work with them. When to use them. Best practices. And how to measure your progress along the way. At the end of this section, you will understand how to get other people to bring you more leads than you can possibly imagine.

And since we already use the core four to get customers, let's start with something we can do right now–get those customers to refer more customers.

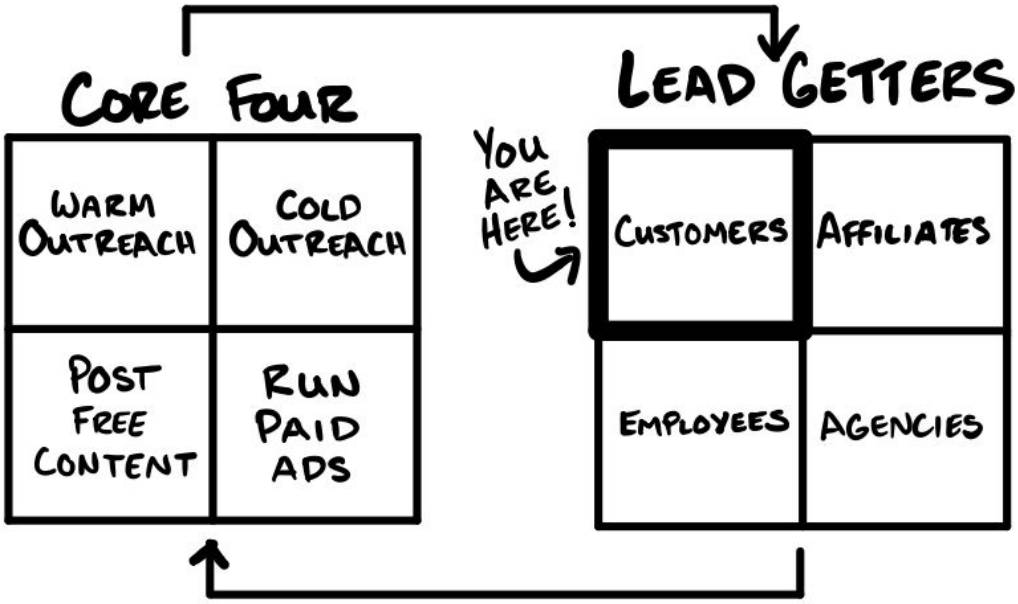
FREE GIFT: Advanced Bonus - Get People To Do It For You

That may have been one of my favorite chapters in the book. It took me so so long to figure out how to recombine everything into a simple model. If you want even more training on getting other people to get you leads, and how it applies to scaling go to: **Acquisition.com/training/leads**. And as always, you can also scan the QR code below if you hate typing.


SCAN ME

#1 Customer Referrals - Word of Mouth

"The best source of new work, is the work on your desk" - Charlie Munger



October 2019.

Leila and I sat together on her parents' living room couch. The one she watched movies on as a kid. The faded edges of the coffee table begged us to kick our feet up. We balanced laptops on our thighs. Extension cords snaked around the couch to outlets down the hall. Her stepmother clanged in the kitchen. This was *not* a work environment. But, we made due.

Two years earlier, I lost everything and met her parents *on the same weekend…*

Hey dad, I met this guy on the internet. He lost everything and has no money. But don't worry, I quit my job and moved in with him to help with his next big business idea. By the way, can we crash here for a while?'

…*Great* first impression, Alex.

But a lot had changed since then. We were multi-millionaires now. We made enough to buy her childhood home in cash. *Every week.*

Leila reviewed reports from our department heads. Oh yeah, we had executives now, too.

"Hey, sales numbers look a little soft this week." she said.

"Really? How many did we close?"

"Fifteen. And sales started dipping last week too. Is there anything different on your end?"

"I don't know. Let me check." I logged into Facebook's advertising portal. Red rejection notifications filled the screen.

"Welp. That'll do it" I said.

"What? What happened?"

"All the ads got shut off."

“Well…that’s a problem. When do you think you can get them back up?”

“It’ll take a day or two to get a new campaign started.”

I squinted at the screen. Something even more alarming jumped at me. *Facebook rejected the ads two weeks ago.* I acted like nothing was wrong.

“So we closed 15 this week, and how many the week before?” I asked.

“21”

“Well, I’ve got good news and I’ve got bad news.”

“Uhh…Ok…”

“The bad news is…the ads got shut off two weeks ago, so that explains the dip. The good news is…our product is so good that we’re still doing $500,000 a week from word of mouth alone.

“You ignored the ads for two weeks!?” She had *oh no you didn’t* written all over her face.

I shrugged with a sheepish grin. “You still love me, right?”

We busted out laughing at the absurdity of it all.

Those two years were insane. The amount of money we were making didn't make sense. We didn’t comprehend how much until years later. We were just grateful to be doing this together, flaws and all. And this accidental stretch without running paid ads made something very clear: *Our customers were telling their friends.*

A few months later



I stood on stage and looked out over the 700+ gym owner audience. Everyone paid $42,000 to be there. All wore black “Gym Lord” t-shirts and stick-on mustaches. It. Was. Nuts.

I was mid-presentation, explaining how excellent service generates leads through word of mouth. All the while, I obsessed over whether the money we made during two weeks without running paid ads was a fluke. Feeling confident, I paused the presentation. *Time to find out*:

“Alright, just to show you how important this is, who here learned about Gym Launch from another gym owner? Raise your hand.” As soon as the words left my lips, I felt instant regret. *What if no one raises their hand? What if our growth was all forced? I’m such an idiot.*

I looked around the room with my arm raised like a monkey. The room stood still. *Oh no.*

Then…a few gym owners raised their hands. *That doesn't look great, but it could be worse*. Then, more. *Thank God.* Then, more. Then, a *wave* of hands. *Holy cow*. People looked to their sides and behind them. *It was almost the entire room*. I let the moment sink in for all of us. I'll never forget it. I knew we had good word of mouth, but not *this* good.

"That" I said, "is the power of word of mouth."

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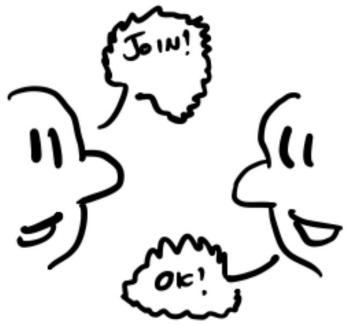
I know you weren't there when Leila and I realized we were making $500,000+ per week from word of mouth. I know you weren't there to see $30M in customers say someone referred them. The first time I realized the power of referrals - *it was by accident*. Seeing how much it made me, I studied what had gone right. I wanted to make sure I could recreate it *on purpose*. For me to transfer that ability to you, I have to transfer the beliefs that created it. And these experiences formed those beliefs. *This is why I share them.*

People copied our offers, ads, and lead magnets. They copied our landing pages, emails, and sales scripts. They copied everything they could–but they did it with little success. They think it's about "advertising," and it is. But the *best* advertising is a happy customer. An amazing product turns every customer into a lead getter.

The world loses trust by the second. Every day, more customers do their research. They arm themselves with information to make

purchasing decisions. As well they should. So to play at higher levels, we need our product to not only deliver... but *delight*. Customers must get *so much value* it compels them to tell other people about us. The good news is, once you know how, it's easier than you think.

In this chapter, I explain how to get the lowest cost, highest profit, and best quality leads out there: referrals.



How Referrals Work

A referral happens when somebody, a referrer, sends an engaged lead to your business. Anyone can refer, but the best referrals come from your customers. So this chapter focuses on getting more referrals from your customers.

How Referrals Grow Your Business

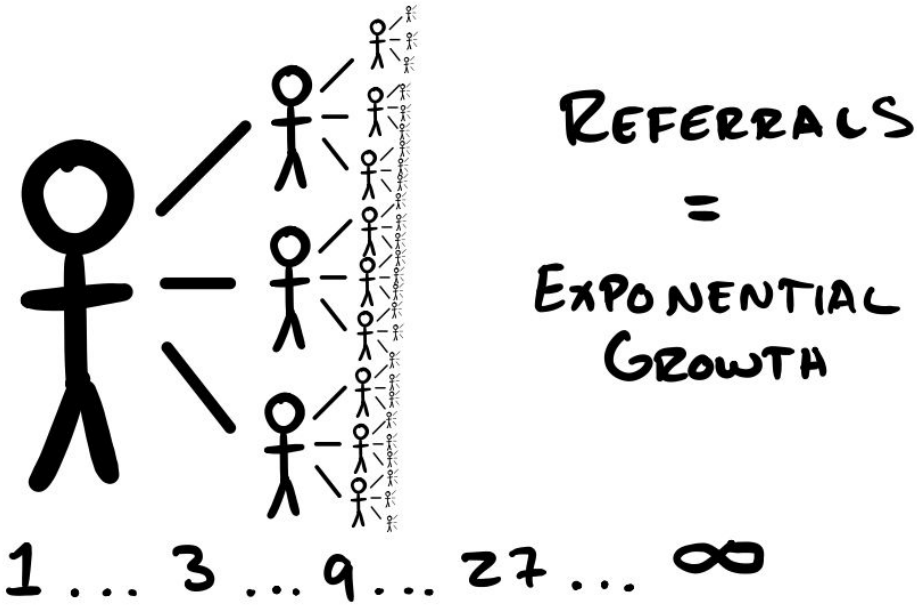
Referrals are important because they grow your business in two ways:

1. **They're worth more (higher LTGP).** Referrals buy more expensive stuff and buy it more times. They also tend to pay in

cash upfront. Lovely.

2. **They cost less (lower CAC)**. If one customer sends you another customer because they like your stuff, that new customer costs you nothing. And free customers are cheaper than customers that cost money. So free customers = good.

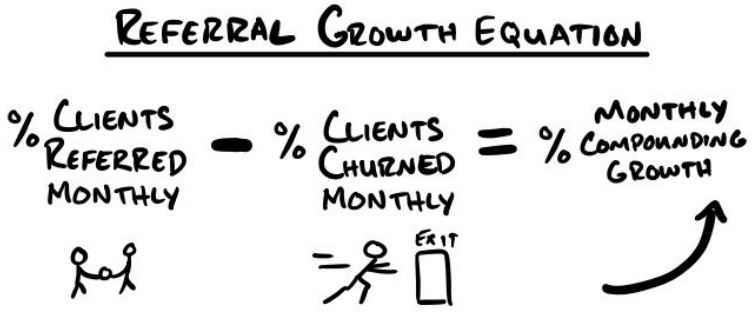
But what does this stuff really mean? Check this out…imagine you had an LTGP to CAC ratio of 4 to 1. That means it costs twenty-five percent of your lifetime gross profit of one customer to get another. Not bad. But now *imagine if every customer brought you two more customers.* You'd now have an LTGP to CAC ratio of 12 to 1– you'd use just over 8.3% of your lifetime gross profit to get a new customer. So you get three customers for the price of one. Now we're talking. Hooray. What a deal! On top of that, *referrals are exponential*. Let me explain.



The number of engaged leads you get from the core four depends on *how much* you do them. The inputs to outputs have pretty linear relationships. If you do 100 reach outs you get engaged leads. If

you double it, your leads roughly double. If you spend $100 on ads, you get engaged leads. If you double it, your leads roughly double. So no matter how well you advertise, how much you get depends on how much you do. And that's great. But with word of mouth, we can do even better. With word of mouth, one customer brings two. Two bring four. Four bring eight. And so forth. It's not linear, it's *exponential*.

Nothing scales like word of mouth. Want to know why so few people scale by word of mouth? They lose customers faster than they get them. Look at the referral growth equation to see it in action. Referrals (in) minus churned customers (out).



- If referrals are greater than churn: you grow without any other advertising (yay!)

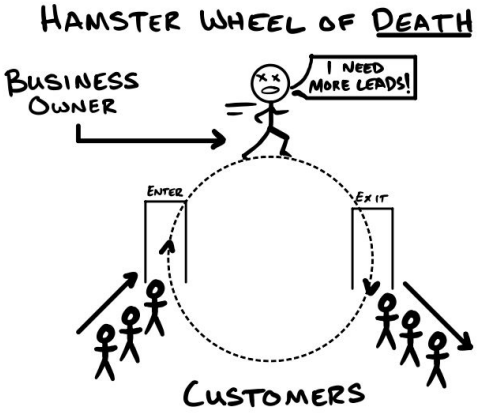
- If referrals are equal to churn: you need other advertising to grow your business (meh)

- If referrals are less than churn: you've got to advertise to break even (boo - most folks)

This gets nutty when you look at percentages. If the percentage of referrals every month is bigger than the percentage of customers who leave, your business compounds every month. You'd have to spend that much more money on ads, do that many more reach

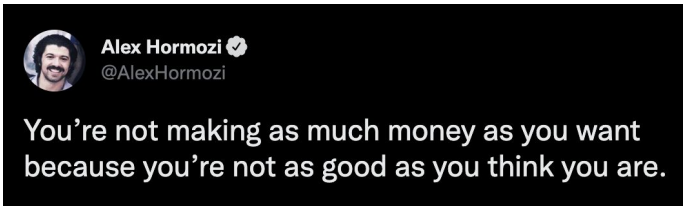
outs, or post that much more content just to maintain that growth. You eventually hit a wall. But with referrals, you can maintain growth *no matter how big you get*. This is how companies like PayPal and Dropbox exploded into multibillion dollar businesses. I'll break down their exact strategies later in the chapter.

On the other hand, small businesses barely scrape by because they have about the same customers exiting as they do entering. A hamster wheel of death. Here's why…



Two Reasons Most Businesses Don't Get Referrals

Most businesses don't get referrals for two reasons. First, their product isn't as good as they think it is. Second, they don't ask for them.



Problem #1: The Product Isn't Good Enough

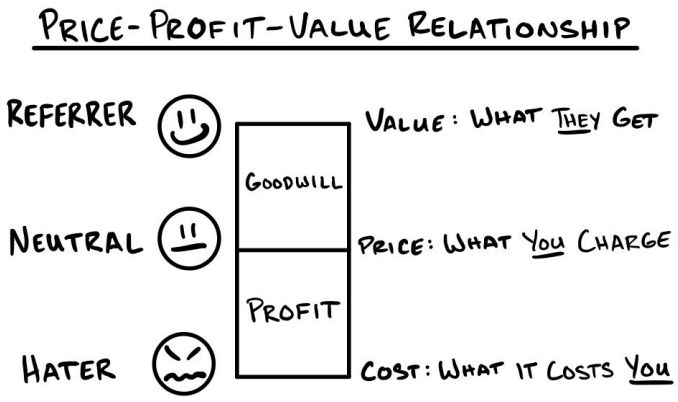
“Everyone loves our stuff, we just need to get the word out!” - says every small business owner with a product that’s not as good as they think it is.

I’m gonna take off my nice guy hat for a second. If your product were exceptional, people would already know about it and you’d have more business than you could handle. So if you sell direct to consumers and they are not bringing you more customers, your product has room to improve.

I like to ask myself: “Why are my customers too embarrassed to tell everyone they know about my product?” It may be okay, but it’s *unremarkable*, as in - not worthy of remark.

In fact, most of the stuff I pay for, kind of sucks. My pool guy forgets stuff half the time. My landscapers make tons of noise at the worst hours. My cleaners routinely put my clothes in my wife's closet (I guess that’s what I get for extra schmedium t-shirts). The list goes on.

Business owners wonder why they don’t get referrals. The answer is right in front of them. *They're just not good enough.* Let me show you how I think about it:



Price is what you charge. Value is what they get. The difference between price and value is **goodwill**.

This means that price not only communicates value, but it's also how we *judge* value. Economics dorks call it 'customer surplus'. But I'm just gonna call it goodwill. You want lots of goodwill. Lots of goodwill creates word of mouth. Word of mouth means referrals.

There are two ways to build goodwill with your customers. You can lower your price or you can give more value. After all, if you lower the price of your product enough, people would line up to get it. But you'd probably lose money. So, lowering the price is, at best, a temporary solution. You can only lower the price so much for so long. And, as marketing legend Rory Sutherland says, *"Any fool can sell something for less."*

So, to build goodwill to get referrals, the question isn't how do we lower our price but, how do we give more value?

Six Ways To Get More Referrals By Giving More Value

There are six ways I get referrals by giving more value. And it just so happens to map to the parts of an ad. Neat-o.

1. Call Outs → Sell Better Customers

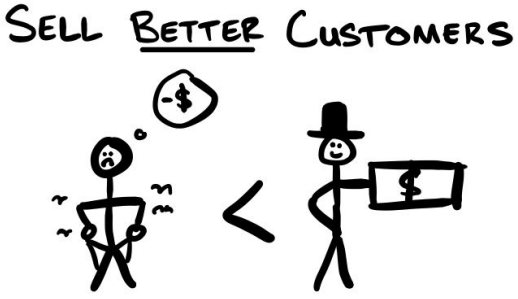
2. Dream Outcome → Set Better Expectations

3. Increase Perceived Likelihood of Achievement → Get More People Better Results

4. Decrease Time Delay → Get Faster Results

5. Decrease Effort and Sacrifice → Keep Making Your Stuff Better

6. Call to Action → Tell Them What To Buy Next



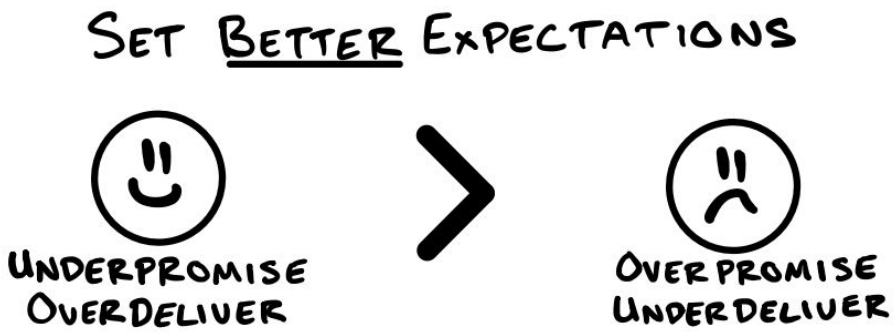
1. **Call outs → Sell Better Customers.** We want to sell better customers because they get the most value from our products. Customers that get the most value have the most goodwill. And the customers that have the most goodwill are most likely to refer. Yes, it's that simple. Let me give you a real-life example:

   We have a portfolio company that did public relations for generic small businesses. They had a lot of sales, but they had a lot of churn. So they plateaued. They didn't grow for years.

To see what we could do, we looked at their lowest churning customers to see if they had anything in common - they did. They were all in a specific niche and looking to raise funding from investors. So the solution looked obvious–get more of them! But the founder had a big worry–these customers were only fifteen percent of his business. If he changed his targeting, and it failed, he would lose eighty-five percent of his business(!). But the business wasn't growing anyway. A tough situation for any entrepreneur. But, after reviewing the data many times, he agreed to *change the advertising call outs to match this narrower, "perfect fit" customer.*

The results: The company broke through its plateau. They grew for the first time in years - and now on track to adding *millions per month*. Plus, their cost of advertising–a huge expense for their stagnating business–went down. They got *even cheaper leads* since they could be more specific with their messaging. But not only that, the cheaper leads got even more value from the product because *it was meant for them*. And those customers, because they had more goodwill toward the business, started referring like clockwork.

Action Step: *Increase the quality of the prospect, and you'll increase the quality of the product.* Figure out what your most successful customers have in common. Use those similarities to target a new audience that has the greatest chance of getting the most value. Then, sell only people who meet those new criteria. Set yourself up to build more goodwill. More goodwill means more referrals.



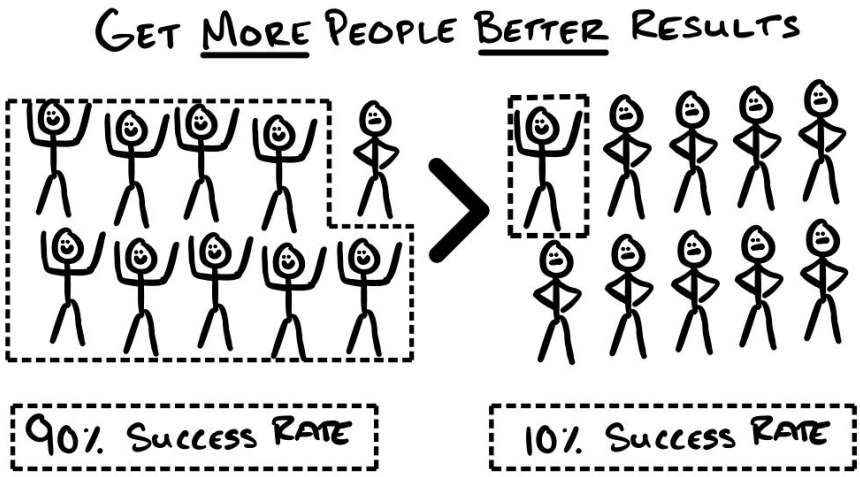
2. **Dream Outcome → Set Better Expectations:** The fastest, easiest, and cheapest way to make your product remarkable - make it better than they expect. And that's easier than you might think because ***you*** set the expectations.

> **Pro Tip: Dating Advice**
>
> On first dates, I like to set the bar as low as possible by admitting all my flaws. After telling my (now) wife all my flaws, I joked - I can only go up from here!

Have you ever had a stranger tell you a new movie was awesome? Then you go see it and think ‘that wasn’t as good as I expected.’ On the flip side, have you ever had someone tell you a movie was terrible, then you ended up seeing it anyways and thought ‘That wasn’t as bad as I expected.’ Our expectations of an experience can *dramatically* affect the experience itself. We can increase goodwill by lowering expectations. It gives us room to overdeliver.

In the beginning, I promised everything and the kitchen sink to get people to buy. Fulfilling on that turned into a nightmare. So, I began inching down my promises while maintaining quality. It gave me more room to overdeliver and I netted a major benefit - referrals. Customer expectations are fickle. That’s why we set the expectations for them. And if we set those expectations, then we can exceed them.

Action Step: Slowly lower the promises you make when making offers. Keep lowering them until your close rates lower. At that point, stop. This maximizes how many customers you get *and* the goodwill you build with them. Maximized customers and more goodwill means more referrals.



3. **Increase Perceived Likelihood of Achievement → Get More People Better Results:**

   The customers with the best results get the most value from your product. Figure out what they do to get the most value, and you can help your other customers do the same. Two steps ago, to sell better customers, we figured out who the best ones ***were***. So now, to get everyone the best results, we figure out what the best ones ***did***.

   Let me show you what it looked like at Gym Launch. We started by tracking customer activities. Speed to running their first paid ad. Speed to their first sale. Their attendance on calls. Etc. Then, we compared the activities of our *average* customers to the activities of our *best* customers. We found out something huge. If a gym owner ran paid ads and made a sale in the first seven days, their LTGP *tripled*. Once we realized this, we focused on getting ***everyone*** to launch ads and make sales in the first seven days. The results of our average customers skyrocketed. More customers, more testimonials and more referrals followed.

   Here's the process I use to get more people better results:

Step #1: Survey customers to find the ones who got the best results.

Step #2: Interview them to find out what they did differently.

Step #3: Look at the *actions* they had in common.

Step #4: Force new customers to repeat the actions that got the best results.

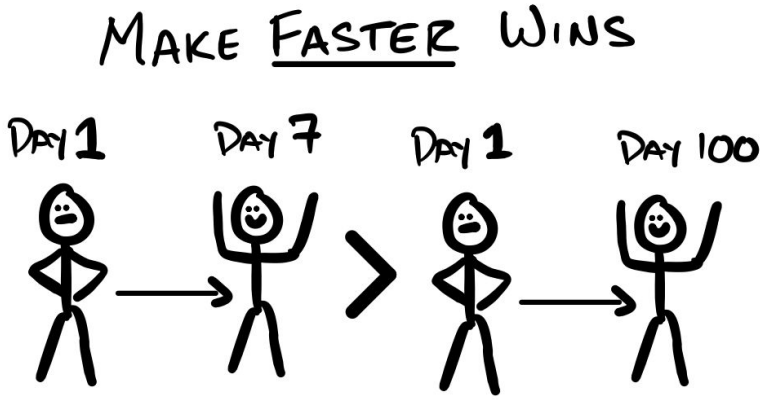
Step #5: Measure the improvement in average customer results (speed and outcome)

Step #6: Match the conditions of your guarantee to the actions that get the best results to get more people to do them.

Pro Tip: Make The Success Activities The Conditions of Your Guarantee

DO NOT DO THIS IF YOU HATE MONEY AND HELPING PEOPLE: As soon as you start getting customers results, note what they did. Then, start guaranteeing new customers those results. But do it on the condition they *do what the best customers did*. The guarantee sells more people. The conditions get them better results. You win. They win.

Action Steps: Figure out what the best people did. Then get everyone to do it. Make your guarantees around the actions that create the most success. More success. More goodwill. More referrals.



4. **Decrease Time Delay → Make Faster Wins:** I define a "win" as any positive experience a customer has. Faster wins increase their perception of speed, increase the likelihood they'll stick, and increase how much they trust you. Triple win. To make wins *feel* faster, we give them wins *more often*.

   Let's imagine you have a product that takes a week to deliver. The customer can get one win at the end of that week or win every day with daily progress updates. Same amount of progress, seven times the wins. On top of that, if someone said seven things would happen, and all seven do, I trust them even more. Referring a friend is now lower risk since seven promises were made, and all seven were kept.

   Here's five ways I make wins happen faster in the real world:

   1. If I have seven small things to deliver, I deliver them at shorter intervals rather than all at once.

   2. Updates are wins. If it's a bigger project, I share progress updates as frequently as possible. You can never give someone too much good news. And regular updates, progress or not, is better than leaving your customers hanging.

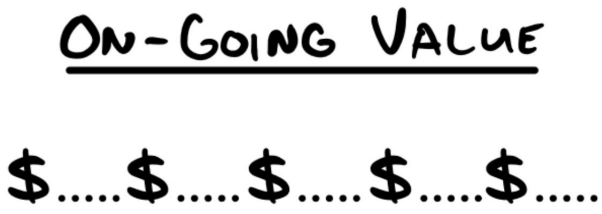
   3. Customers form their lasting impression of a business within the first forty-eight hours after they buy. Force a good

impression. Force as many wins as you can in that window. Set many expectations. Meet many expectations. Repeat.

4. They should always know the next time they'll hear from you. I got a slick saying from a public CEO friend of mine - BAMFAM: Book-A-Meeting-From-A-Meeting. Again, never leave a customer in no man's land. They should always know what happens…*next*.

5. Never expect customers to forgive you. Ever. So act like it. For example, you can deliver early, but never late. I add fifty percent to my timelines so I always deliver early. That makes "on time" for me *early* for them.

Action step: Break down outcomes into the smallest possible increment. Communicate as often as reasonable (even if there is no progress, update them). Set timelines with breathing room. Deliver early. More customer wins means more goodwill. And more goodwill means more referrals.



5. **Decrease Effort & Sacrifice → Keep Making Your Stuff Better:** If the customer does less stuff they hate to benefit from your product, you've made it better. If the customer gives up fewer things they love to benefit from your product, you've made it better. And there's no such thing as a perfect product. You can *always* make it better. And the easier you make it for them to benefit, the more goodwill you get, and the more likely they'll refer. Here's my process to keep making my stuff better.

Step #1: Use customer service data, surveys, and reviews to find the most common problem with your product.

Step #2: Figure out your fix. To get a headstart, get feedback from the customers who made your product work for them despite the problem it has.

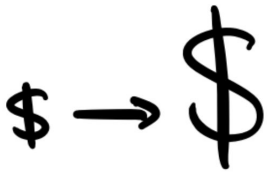
Step #3: Use that feedback to improve your product.

Step #4: Give the new version to a small group of your (struggling) customers.

Step #5: Get your next round of feedback. If you solved the original problem, then roll it out to all customers. If it didn't, go back to step #2.

Step #6: Move to the next most common problem and repeat the process. Do this until the end of time.

Action Step: Keep making your stuff better. Survey. Make changes. Implement. Measure. Repeat. I run this process every month. Set this as a recurring monthly process. A product that takes less effort and fewer sacrifices means more goodwill. And more goodwill means more referrals.



6. **Call To Action→ Tell Them What To Buy Next:** If you have an amazing product, they'll want more. You have to satisfy their desire to buy. If you don't, they'll still buy… but *from someone else*. Don't let

that happen. Sell them again. You can either sell them a new thing or more of the thing they just bought. In either case, you'll get even more goodwill and extend the lifetime of the customer. And besides, the more stuff they can buy, the more stuff they can refer their friends to.

For example, in a weight loss company we know, lots of customers referred friends to their first tier product. But, some didn't. A lot of those customers who didn't refer to the first product, when they bought their more expensive thing, referred their friends to that! So you gotta keep selling.

In my experience, people obsess over their front end offers. And that makes sense. But then they neglect the back end *and customers fall off*. And customers that fall off your product are unlikely to refer - so keep selling them so they don't.

Action Step: Treat every customer like it's the first time you've sold them. Make sure your next offer is more compelling than your first. Remind them to buy more after each big win. More things to buy means more opportunities to add even more value. More value means more goodwill. And more goodwill means, you guessed it, more referrals.

One Question to Rule Them All

Let's consolidate these six steps into one thought experiment. I encourage you to try it out with your team. Here it is:

You've lost all your customers but one. The gods of advertising ban you from doing the core four and decree:

-All customers must come from this one customer.

-Violate our terms and we will destroy your business, and every other business you start, for eternity.

Tough break. But, the question remains, how would you treat this customer? What would you do to make their experience so valuable they would send all their friends? What kind of results would they need to get? What would their onboarding be? What type of customer would you pick? Think about it. Write it out. *Your business depends on it.* Then…*do it :)*

Start acting like the advertising gods will revoke your core four privileges at any moment. Soon you'll see you have no choice but to start adding more value to get more customer referrals.

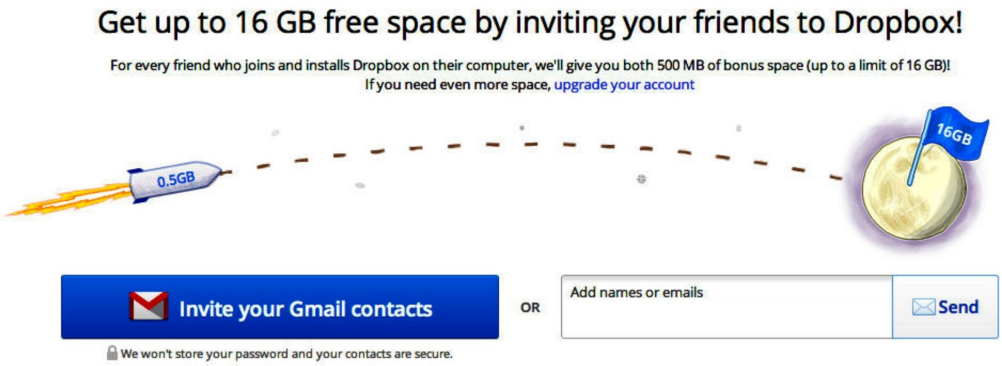
Now that we covered that. Do you wanna know how you can get even *more* referrals? → Ask for them.

Referrals: Ask For Them

Do you know why businesses have so few referrals compared to what they could have? They never ask for them. Your customers, like any audience, can only know what to do if you tell them.

Now, I've tried *a lot* of referral strategies. Most failed. And I struggled until I had this epiphany: Asking for referrals only works when you treat it like an offer. *The referrals come when you show the value the customer gets when they refer their friends.* Let me give you two quick case studies to show the power of asking for referrals:

Case Study #1: Dropbox gave free storage to customers *and* free storage to the friends they referred. The referral program went viral and they 39 x'd their business in fifteen months.



Case Study #2: Paypal gave $10 in credit to customers *and* $10 to the friends they referred. Within two years, the program helped them reach a million users, and six years later, they hit 100 million users. They still use it today.

So how do we harness the same viral growth in our own small businesses? We do what they did. We ask for it.

Seven Ways To *Ask* For Referrals

There are three components to a referral program: how you give the incentive, what you incentivize with, and how you ask. Rather than give you a hundred variations that may or may not work, here are the seven combos that worked best for me:

1) One-Sided Referral Benefit: I'd rather pay customers than a platform any day of the week. Pay your average cost to acquire a customer (CAC) to the referrer or the friend. Make them aware of

the incentive.

Ex: Imagine it costs $200 to get a new customer. Ask the current customer to make an actual three-way introduction to a friend–via call, SMS, or email. Not just a name and number. Also, ask them to do it right when they buy…don't wait. Then, write them a check for $200 when their friend signs up OR give their friend $200 off.

Ex: This works great for spouses because they both basically get the benefit. Always ask for the spouse & give a household discount.

2) Two-Sided Referral Benefits: This is what Dropbox and PayPal used. We pay our CAC to both parties. Half goes to the referrer (in credit or cash) and half goes to the friend (in credit). This way, they *both* benefit.

Ex: We sell $500 programs. Our cost to get a customer is $200. For every friend someone refers, we give them $100 cash, and give their friend $100 off signing up. Good for up to 3 friends. This worked really well for my local businesses.

Pro Tip: Run Your Paid Ads For Free

In our service businesses we routinely get an additional 25-30% of sign ups as referrals. *If we asked for a referral right when they signed up.* So if we signed up 100 clients for a promotion, we would usually get another 25-30 clients from referrals. And since we always operate above 3:1 LTGP:CAC, the cash from referrals often covered the cost of the ads (and some). Bingo bango.

3) Ask For A Referral Right When They Buy: On the sales contract or checkout page, ask for some names and phone numbers of *people they'd like to do this with*. Show them how *they* will get better results when they do it with a friend.

Ex: I had a new salesman come into one of my portfolio companies and shatter all the sales records for an upcoming event. We didn't know what was going on. So I hopped on the phone with him - *how are you selling more tickets than everyone else*? He shrugged and said, "I'm doing the same thing as everyone else. I just make sure I ask them who else they'd want to have come with them. Then ask them to introduce me." Half his sales were referrals. So simple, and yet no one does it.

Scripting example: *People who do our program with someone else tend to get 3x the results. Who else could you do this program with?*

> **Pro Tip: Not "If" But "Who"**
>
> Once someone is a customer, be more direct with your ask. Don't ask *IF* they know someone, ask *WHO* they know.

4) Add Referrals As A Negotiation Chip: On top of that, you can ask for referrals as a way to negotiate a lower price. In other words, if someone wants to pay $400 and your price is $500, you can give them the discount *in exchange for* an introduction to three friends. You can ethically charge a different price for the same thing because you changed the terms of the sale.

Ex: “I can’t do anything less than $500 down, but if you make a 3-way text introduction to a few of your friends right now, I’d be happy to cut that initiation fee.”

And to address the question you didn’t ask - if a full-priced customer finds out you gave someone else a discount (which I’ve had happen), here’s all you say: *“Yea - Stacy got $100 off because she referred three friends. I'm happy to give you $100 if you refer me three friends. Who do you have in mind?”* They either back off or they give you three friends. Win win.

5) Referral Events: Where people get points, credits, dollars or even just bragging rights for bringing friends within an explicit time period. Referral events typically last from one to four weeks. Whenever you run one of these events, sell everyone on the benefits of working with others. Use some stats (internal or external) to show high success rates and the selfish benefit to bringing friends. I use names like:

   “Bring-a-friend” Promotion

   “Spouse Challenge” Promotion

   “Accountability Buddy” Promotion

   “Coach Challenge” Promotion where you create teams with your employees and customers. This works well in coaching style businesses.

6) Ongoing Referral Programs: Instead of running a limited duration referral promotion, you talk about the benefits of doing things with others all the time. Think: in your free content, outreach, paid ads, etc. After a buddy did this, he saw a 33% boost in *total* sign ups.

For context, he had 1,000,000 customers buy tickets to his virtual event and 250,000 of them were referred…this stuff works.

7) Unlockable Referral Bonuses: Create bonuses for people who 1) refer and 2) leave a testimonial. A few examples: Unlock VIP bonuses, courses, tokens, status, training, merchandise, service levels, premium support, additional hours of service, etc.

Unlockable referral bonuses work well if you don't like paying out cash. The bonuses can also be for *both* parties if you like (since they cost you less than cash). Visit the lead magnet section for some extra inspiration. As always, the more insane you make the offer, the more people will refer. If you want them to refer, make it so good they'd be stupid not to.

You're Only Limited By Your Creativity

Here's what it looks like to combine a few of the strategies above into a killer referral promotion.

Give everyone a gift card for one-third the cost of their program. Tell them they can give it to a friend of theirs if they sign up with them. Give the gift card an expiration date within seven to fourteen days from the date you give it to them→it'll force them to use it. This gives the referrer status when they give it to their friend. Rather than saying "hey join my program for $2000 off" they say, "I got this gift card for $2000. Do you want it? I don't want to waste it." It's seen as a much bigger deal for them and you.

You can still use the three-way introduction with this tactic. Then text a picture of the gift card. Bonus points if you write the friend's name on it before texting the picture. It makes it feel personalized

and gives you a legitimate reason for asking for their friend's name (wink).

PS - You can also sell the gift cards at ninety percent off as purchasable gifts (only for friends of customers). The referrer looks like they spent a lot of money, and you get paid to get new customers. I can hardly think of a better way to make money. Again, the only limit is your creativity.

Pro Tip: Match The Thing You Give With The Thing You Sell.

If you don't want to give away money, try to match the referral incentive to the core product you sell. For example, if you have a t-shirt manufacturing company, giving away free t-shirts makes a lot of sense. Because your incentive will attract people who actually want t-shirts. And they're more likely to become paying customers. (Hint: that's why the gift card works so well).

On the other hand, if you give away an amazing limited edition t-shirt for your IT services business, it may or may not attract people who want IT services. So, try to match the thing you give with the thing you sell.

Conclusion

Referrals aren't an advertising method you can "do." It's not one trick or hack (although we learned some of those). *It's a way of*

doing business. And it starts with *you*.

After all, referring is always a risk for the customer. They risk *their* goodwill with their friend *in the hopes* of getting more by showing them something cool (your stuff). So customers *only* refer when they think it's very likely their friend will have a good experience. In other words, when the benefits to them personally outweigh the risk of hurting the relationship with their friend. So we add benefits for them and their friends with incentives and we lower the risk by building goodwill (showing we deliver on our promises). And we do that by using the six ways to give your customers more value. Now don't get me wrong, building goodwill does a fantastic job of getting referrals on its own. But if we're smart, which we are, we capitalize on that goodwill, so we can get even more referrals, by using the seven ways to ask for them. Whew!

So give more than you get and you'll never go hungry again. *This is how we treat our customers*. Do this, and you can monetize *goodwill* forever. To keep this in perspective, I always remind myself: *I am compensated tomorrow for the value I provide today.*

Action Items

Figure out your referral percentages and churn percentages to set a baseline. Implement the six "giving value" steps to build goodwill. Then capitalize on that goodwill, using one or more of the seven ways to ask for referrals.

Next Up…

So now we have to figure out how to scale a team. It looks like we'll have to call out potential teammates, show them the value of joining the team, then ask them to join. Wait… that sounds familiar. But seriously, if you really want a $100M leads machine, buckle up. The most valuable chapter in the book is coming up next - *employees*. For real, this isn't a boring chapter, and you're gonna need them if you wanna make the *big money*.

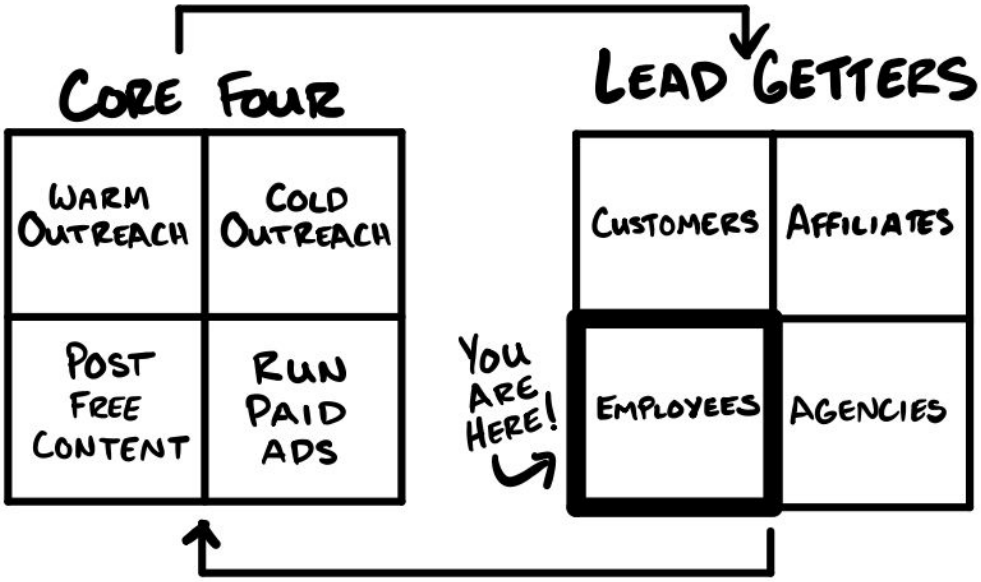
FREE GIFT: BONUS - Customer Referral Frenzy

If you want to know more about ways to use the highest leverage, most profitable way of getting customers, I made a training just for you. You can get it here for free: **Acquisition.com/training/leads**. And as always, you can also scan the QR code below if you hate typing.



#2 Employees

"If you want to go fast, go alone. If you want to go far, go together" - African Proverb



June 2021.

The new sales director piped up, "I know we came in under our goal again, but I don't think we need to change anything, we'll hit it this quarter."

Eyes darted around the room and looked in every direction but mine. The silence was long enough for the executive assistant to mark the topic covered and move on. No wonder we missed our cold outreach goal for the second quarter in a row… nobody challenged the failure. *What, so now we think the third time's a charm?*

“Wait.” I said. Now *everyone* looked in my direction. “I’d like to know why we didn’t hit this two quarters in a row. I know we can sell–so if we want to make more sales with cold outreach, then we *do* more cold outreach. What’s the issue?”

“We lose a rep every four weeks.” the sales director said. *Aha.*

“Ok…Why is our churn so high?”.

“I was wondering the same thing, but HR says we’re actually below industry average churn for this position.” He continued, “But, by the time we hire and onboard one, another churns out.”

I saw the HR director nodding in agreement. *Getting warmer.*

“OK, so the issue is hiring.” I said. “So, what’s the hiring situation look like?”

“We hire one out of every four candidates HR pushes to us.”

“So if they churn out as fast as we hire them, and you only hire one out of every four, that means you only get like one candidate a week?”

“Yeah, about that” *Almost there.*

“Gotcha” Now I looked at the HR Director, “What’s the screening situation look like?”

“We get one qualified candidate per ten screening interviews, give or take.” She said.

“So it takes *forty* interviews to get a single, low-skill, frontline worker?”

“I guess so.” *Bingo.*

“Alright, we need to change things up.” I said. “We're bottlenecked at the one-on-one screening. Start interviewing in groups and look for crazies there. Push everyone else with a good work ethic and basic social skills over to sales. We can teach the rest. Agreed?” The team nodded.

Within six weeks, hiring outpaced churn. Our cold outreach sales increased in lockstep. By the end of the quarter, cold outreach sales had doubled, and made up more than half our total sales.

The issue wasn’t our cold outreach method, skills, or offer at all. We just didn’t have enough people *doing* cold outreach.

***

If you use the methods in this book, you will see more engaged leads flow into your business. More engaged leads means more customers. But as you grow, so does your workload. In due time, it will take more work than any single person can handle. And you can solve the problem of too much work for one person *by having more people work.* In short, to advertise more, you’ll need more workers. And this chapter will show you how employees work, why they make you wealthy, how to get them, and the method I use to turn them into lead-getters.

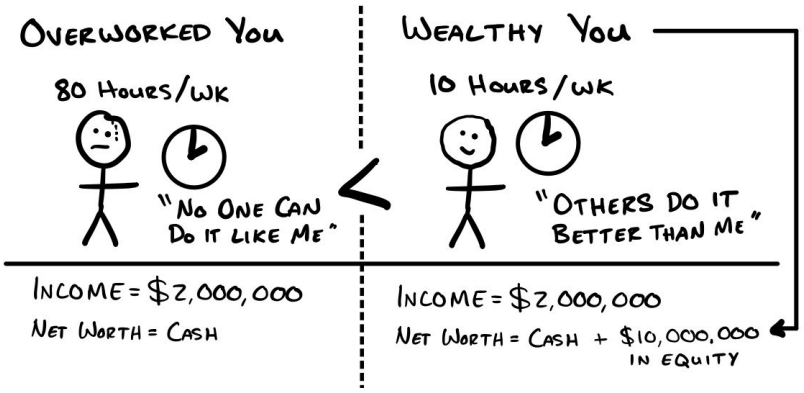
How Employees Work

Lead-getting employees are people working in your business that you train to get you leads. They get you leads the exact same way you got your own leads in the beginning. They can run ads, they can make and post content, and they can do outreach. They can do any advertising *you train them to do*. So more lead-getting employees means more engaged leads for your business. It also means less work *you* have to do to get the leads. More leads and less work? Sign me up! But wait… Not so fast…

Don't get me wrong–-*employees take work*. They just take less time and work than doing everything on your own. In my experience, if you trade forty hours of doing for four hours of managing, you work thirty-six hours less. Brilliant. And the best part is, you can make that trade over and over. You can swap 200 hours of work per week for twenty hours of management. Then, you trade the twenty hours of managing for a manager, who costs you four hours per week to lead. What remains is four hours of work for 200 hours of lead-getting. Boom.

Bottom Line: Employees make a fully functioning enterprise that grows *without you*.

Why Employees Make You Wealthy



For your business to run without you, other people need to run it.

Scenario #1: Imagine you have a business that makes $5,000,000 per year in revenue and $2,000,000 in profit. And, to make that profit, you have to work around the clock. In this situation, you basically have a high paying job. But let's say you're OK with working all hours and knowing your business would burn down if you took a vacation. Vacations are for losers anyways (kidding *cough* sort of…). We still have another important thing to look at…

Sure, you make a bit of money, but your business *isn't worth much.* If the business only makes money with you in it, then it's a *bad investment for* anyone *else.* That may not sound like a big deal right now, but let's consider an alternative.

Scenario #2: Your business makes the same $5,000,000 in revenue and $2,000,000 in profit. But there's one big difference: The business runs *without you.* This does two very cool things. One, it turns what used to be a risky job into a valuable asset. And two, it makes you *much* wealthier. Here's how:

First, you get your time back, so you can use that time to invest in your business, buy other businesses, or take your stinkin' vacations. Second, you become much wealthier because your

business is now *worth something to someone else*. You turned a *liability* that relied on you into an *asset* you can rely on.

If you have an asset that makes millions of dollars *without you* then that means somebody else could use it to make millions of dollars *without them*. In other words, your business is now a *good investment.* Then investors looking for assets, like Acquisition.com for instance, would buy some or all of it from you. And your $2,000,000 in profit per year, especially if it's climbing, could easily be worth $10,000,000+, *right now*. So your business went from having almost *zero* value to having $10,000,000 of value. So, learning how to get other people to do it for you makes a $10,000,000 difference to your net worth. I'd say it's worth learning how to do it.

Reminder: *You get rich from what you make. You become wealthy from what you own*. And it took me years to realize this because not that long ago…

Everything I Thought I Knew About Employees Was Wrong

Have you ever heard…

If you want it done right, you gotta do it yourself.

No one can do it like I do it.

Nobody can replace me.

I have. I said all that stuff. I lived all that stuff. For years, every time I hired somebody, I would compare what they could to what I could do. In my head, I felt like it was “me against them.” To somehow prove I was the more ‘able’ one. With my own team! And this belief, this way of “leading” people, never made me more money.

For business– “nobody can do it but me” and “if you want something done right you gotta do it yourself” aren’t facts… they’re false. Somebody did similar stuff before you were around. And somebody will continue doing some version of it after you’re gone. In one way or another–everyone is replaceable. It might be by multiple people, technology, or later in time, but *everyone* can be replaced. My suggestion: replace yourself as soon as you can. Then, you can make yourself useful somewhere else. Many other people figured this out. And so can you.

In the early days, whenever I started a business, I could do stuff better than the people I hired. My entire workforce always ended up looking like a ragtag group of misfits who could *kind of* do *one* of the many things I could do. This got me up and running at first, but I fell into the trap of believing I was better than everyone else. I would go back and forth between gloating because I was better than them and complaining because they weren’t as good as me. And for whatever reason, it never occurred to me *I was the one* who hired and trained them. Who was I kidding? The reality was twofold: First, I didn’t have the skills to train or lead a team properly. Second, I was too poor, and then (when I had a little money) too cheap to hire anyone better. In other words, it was *my* fault they sucked. Oops.

The more I tried to outcompete my employees, the more distracted I became, and the worse my business got. Sure, at the time, *maybe* I could do *anything* better than *any* of my employees. But… I

couldn’t do *everything* better than *all* my employees. And when I finally realized this, I started adopting better beliefs about talent:

‘If you want it done right, get someone to spend all their time doing it.’

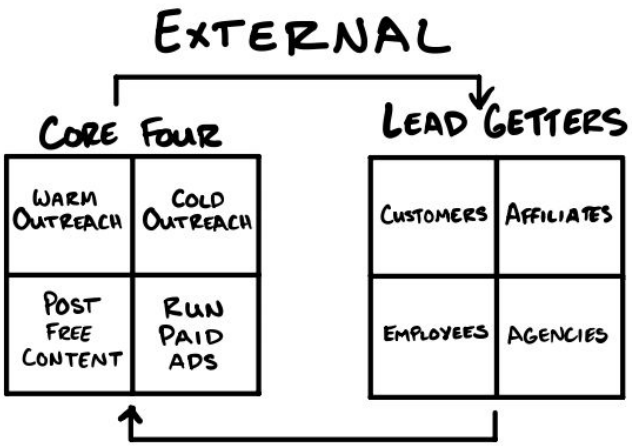
‘If I can do it, someone else can do it better.’

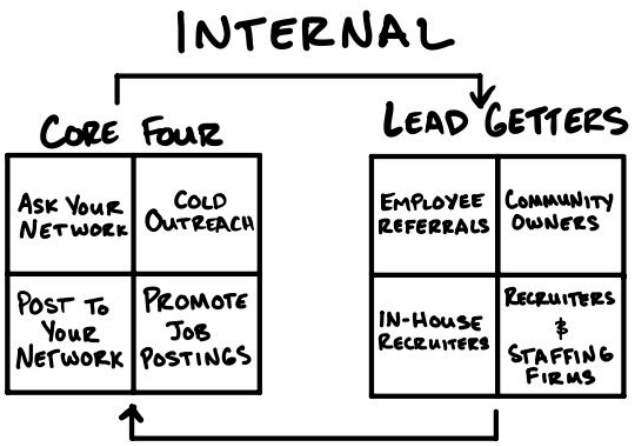
‘Everyone is replaceable, especially me.’

These new beliefs about talent not only made a much healthier culture in my businesses but also came with very profitable side effects. Trusting my employees to succeed made *my* time and attention *far* more valuable. If somebody else can do it, why would I? If somebody else could train them, why would I? If I could learn other stuff to grow the business while my team held the fort down, it makes *way* more sense to do that. So let’s do that.

How To Get Employee Leads: The Internal Core Four

Remember the core four? Well, they work for getting employees too. Imagine that. By changing the frame from “letting potential customers know about your stuff” to “letting potential employees know about your stuff” it *immediately* turns into something you already know how to do. But some people also have the opposite problem–they already know how to get employees just fine but still struggle to get customers. *Employees are just other people you let know about your stuff.* So you do the same thing!





Line up the actions to get employees with the actions to get customers. It's the same stuff!

<u>Customers → Employees</u>

Warm Outreach → Asking Your Network

Cold Outreach → Recruiting

Post Content → Posting Job Openings

Paid Ads → Promoting Job Postings

Customer Referrals → Employee Referrals

Affiliates → Associations, Guilds, Listservs etc.

Agencies → Staffing firms etc.

Employees → Employees (unchanged)

The ways you get employee leads and their lead getters have equivalents to the ways you get customer leads and *their* lead getters. So when you need to get new talent, you just advertise to get it. And when you need more, you do more. And like creating a reliable process to get customers, you can also create a reliable process of getting employees. And you'll need ***both*** to scale.

How To Get Employees To Get You Leads

Now you hire someone who costs you money every month. Great. Let's make sure you make it back, *and some* ASAP.

Note–some people looking for work will already know how to get leads. Those people are awesome. You can also count on them to cost more. And if you're starting out, you may not be able to afford them. So, your next best option is to train them. Thankfully, you have an entire book of lead-getting at your fingertips. So the next step is training your employees on how you do those lead-getting activities. I think about and actually approach training with this 3Ds mental model: *document, demonstrate, duplicate.* Here's how it works.

Step One - Document. *You make a checklist.* You already know how to do the thing. Now you just need to write down the steps exactly as you do it. You can also have other trusted observers watch you and document what you do. Bonus points if you record yourself doing the thing multiple ways and in multiple shifts. This way, you can watch yourself *as an observer* rather than breaking

your flow by pausing to take notes while you go. Once you've got everything put into the checklist, bust it out on your next work block and *only* follow those steps. Can you do an A+ job *only* following *your* directions *exactly*? If you can, you have the first draft of your checklist for the job.

Step Two - Demonstrate: *You do it in front of them*. Just like your parents taught you how to tie your shoes. You sit down and walk them through the checklist step by step. This may take a while depending on how many steps it takes to complete the thing. If they stop you, or slow you down to understand something, adjust your checklist for that. Now you have the second draft ready for them to try.

Step Three - Duplicate: *They do it in front of you*. Now it's their turn. They follow the same checklist you followed. Except this time, they're the one doing, and you're the one observing. We just want them to *duplicate* what we did. So if the checklist is right, the outcome will be the same. And if the checklist is off–you'll find out fast! Fix your checklist until it's right. Then, have them follow it until they get it right. And once they nail it, you now have a bonafide lead-getter on your payroll. Congratulations!

> **Pro Tip: Give Short Windows For People To Prove Themselves.**
>
> Most entry level advertising jobs aren't complex. It takes grit more than skill. If you trained someone properly and they're still below expectations three weeks in, cut them.

After you train your first few employees this way, you'll have worked out the kinks for that job and it's pretty smooth sailing

from there. At least the training part anyways. Think about it this way, if you vanished tomorrow, could a stranger get the results you get if they only followed your checklist? That's the level of clarity to shoot for.

Some helpful notes on training:

- A helpful way to look at this training style is: *If they get it wrong or get confused then we got it wrong or made it confusing.* If we have to explain what a step means then the step is too complicated. Or, more likely, we tried to put multiple steps into one.

- If they only appear to "get it" after a longish explanation or multiple demonstrations then, again, we've got some work to do. Business owners that ignore this run into chronic training problems. And, word to the wise, you can probably force an inferior checklist to work, but this turns into a *nightmare* when somebody else takes over your training for you.

- There is a difference between competence and performance. In other words, they can know exactly what to do and *not be that good at it yet*. If that's the case, then your instructions are fine and *they just need practice.* Using an analogy from the fitness world–think "slow then smooth then fast." You don't need to change anything, they just need more reps.

- *Focus on your employee's ability to follow directions more than whether they get the right result.* This is super important because if you train your employees to follow directions then… they will follow directions. And, if they follow directions and get the wrong result… *then you know it's the directions*. That's good. You have a lot more control over that.

- Everytime they do a step successfully–*let them know they did it right.* And if they respond to praise, praise them! And if they goof, that’s OK too. That’s what training is for. Don’t take over for them when they mess up–simply pause, take a step back, and let them try it again. Fast feedback cycles to get people to learn *faster*.

- If they follow your directions *exactly* and get the wrong result–still praise them for following the directions. Praise them, then make the corrections to your checklist on the spot.

- Avoid punishment or penalties of any type for doing stuff wrong during training. As a rule of thumb–reward the good stuff you want them to do more of and they'll do more of it. Learning a new skill is punishing enough, we don't need to add to it.

- It’s hard to fix multiple things *when you've never done something before*. Give feedback one step at a time. Give one piece of feedback at a time. Practice until they get it right. Then, move to the next step.

- Whenever there is a major dip from normal performance, retrain the team. They stopped doing an important step in the process (often because they didn’t know it was important). Once you figure out the step, reward people for following it going forward.

How to Calculate Returns From Lead-Getting Employees

Excluding the cost of running paid ads, the cost of advertising (outreach, content, etc.) with employees is almost entirely based on the amount of money you pay them to do it. We simplify this by just comparing how much money we spend on payroll to how much money the engaged leads they get bring in:

- Total Payroll / Total Engaged Leads = Cost per engaged lead.
    - Ex: $100,000 / 1000 leads = $100 per engaged lead
- If one out of ten of the engaged leads become customers then our CAC is $1000
    - ($100 per engaged lead) x (10 engaged leads per customer) = $1000 CAC
- If each customer has an LTGP of $4000 then you have an LTGP : CAC of 4:1
    - ($4000 LTGP) / ($1000 CAC) = 4:1

For example: at the time of this writing, I get about 30,000 engaged leads per month at Acquistion.com. I run no paid ads, and do no outreach. But the team responsible for creating the content that generates that interest is about $100,000 per month. This means, it costs me roughly $3.33 per engaged lead ($100,000 / 30,000 leads) in payroll to generate them. We make much more than $3.33 per lead, so we're profitable. You can apply the same math to whatever advertising method you use.

How To Know Which Employees to Focus On To Maximize Returns

Like we learned in Run Paid Ads Part II–if your cost to get a customer is within 3x industry average then you're doing *good enough*. From there, you focus on bumping up your LTGP.

If your CAC is more than 3x industry average then you have a sales problem or an advertising problem. We diagnose this with a single question:

Do my engaged leads have the problem I solve and the money to spend?

- If no, then they're not qualified–that's an advertising problem.
- If yes, then they're qualified and:
    - They're buying but you don't have enough of them–advertising problem.
    - They're qualified but not buying–sales problem.

Don't fire your sales guy if you've got advertising problems. And equally, don't fire your advertising employees if you've got a sales problem. That little question can help you identify which employees to focus on.

But fundamentally, you just need to figure out all *your* costs of getting a customer put together. And as long as they're at least one-third of the profit you make over the lifetime, you're in good shape.

Conclusion

The goal of this chapter was to *shift your perspective*. It's your job to advertise and sell the vision of your company. You advertise it

publicly *and* privately to employees *and* customers alike. That’s the job. And once you get good at it, you become unstoppable.

I say this because I believe anyone can be taught to do "ground level" jobs for any business– advertising or otherwise. So who you pick is not as important as how you train the ones you do.

Like I've said throughout the book and will say again here–it doesn't take a genius to advertise. I'd even say it hurts. We’ve got plenty more iron-wills than brainiacs anyways. Remember, this isn’t about brains, it's about guts. And although some people might be born geniuses, *nobody* is born with an iron will (after all, we all come out crybabies). All this to say having guts is a skill. And that means *anyone* can have the guts *if they learn how.* So if you have an iron-will, and as an entrepreneur you probably do, it won’t take long for you to figure out that you got it from your life experiences. You can pass those experiences on as lessons to anyone who cares enough to listen. Then, they can stand on your shoulders and have a better chance at succeeding in life.

And - you can’t really know anything anyway until you train them well and give them a fighting chance to succeed out in the field. Plus, for low level jobs, you'll never have a shortage of labor. Get picky when you have to make massive investments in hyper-specific-multiple-six-figure-C-suite employees. Aka - ‘fancy employees.’

I find at this current stage, it's actually a better use of time, to hire and train anyone *willing*. Then, when you find winners, and with this method you will: treat them well, don’t burn them out, and give them what they deserve.

In the land of overflowing leads, you’ll need allies. Employees are among the most powerful of these allies. We talked about: how

they make you wealthy, how they work, how getting them works, how to get them, how to get them getting you leads, how to keep them getting you leads, and how to know you're doing a good job. And once you've built a system for getting people who get you leads (doing the core four on your behalf), you just need to do more.

Author Note: A Word On Fancy Employees

I explicitly left out recruiting director level and up employees because you can easily qualify for Acquisition.com without them. And once you do become a portfolio company, we do it for you.

The Next Lead Getter…

The next stop on our advertising journey leads us to agencies. Yes, you can pay people to shortcut your path. I have paid zillions of dollars to agencies and I believe I've finally *cracked* the code on how to create a win for all parties. For us, so we're not dependent on them forever. For them, so they can make more profit and provide more value to their customers. They've been key to many breakthroughs I've had, so you won't want to skip this next one…

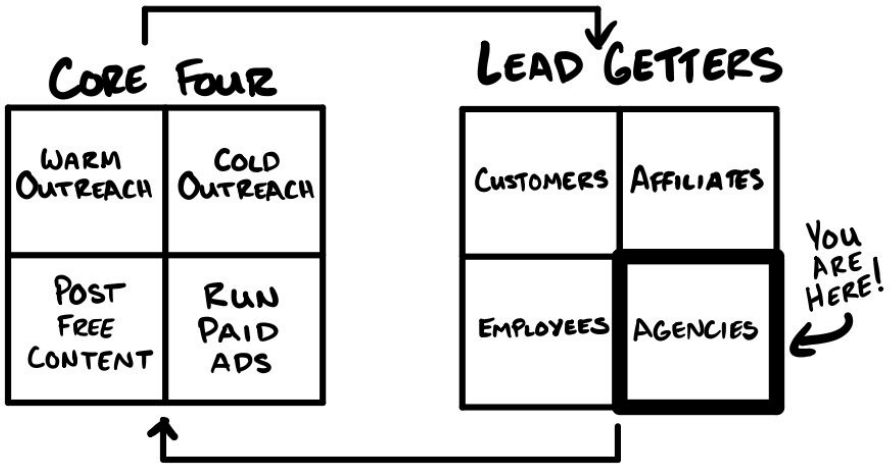
FREE GIFT: BONUS TUTORIAL - Build or Buy - The Talent Roadmap

The longer I do business, the more I ask “who” over what and how. This training may be one of the most tactical and important, because no matter what you want to build, you’re gonna need help. Since it’s so important, I made a training outlining this content in more depth with some downloads etc. You can watch it free at **Acquisition.com/training/leads**. As always, you can also scan the QR code below if you hate typing.

SCAN ME

#3 Agencies

"Everything is for sale"



Summer 2016.

I wasn't a tech guy. I was a fitness guy who had learned a few marketing and sales tricks building my gyms. But now I had five, and was launching my sixth. It was time to level up. Facebook had just released some new features: retargeting, interest groups, pixels, etc. And I didn't understand any of it. I bought a few courses but ended up more confused than when I started.

I asked a few friends if they knew anyone who could help. I got two referrals. Both were agencies. I was scared. I had never used one before. I had only ever heard horror stories about advertising agencies. Mostly that they cost a ton and never work. But then I realized that even if they did work, I'd ***need*** them forever. They'd have my business by the balls! It turns out my expectations weren't far off. They offered to run my ads alright, for an arm and a leg. Money I couldn't justify spending with my low margins. But, then

again, my advertising costs were killing me. And at this rate, in a few months, I wouldn't be able to keep my doors open. Stressful.

I refused the first agency because I couldn't afford it at the time. The second call started going the same way. I began to panic. *How am I gonna fix this?* In what felt like a last ditch effort to stay in business, I asked the second agency owner for what I *really* wanted…

"Can you just show me in a few hours how you would run ads on my account?"

"No." He fired back. "My time's not for sale."

Worried but still hopeful…"What sort of arrangement could we come to?"

He thought for a moment. Then his eyebrow shot up and a smirk appeared. "Fine. $750 an hour." *Gulp*. His intimidation tactic worked. But at least I knew his time was for sale... so I wanted to find out more.

"And for $750 per hour *you* will sit down with *me* and show *me* how *you* would run *my* ads?"

"Yes."

"And, I'd be the one doing everything? Like, you'll walk me through what to do and look over my shoulder as I do it, then you'll explain why you do it that way?"

“Yea”

“And you’re confident you can make my ads more profitable? … and show me the more advanced stuff too, right?”

“Yea. I mean. If you wanna pay me $750 an hour, we can do whatever you want. It’s your money” He said, half laughing. It sounded more like *It’s your funeral.*

I paused. “Alright. I’ll do it. We’ll meet one hour a week. You give me homework and I’ll study between calls. Fair enough?”

“Works for me. But you gotta pay for the first four hours up front”

So that’s what I did. I placed a three thousand dollar bet on this guy’s word that he knew what he was doing. *Yikes*. But, every week thereafter, I showed up. And like a good student, I came with notes and questions ready. I also recorded and rewatched every call because I didn’t want to miss anything.

The first two calls, he took the wheel and I watched. Calls three and four, he put me in the driver’s seat. By calls five and six, it clicked. I got how he made decisions and what data he tracked. At seven and eight, I realized I didn’t need his help anymore. I had learned how to run paid ads, at least on Facebook, like a pro. And, if I had to make a guess, it was because I learned it…from a pro.

In this chapter, we explore a not-so-obvious-but-much-better-way to use agencies to get more leads. Let’s get crankin’.

How Agencies Want You To Think They Work

Advertising agencies are lead-getting service businesses. You pay them to run paid ads, do outreach, or package and distribute content.

For example, let's say you want to post free video content. But, you know nothing about making video content or how to distribute it. You'd need to learn how to pick video topics, record videos, edit videos, make thumbnail images, and write headlines. Or, you'd need to hire the people who do. Enter the agency. They say they've hired and trained people to do that stuff already. So they promise faster, better, and more cost-efficient results than you could get on your own. And as soon as I had enough money, it felt compelling enough.

After my first experience with an agency, that I mentioned earlier and went quite well, I decided to use more. But my experience with the next ten plus agencies was *different* because I used them 'the right way.' Each went something like this:

Step 1: They got me excited about all the new leads they would bring.

Step 2: I'd go through an onboarding process that felt valuable (and sometimes was).

Step 3: They assigned their "best" senior rep to my account.

Step 4: I saw some results.

Step 5: They moved my senior rep to the newest customer...

Step 6: A junior rep starts managing my account. My results suffered.

Step 7: I complained.

Step 8: The senior rep would come back once in a while to make me feel better.

Step 9: Results still suffered. And I'd eventually cancel.

Step 10: I'd search for another agency and repeat the cycle of insanity.

Step 11: *For the zillionth time*–Start wondering why I wasn't getting results like the first time.

To be clear, like the introduction to this chapter shows, agencies *can* play a valuable role in business growth. But not the way *they* want you to. I don't want anyone else falling into the same trap. In fact, I hope all the money I wasted goes towards paying down your ignorance tax too. So keep reading.

It's frankly ridiculous that it took me so many years to figure out that I actually used an agency the *right* way…the *first* time! But now, after playing their game so many times, I feel I cracked the "how to use an agency" code. And it doesn't come from playing their game *at all*. It comes from playing a different one. And this chapter breaks it all down in three steps:

1. Hiring an agency versus doing it yourself

2. How I use agencies now. And how you can, too.

3. How to pick the right agency

Hiring An Agency Versus Doing It Yourself

First, let’s get this out of the way. Good agencies cost money. So if you have no money, then agencies are out of the question. You’ve gotta learn through trial and error. And that’s no big deal. *We all start that way*. But if you do have some money, I suggest using agencies for two things: learning new methods and learning new platforms.

If I want to learn new ways to do content, outreach, or paid ads, then I hire agencies offering new ways to do them. They’ve already made the big mistakes. So instead of wasting time figuring it out myself, I skip straight to the ‘make money’ part. I like the ‘make money’ part.

I also use agencies when I want to start advertising on a platform I don't understand. I make money faster because they do the early setup and maintenance for me and because I get them to teach me how to do it.

Hiring an agency is all about investing in important skills you can’t really learn anywhere else. That is, unless you go through *all* the trial and error to learn it yourself. And if you did, you lose the time, and attention you could have used to learn the other important stuff that scales your business. And scaling your business is the whole point.

Action Step: As soon as you have enough money for a good agency, start poking around. If you follow the rest of the steps in this chapter, you'll make it all back… and then some.

How I Use Agencies Now. And How You Can Too.

I've become a little more sophisticated than the story I told at the beginning. Here's how I use agencies now. Rather than believe the lie that "I'll never have to learn this stuff because they can do it," I start every agency relationship with a purpose and a deadline to fulfill it. I open by saying:

"I want to do what you do in my business, but I don't know how. I'd like to work with you for 6 months so I can learn how you do it. Plus, I'll pay extra for you to break down why you make the decisions you do and the steps you take to make them. Then, after I get a good idea of how it all works, I'll start training my team on it. And once they can do it well enough, I'd like to change to a lower cost consulting arrangement. This way, you can still help us if we run into problems. Are you opposed to this?"

In my experience, most agencies are *not* opposed to this. And if it doesn't work for them, that's perfectly fine. Just move on to the next agency. But, before you start kicking everyone to the curb, be willing to negotiate. At some price, it's worth it for both of you. Viva capitalism!

This is how I use agencies now. Like when I wanted to learn YouTube, I actually hired *two* agencies. The first, I hired to keep me committed to making videos while they did some legwork on the platform itself. The second I hired (at 4x the price) to really teach us the in-depth ideas behind making the best content

possible. And once our videos beat their videos, we dropped down to consulting only.

I've used this method again and again. I hire one "good enough" agency to learn the ropes of a new platform. Then, I hire a more elite agency to learn how to maximize it–*and I cannot recommend this strategy enough.*

If you are upfront about your intentions and the agency agrees, you get the best of both worlds. You get better short-term results because they (probably) know more than you. And, you get better long-term results because you learn how to do it yourself or your team learns to do it for you. *You also spend the maximum amount of time with their best reps*.

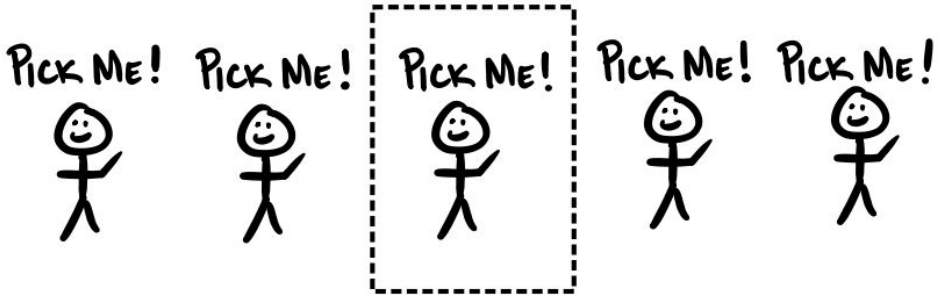
Remember, you only get a *fraction* of the agency's attention, so results get worse whenever they get new clients. Meanwhile, your team gets better and better because they stay focused on you full-time. So compare your team's results to the agency's until you beat them. Then, cancel the relationship and put the money into scaling everything you just learned.

Action Step: When you find an agency to work with (next step) set terms with them and deadlines for yourself. Use the template above as your guide. And feel OK with negotiating a bit to make it work.

Author Note: Yes, There's a Place For Agencies

To be clear, I still own equity in an agency software, ALAN. So I'm not against agencies. I just share how I've had success with them. Are there massive companies that use huge ad agencies? Sure. But they're not who I'm writing for. For most people, spending $10,000, $50,000, or $100,000 on an agency is a significant cost. So, this is how I've gotten the best return from working with them. Also - some people never want to learn - and for those people - agencies are great. I personally always want to learn, which is why I use agencies this way.

How to Pick The Right Agency



After working with tons of bad agencies, and a handful of good ones, I created a list of what all the good ones had in common. Now it isn't the last word on what makes a good agency, but it is useful stuff that's worked for me.

Here's what I look for:

1) Somebody I know got good results working with them. If you only know about an agency from their paid ads or cold outreach… they probably aren't as good as the ones who rely solely on word of mouth (and the best ones do).

2) Prominent companies got good results working with them. I may not know the companies personally, but if I recognize them, it's a good sign.

3) A waiting list. When demand for a service exceeds the supply, they are probably pretty good.

4) A clear sales process that makes a point to set realistic expectations. No funny business.

5) No short term hacks. They keep the talk on long term strategy. They also give clear timelines for setup, scaling, and results.

6) They tell me exactly what they need from me, when they need it, and how they use it.

7) *They* suggest a regular schedule of meetings and offer several ways to update me on their progress.

8) They give updates in simple terms and have clear ways to track so I know how costs compare with results.

9) They make a good offer:

    a. Dream outcome: is what they promise what I want?

b. Perceived likelihood of achievement: how many other people like me have they gotten there?

c. Time delay: how long will it take?

d. Effort and sacrifice: what do they require me to do when working with them? What will I have to give up? Can I stick with those for a long time?

10) They are expensive. All good agencies are expensive… but not all expensive agencies are good. So talk with as many as it takes. And use this list as a guide to find the good ones.

…if an agency checks those boxes, they're worth considering.

Pro Tip: Talk To More Agencies To Be A Better Customer

Being an informed customer *helps everyone*. So, before you buy, get informed. Talk to five or ten agencies to learn how they work. At first - you'll learn a bunch of new stuff. But over time, the difference between the better ones and the worse ones becomes obvious. *Now*, you can make an informed decision.

If the agency doesn't meet my needs, but I like the people, I'll ask them to refer me to another agency. A good agency offering a one specialty will send you to other good agencies who offer the one you want. Those are some of my favorite referrals.

Action step: Even if an agency agrees to your terms, talk with a few more before you make a decision. Compare them using the checklist above, and then pick the best one for you.

Conclusion

Even though this isn't the "traditional" agency model, *both* businesses benefit. They get a customer they otherwise wouldn't have. And we get a money-making skill for life. In the story at the beginning of the chapter - it cost me eight hours and $6000 to learn a skill that's *made me millions*. Does that seem worth it to you? It better.

And to make this agency method work at scale, you have to count on a good amount of time where you pay the agency and your team *to do the same stuff*. You've gotta give yourself some breathing room to get results from the agency, learn what they do, *and* train your team on it... all at once. Yes, it costs a lot of money. And yes, it's totally worth it when you get it right.

And get it right you can. After agencies put a low level employee on my account for the millionth time, it finally clicked. This can't be *that* hard. At first, it took about a year to get my team better than an agency. As I got better, it went down to ten months, then eight. And now, I've got it down. I can get my team as good or better than the agency in less than six months or less. And every time I want to learn a new method or platform, I repeat the process.

The better you get, the cheaper it becomes, and the more money you make. Funny, that sounds a lot like advertising.

Next Steps:

1) Decide if using an agency makes sense for you right now.

2) Talk to a lot of agencies to get a feel for the market. Don't be cheap.

3) Use the agreement framework I outlined.

4) Set a clear deadline to force you (and your team) to learn the skills.

5) Use both teams until yours beats theirs regularly.

6) Switch to discounted consulting until you feel like you're teaching them instead of them teaching you…then cut 'em loose.

Now that we know how to profit from the high risk world of agencies, we explore the lead-getter that's made me the most money. We recruit an army of businesses who can get us even more leads - *affiliates*.

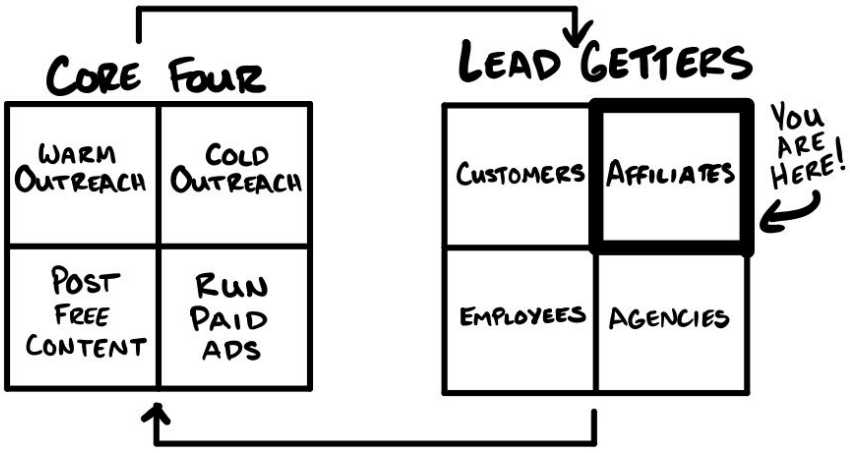
FREE GIFT: What To Look For in An Agency Checklist

If you want to know the best way to use agencies, rather than being used by them, I made a free training for you. You can watch it free at: **Acquisition.com/training/leads**. It has swipe files and some other goodies. As always, you can also scan the QR code below if you hate typing.



#4 Affiliates and Partners

"Nothing makes friends like money"



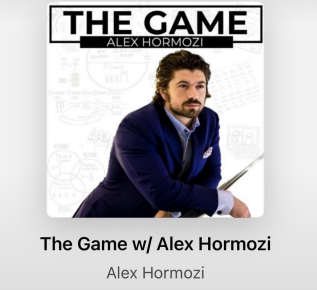
December 1st, 2018

I had no idea how the Prestige Labs launch would go. I had no idea if our clients would like it. I had no idea if the technology we built would work. I had no idea if payouts would happen on time. I had no idea if our warehouse would mess up orders.

But I did know over a year of preparation went into this launch. We put everything we had into creating a top-tier product. We spent over $1,000,000 custom-building affiliate software and training. And - we bought $3,000,000 in inventory for sales that may never happen. It took *every* business skill I had to make Prestige Labs real. And, in just a few hours, we would roll it out to our gym owner affiliates. I felt like a kid on Christmas Eve. And if it didn't work, *it wouldn't be for lack of effort.*

Author Note: The Game Podcast Episode 98 "I Remember"

If you want to go back in time, you can hear 'young me' talk about my thoughts/concerns the night before the launch. You can be right there with me. It's episode 98 on my podcast The Game with Alex Hormozi titled "I Remember." This is before I knew the success it would become. To find it, just go wherever you listen to podcasts and search "Alex Hormozi" and it'll come up.



Launch day…

I finished the two-hour presentation soaked in sweat. *It's done*.

I 'sold' the opportunity to sell my supplement line at their gyms. I would *train* the new affiliates to promote Prestige Labs at their gyms. So, for this to work, they would have to go through the training *and* use it. But, if they did, everyone would profit. I had no idea if it would work.

Three weeks later…

We made $150,000 in *total* sales. Meanwhile, $3,000,000 worth of product sat in an air-conditioned warehouse… *It didn't work*.

At this rate, including operating costs and affiliate payouts, it would take five years to *break even*. Even if we could stick it out, our premium product would expire well before then. We were all but screwed. I felt miserable. It was terrible. *Who am I to think we would sell all that stuff? I just wasted MILLIONS. How could I be so stupid?*

But…on the fourth week…something wild happened…

BOOM! $100,000 on Monday.

BOOM! $110,000 on Tuesday

BOOM! $92,000 on Wednesday.

We did over $450,000 in sales the fourth week *alone*. The trend continued. $429,000…$383,000…$411,000…$452,000. We averaged more than 300 orders per day across 400+ active affiliates. Orders just kept coming in. Check out the snapshot of our internal report below. It shows, from left to right, revenue by ***week***. I couldn't believe the results. Sometimes, I still can't.

Gross Revenue	$429,112	$383,717	$411,848	$404,838	$452,204
Net Revenue	$407,164	$358,073	$391,197	$384,119	$429,982
Refunds	$21,948	$25,644	$20,651	$20,719	$22,222
Count of Orders	2266	2052	2084	2124	2367
Average Order Size	$189	$187	$198	$191	$191
Active Affiliates	428	409	416	437	444

The best part is, *I didn't advertise or sell any of the products at all.* No paid ads. No sales team. Nothing. The affiliates did everything– and the affiliate machine I built still prints money to this day. So if that sounds like something you're interested in, hang tight, because I'm gonna show you exactly how I built it.

How Affiliates Work



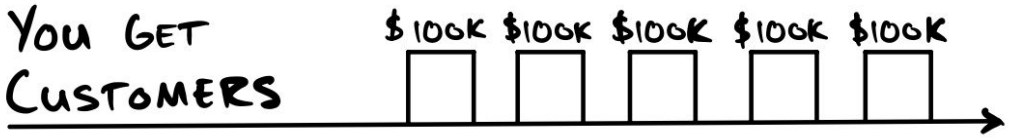
An **affiliate** is a lead-getter. They are an independent business that tells their audience to buy *your* stuff. Affiliates seem like referrals on the outside, but are much different under the hood. First, they have their own businesses and do their own advertising. Second, they agree to offer *your* stuff to *their* engaged leads in exchange for money, free stuff, or both.

Now, you get affiliates by advertising and then making them offers *just like you would customers.* But, affiliates demand a unique type of offer. Instead of offering your product, you offer a fast, simple, and easy way to make commissions promoting it. And that can mean literally millions of engaged leads to your business. So this makes affiliates one of the highest-leverage lead-getters out there.

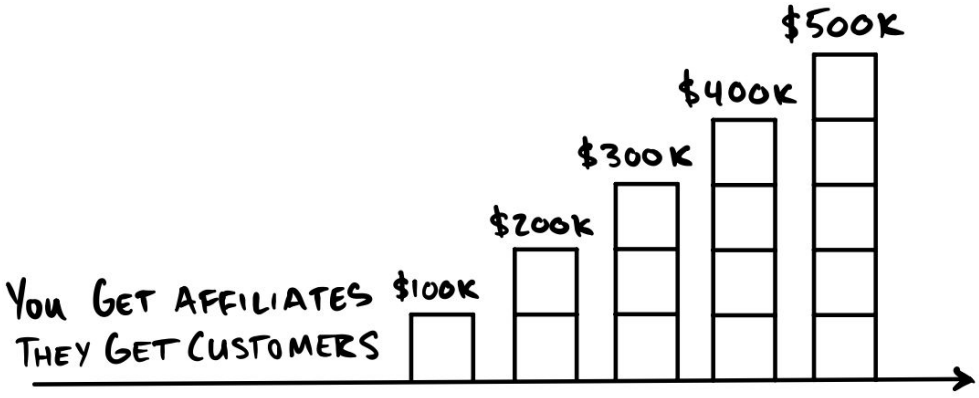
Why You Want An Affiliate Army

Each affiliate you get adds another *stream* of leads and customers. So recruiting, activating, then integrating with an army of affiliates causes crazy scaling, fast. That's good. We want that.

Compare these two scenarios:



Scenario #1: You sell ten *customers* per month worth $10,000 each. Your business caps at $100,000 per month. In twelve months you've made 1.2 million. Assuming no other advertising, your business *plateaus*. Low-Leverage.



Scenario #2: For the same effort, you sell ten *affiliates* per month. Each month, those affiliates bring you *one* of those $10,000 customers. Now, every single month you add an *extra* $100,000 in

revenue. In twelve months you've made *7.8 million*. And it grows *every month thereafter.* Same work, more money. High-Leverage.

Let's use ALAN, my software company I grew with affiliates, to show how this works in the real world:

ALAN grew with three levels of affiliates:

1) Agency super-affiliates who brought agency leads

2) Agencies who brought local business leads

3) Local businesses who brought end consumer leads

One super-affiliate added ten agencies per month. The ten agencies brought in a combined fifty or so local businesses per month. Those local businesses brought in a combined 2500 leads per month. ALAN worked those leads for about $5 a pop. A cool $12,500 *per month*.

But it didn't stop there. Each super-affiliate brought in *more* agencies who brought in *more* local businesses who brought *more* leads every month after that. So every super-affiliate we signed on brought in $12,500 the first month, $25,000 the second, $37,500 the third, and so on. With only a few agency super-affiliates, we scaled to $1,700,000 per month within six months of launching. *That's* why you want an affiliate army. So let's build one.

How To Build An Affiliate Army in Six Steps

Affiliates are among the most advanced ways to get engaged leads. First, you have to convince them to advertise someone else's stuff.

Second, you have to convince them to advertise *your* stuff. Third, you have to *keep them advertising* to make them a long-term lead source. It seems like a lot. And it is. But, I have good news…

I've built two companies with affiliates: ALAN and Prestige Labs. Together, they have done more than $75,000,000 in revenue from over 5000+ affiliates. And the affiliate strategies I share worked for me. So they can work for you. I'll break down each step.

Step 1: Find Your Ideal Affiliates

Step 2: Make Them an Offer

Step 3: Qualify Them

Step 4: Figure Out What To Pay Them

Step 5: Get Them Advertising

Step 6: Keep Them Advertising

That's it. Let's dive in.

Step 1: Find Your Ideal Affiliate

The ideal affiliate has a business with a warm audience full of people like your customers. Start making a list of those businesses. If none come to mind, answer these questions about your best customers:

What do they buy? → Who provides that stuff?

Where do they go? → What businesses are in those surrounding areas?

What do they like to do? → Who provides those services?

If direct to consumer–the employers of your consumers could make great affiliates:

What types of businesses do they work for? What kinds of jobs do they have?

In a nutshell… *Who's got my leads!?*

For example, when I started ALAN, agency owners were my ideal affiliate. So I made a list of 200 products and services *for agencies* and the businesses that delivered them. After a little bit of work I realized they fit pretty neatly into categories: **softwares, products, equipment, services, groups they belong to, and events they attended**. Every time I create a new affiliate "hit list" I start with these categories. Note: If you find a business that falls into multiple categories, there's a high chance they've got lots of good leads for you and that they'd make a great affiliate.

Now that I knew the businesses that had my leads I knew exactly where to put my advertising efforts. It wasn't fancy, so don't overthink it.

Action Step: Make a sheet with each of these questions and categories. Search online to fill it in. If you struggle, call up your customers and ask them! End result: Create a lead list of your highest potential affiliates.

Step 2: Make Them An Offer

We make the affiliate-offer and advertise it the same way we would any other offer. We call out our audience, show our value elements, and then call them to action. But affiliates will only sign up with us if we give them a strong reason. Thankfully, it's pretty simple. Since affiliates are businesses, or start a business by signing up, *you offer them a new way to make money.* We'll start with the callout.

Call out:

Call outs for potential affiliates often include:

- The affiliate business owners themselves - *ATTENTION SPA OWNERS*
- The affiliate's customers - *Do you work with busy professionals who spend all day in meetings?*
- Results the affiliate businesses promise - *To the heroes who heal the stress of others…*
- Products and services the affiliates deliver - *If you sell lotions or scented oils this is for you…*

- To our own customers - *Do you know anyone who owns a spa?*

Now that we can grab a potential affiliate's attention - let's make it worth their while…

Elements Of Value

There's an unlimited number of ways to show value, but all money making offers follow a similar structure. That's good news, we don't need to reinvent the wheel. Most affiliate money making offers show value like this:

Make more money from your current customers and get more leads than your current offer (dream outcome)…with a high chance of working since your customers already want the product (perceived likelihood of achievement)...without needing to build, deliver, or provide customer support for the product yourself (effort and sacrifice)...so you can start selling it tomorrow (time delay).

Action Step: Explore the different value elements and fill in the blanks. I won't go deeper on this since we've covered it already. You simply need to make *affiliates* the customer you're advertising to.

Now that we've got the potential affiliate interested in our offer, let's qualify them.

Step 3: Qualify Them

Potential affiliates become actual affiliates when they understand and agree to your terms. And - just like customers - we want to get them their first win as fast as possible. So we setup our terms to force them to win as fast as possible.

I do that by getting them to invest. I prefer they invest their time, their money, *and* in the product itself. Any can work. But, nine times out of ten, *if they pay, they'll pay attention*. Here are the two ways I get my affiliates invested and winning: make them a customer, and make them an expert. Let's dive into each.

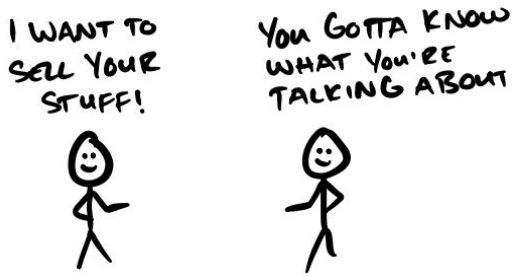


<u>Way #1: Make Them A Customer</u>: Make them buy and preferably use the product to keep affiliate status. This is the lowest barrier investment that's worked for me. I've found the more money an affiliate invests in your product, the more money they make. This should make sense. If they don't believe in your stuff enough to buy it, they probably shouldn't sell it. You can tell them I said so.

Pro Tip: Bulk Purchases

If you need to make more money per affiliate, you can require them to buy in bulk. This was huge for Prestige Labs affiliate success. Once they bought a big package up front they started following through and winning. The bigger investment ultimately made them (and us) more money. If you have physical products, then try bulk purchases. If your company has a line of products, like Prestige Labs does, then toy around with big bundles.

Here's how you phrase the offer: *"So you want anything extra or just go with the minimum order?"* By presenting a minimum purchase, they will at least buy that. And more often than you think–they'll buy *more than* the minimum. Badaboom.



Way #2: Make Them An Expert: I make them pay for the onboarding and training that certifies them as a product expert. If you have them buy a product to become an affiliate, you can have them use that as credit towards a certification. As in, the certification *comes with* the products they bought. Now, aside from actually making the affiliate useful, certifying them does two things. First, it covers some of the costs of advertising. Second, it

means I can afford proper onboarding and training of every. single. affiliate.

How much do I charge? I recommend 10-20% of what the average active affiliate makes in the first twelve months. So if your average affiliate makes $40,000 per year selling your stuff, then charge $4000-$8000 to onboard and train them. Too low, and you won't get them invested. Too high and you won't get enough affiliates. I found 10-20% maximizes the number of people who become *active* affiliates. If you're just getting started and have physical products then use the bulk purchasing strategy from the pro tip. Otherwise, you can use the strategy from the warm reachout chapter and raise the minimum investment every 5 sign ups until you hit the sweet spot.

Action Step: Make your affiliates customers, experts, or both (my favorite way). If you don't get enough people to start, lower the commitment. If you don't get enough people to follow through, raise it.

Step 4: Figure Out What To Pay Them



The first biggest problem to solve with affiliates is getting them bought in. But the second biggest problem is how to *keep them bought in.* And no matter how you slice it, keeping your affiliates

bought in depends on how you reward them for advertising your stuff. I prefer to reward people that do things I like with money and free stuff, especially if they make me money first. So let's talk about that.

When I figure out ways to pay affiliates I look at two basic things:

1. What they get paid for

2. How much they get paid

1. *What* They Get Paid For

Before I do any affiliate payout money math I ask myself a simple question. What *exactly* do I want the affiliate to do? Once I figure that out, *that* is what I pay them for. Then, more often than not, how much they get paid and how often they get paid nearly solve themselves. I pay affiliates for two basic things: new customers, and repeat customers. Over time, if you track your metrics better, you can pay them for steps *before* someone becomes a customer. Like for the lead magnets downloaded, appointments set, or anything else you know reliably turns into sales for you.

2. *How Much* They Get Paid

I suggest paying affiliates based on your maximum allowable cost to acquire a customer (CAC).

Example: choosing your maximum allowable CAC. Let's say we sell a single-use product for $200 and it costs $40 to fulfill. This gives us $160 to pay the affiliate *and* run the business. If we want an LTGP:CAC ratio of 3:1 then three parts goes to the business–

$120. And one part, *$40,* goes to the affiliate. This means we will pay up to $40 for an affiliate to get a new customer.

But here's where things get interesting. I used to give away the farm (the whole CAC). I suppose I still do, but I've gotten pickier about who I give it to. Not all affiliates are created equal. So, I suggest having a three-tier payout structure. Using the example above, with a $40 maximum allowable CAC, a three-tier payout structure might look something like this:

- Tier 1: 25% CAC = $10 Payout - Anyone who agrees to my initial terms qualifies.
    - Example: They sign up and buy products or a certification.
- Tier 2: 50% CAC = $20 Payout - Once they activate.
    - Example: *actually finishing the certification they bought*, doing a specific number of posts and outreach, doing a launch, etc.
    - This gives them a nice reward (twice the pay) for activating.
- Tier 3: 100% CAC = $40 Payout - Once they sustain a level of performance.
    - Example: They maintain five customers per month on subscription.

This tiered method also has a hidden and very profitable side effect. The average payout is *much less* than your maximum allowable CAC. This means if we leave the maximum payouts for top affiliates, then we get to keep the "leftover" profit. We can use the leftover money to run huge contests, advertise to get more

affiliates, incentivize rising stars, etc. Or, I suppose, we can just plain pocket it.

For example, if 20% of sales come from tier 1, 20% from tier 2, and 60% from tier 3, your blended payout is $30 instead of your maximum allowable CAC of $40. This means your LTGP : CAC ratio just improved from 3:1 to 4:1. And often, cutting marketing costs by 33% can translate into 10% to 20% more net profit at the end of the year. A massive jump.

Pro Tip: Pay With Product If Possible "Sell 3 Get It Free"

Everyone likes free stuff. Often, more than what it would cost them to get it. Rewarding performance with product is a cheap *and* effective way to keep them winning. They value it at retail, but it only costs you - your cost. A nice arbitrage of value.

Set sales tiers and bonus your affiliates with product or credit toward the retail cost. At lower tiers, you can even compensate *exclusively* with free stuff. For example: If your affiliates send you tons of massage clients, it's totally acceptable to reward your affiliates with free massages. At low volume, a massage is often worth more to them than sending them a check for $30 (your cost). But as affiliates send you more customers, they'll usually opt for more money. After all, cashing in 100 massages becomes unrealistic.

At Prestige Labs, I offered anyone who sold more than three packages per month a free $200 bundle of their choosing. This also made every affiliate a sponsored athlete. They got free products for life as long as they kept three clients per month buying. I called it "Sell three to get it free."

Action step: Figure out what you want to pay your affiliates for so that you can plan out how much to pay them, with what, and how often.

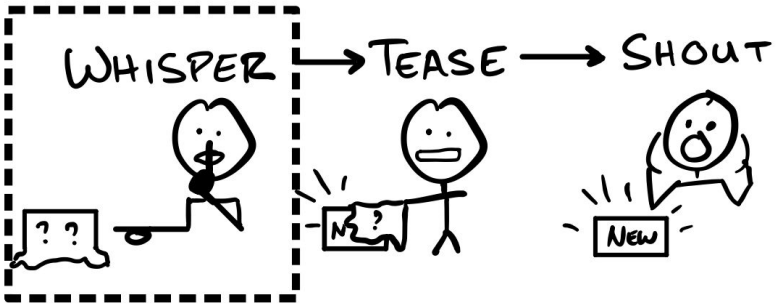
Step 5: Get Them Advertising – Launch

Like referrers, how much value affiliates get from you determines how much they advertise your stuff. So, *treat them like customers*. Give them something good, fast. And nothing does that for affiliates like big launches and lots of cash.

Here's how launches work:

Affiliates advertise your lead magnet or core offer to their audience *before they can buy it*. They post. They do warm outreach. They run paid ads. They may even do cold outreach. They do as much advertising as they can until the day of launch. When the product is available, they sell it to all the engaged leads they assembled. Some sell one-on-one, some pitch to the whole group. And others simply make the product available.

So if you're gonna do launches to activate your affiliates, which you should, you may as well do them right. I use the whisper-tease-shout method. I can't remember where I first heard this, but the name stuck. Let's launch.



Before we get launching, remember: *good launches have the work done ahead of time.* So do all the work for them. Then, they can

plug and play. Let's break down each launch phase. And, I'll give an example of my book launch to drive each point home. Note: this is how you launch *anything*, not just affiliates. I put it in the affiliates section because I haven't found a better way to activate affiliates than launches.

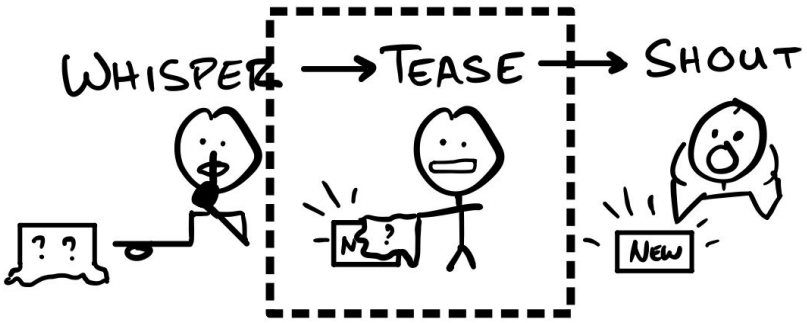
Whisper: *Think "Call Outs."* Like an ad, the key to the whisper phase is *curiosity*. Keep the product itself mysterious and hint at how big of a deal it is. Keep whispers short. And bonus points if you show behind the scenes of making your product.

If you have something in the works, you can start the whisper phase a few years out. The further out you start whispering, the bigger deal it becomes to your audience. We start this early because, the longer something appears to take, the more an audience will value it. For example, all other things being equal, an audience will value a product that took ten years to make more than one that took ten days. So - *show your work*.

Remember: curiosity comes from wanting to know what happens *next*. So embed questions about the product in their minds. We need to tell them about something they want to know more about, then say…*not yet*.

For example during the whisper phase of my book launch: I posted content, reached out to friends, emailed my list, and told potential affiliates about major updates to the book. I showed what draft I was on. I took pictures behind the scenes of me printing out drafts. I showed the many versions of the frameworks I drew. I shared videos of myself editing the book early in the morning and late at night, etc…all of it made *people who want leads* get curious and *pay attention*.

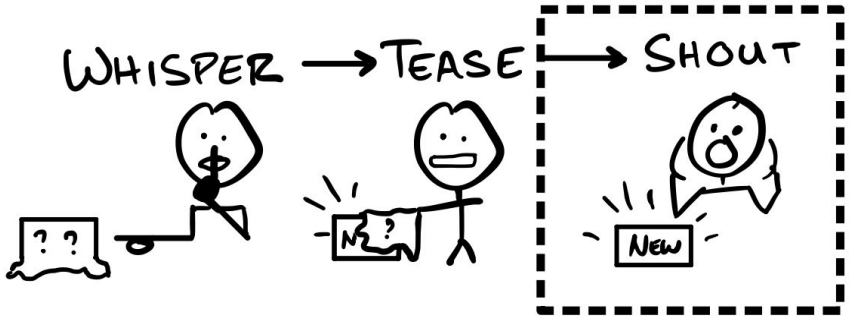
Action Step: Start whispering every four to six weeks until you get sixty days out. Then whisper every two to three weeks until you get thirty days out. Then, start teasing…



Tease: *Think "Elements Of Value."* It's time to start satisfying all the curiosity you created during the whisper phase. Reveal your product, make the date of the launch public, and start ***showing*** the elements of value. Use the What-Who-When Framework from the paid ads chapter.

For example during my book launch, the tease phase: I was more specific and revealed more "hard" information about the book. I started advertising how the book satisfied the dream outcome of limitless leads. Of doing less work, and getting it done faster than they could imagine. I also showed dozens of examples using the book to its potential.

Action Step: Start teasing once per week until fourteen days out. Then tease twice per week until three days out. Three days out, it's time to shout from the rooftops.



Shout: *Think "Call to Action."* Give specific actions for the audience to take when the product launches. Now you start pounding the audience with bonuses, scarcity, urgency, and guarantees around being "the first ones." You shout to get as many people exposed to your offer as you can.

For example during my book launch, the shout phase: I gave specific calls to action. Short, sweet, clear reminders to register for the book launch. I reminded everyone of the exclusive bonuses only for people who bought during the launch.

Action Step: Shout at least twice a day starting three days out. On the day of, start shouting every few hours until two hours out. Then shout every thirty minutes until you launch the product.

Pro Tip: Movie Releases

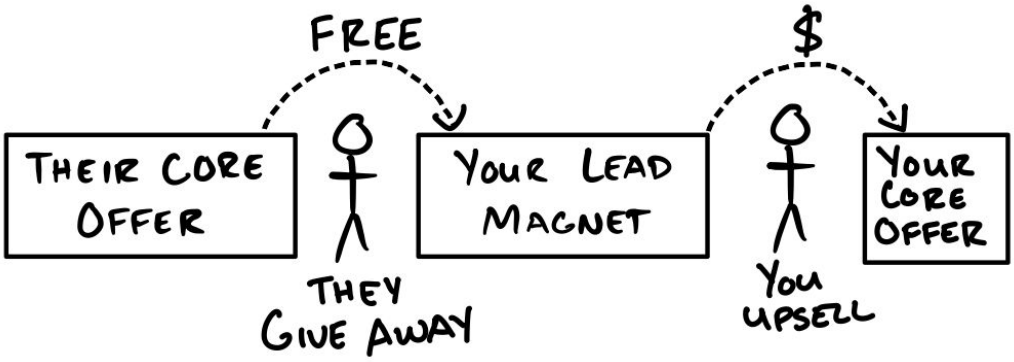
The best real world example of whisper-tease-shout is movie releases. They do five second trailers a year out. Then a thirty second ninety days out. Then longer trailers as the date approaches. They drive curiosity, then interest, then action.

Action Step: Get your affiliates to launch. Set them up with everything they need to do the whisper-tease-shout right. They do the advertising. You get the engaged leads. *Everyone* gets paid.

Step 6: Keep Them Advertising

The strategy we use to *start* them advertising differs from the one we use to *keep* them advertising. In an ideal world, you sell an affiliate once and they send engaged leads for life. Integration gets us there.

I've got three ways you can integrate your product into their offer. I order these from easiest to hardest. First, you can get them to *give away your lead magnet* with every purchase of their stuff. Second, you can get them to *sell your lead magnet separately* to their audience. Third, you can get them to directly *sell your core offer*.



They give away your lead magnet for free, which makes their core offer more valuable for no extra cost. Then, you upsell your core offer and every offer thereafter.

1) Affiliates Give Your Lead Magnet Away When Somebody Buys Their Stuff. The idea here is for your lead magnet to make the affiliate's offer more valuable. This allows them to charge more for it *and* get more leads than they could without it. Remember, the best lead magnets give away a free trial or sample of your thing, reveal a problem, or offer a single step of a multi-step solution. Here are examples of each:

Samples And Trials: Say I sell massages and recruit the personal training studio next door as an affiliate. Now, everyone who buys personal training from them gets a free massage from me. The personal training studio now has a stronger offer they can charge more for *and* we get more massage leads. Everybody wins.

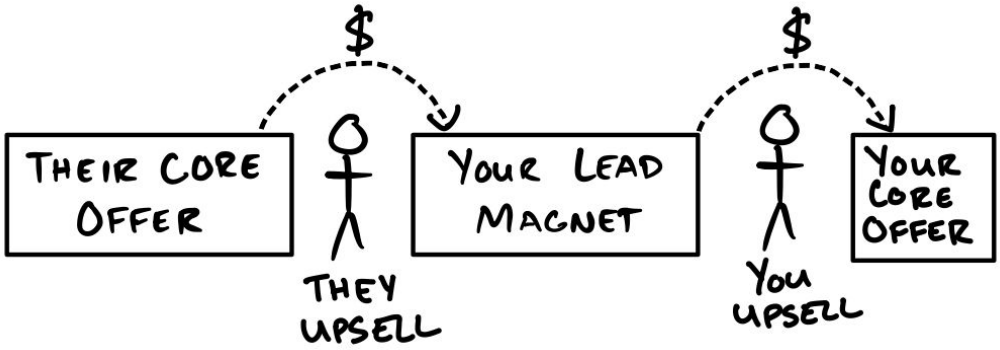
Reveal a Problem: Instead of giving a free massage, we offer a free or discounted posture assessment with every training package they sell. Assessments and discounts add less value to the affiliate's offer, but some people will still do it. And to be clear, after assessing the customer, you make them an offer to solve the problems you revealed.

One Step In A Multi-Step Process: Say you have a three-part treatment plan. Massage, stretching, and adjustments. People getting enough value from one step will fear missing out on the rest of the steps. So the more they think the other steps will help solve their larger problem, the more likely they are to buy them. Your affiliate would give away step one of your multi-step process for free. You'd upsell the leads from there.

What I did. We'd get gym affiliates to give away a free nutrition consult to every new member. Then, we'd upsell our products at the consult. They can market that they have nutrition consults included to get more leads and they could charge more for the added value. And we get the opportunity to sell those leads. Everybody wins.

Pro Tip: White Label Lead Magnets

One of my favorite strategies is to let them use the lead magnets I've already made for my audience, *for theirs*. Just make sure your affiliates agree with how you give value *and* understand your call to action. At most, a few tweaks in the copy will make your lead magnet work for them. For example, for gyms, I made white-labeled (no logo) meal plans, grocery lists, and food prep instructions. I gave them to the gyms to use as lead magnets *for their customers*. All they had to do was slap their logo on it - and boom - their audience got to benefit from all my work *instantly*. And, we *both* got more leads.



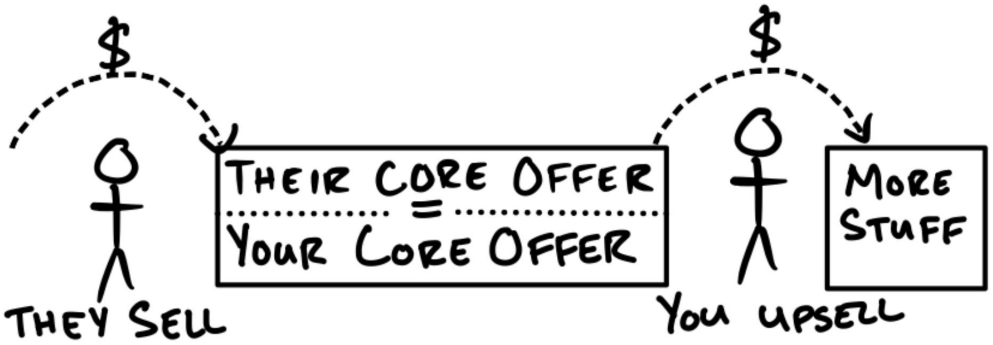
They sell their core offer. Then, they upsell your lead magnet. Then, you upsell your core offer and every offer thereafter.

2) Affiliates Sell Your Lead Magnet. Basically, the affiliate can sell anything of yours that turns their customers into your customers. It could be a book, an event, a service, software, a sample product, etc. Also, giving affiliates all the cash from selling

a lead magnet *you fulfill* becomes all profit and no work for them– an attractive proposition for any business. Your money comes by selling your main thing for more than it cost you to deliver your lead magnet. And if you do it this way, you don't need to split any money with them on your core offer. Another win-win.

Example: They sell each of those things we gave away for free in the step above. They sell your massage at a discounted price. They sell your assessment (which you could do 1-1 or in a group format like a workshop). They sell part one of your multi-step solution.

What I did. The gyms would sell a nutrition consult with us and keep the money. They'd maybe charge $99 or $199 to sell an hour of our time. If we were clever, we'd let them keep all the money. If we do, they'll send us even more leads. Then, we'd upsell our products during the consult.



…then you split the money. Either you split the upfront cash, all cash for a certain period of time, or all cash forever. I prefer to pay forever so my affiliates stay motivated to keep my customers forever. And, I never cap payouts.

3) Affiliates Sell Your Core Offer. An affiliate sells your core offer directly to their customers and adds another source of income without extra work. For some affiliates, this is their entire source of

income! Many companies offer this structure as either a new business opportunity or a bolt-on to the affiliate's existing business. Either way, anything you sell, they can sell. When you do it this way, the affiliate will get a higher percentage of your lifetime gross profit - but - you won't have to do anything but deliver.

Example: They sell your entire massage package. They sell your entire program or services. They bundle their services with your paid services and charge an even higher price.

What I did. We taught gyms to hold nutrition consultations with white labeled products. Then we taught them to upsell our supplements right to their members and we split the money.

All three strategies work. They're just different. After testing, we continue to do Strategy 1 (twice per year as a big event) and Strategy 3 on an ongoing basis. That being said, many similar businesses in our portfolio use Strategy 2. I'm just sharing what worked for us.

Bottom Line: Integration is the long term strategy for using affiliates to get enduring lead flow. Treat affiliates like customers. Make your offer make sense for their business. Make it so good they'd feel stupid saying no.

Action Step: Integrate with your affiliates by choosing whether you want them to give your lead magnet away, to sell your lead magnet, or to sell your core offer directly.

Those are the six steps to recruiting an affiliate army. Now that we covered that, let me give you three real-life case studies to drive

this home.

Three Case Studies You Can Model

Service Business Case Study #1: National Tax Preparation Services

My friend's $50M business prepares LLCs, bank accounts, and articles of incorporation. He focuses on people starting businesses for the first time. But, he doesn't try to compete with Legalzoom. Instead, he built it partnering with people who train new entrepreneurs. His strategy is simple: help those people sell more of their stuff by also selling his stuff. So, he offers every affiliate's customer a free LLC setup. Remember learning about the "high cost lead magnet" from Section II? This is one of those.

Launch: He does a big blast off seminar to his affiliates' audiences to kick things off. People happily take him up on his free LLC offer. That's his lead magnet.

Integrate: Once affiliates see the success of the launch, they integrate his lead magnet into their core offer. Then, my friend's team gets on the phone with the *customers his affiliates bring him for free*. Here's how he makes his money. He sells them what they'll need next. The services they'll need to start their business: bookkeeping, tax preparation, etc.

He hasn't spent a dollar on paid ads. His true advertising costs are two things. One, delivering his free lead magnet (the LLC setup). And two, paying a percentage of every first sale to the affiliates that sent them. That's it. And everybody wins.

Physical Products Case Study #2: Prestige Labs, my supplement company

We sell gym owners at Gym Launch and train them how to advertise and sell their gym memberships. Prestige Labs has a line of supplements for active adults. This makes Gym Launch a perfect affiliate for Prestige Labs. It has a community of gym owners that also have active adult customers. So when Gym Launch sells a new gym owner, they introduce the new gym owners to Prestige Labs. Then the Prestige Labs team follows the "launch then integrate" strategy above. (We really do this).

Launch: We give the gym owners advertising materials so they can re-engage their current and former customers. We focus on warm outreach and posting free content for a free 28 day challenge. When they come in for the free challenge, gym owners sell them supplements to use with the program. The gym owner gets more customers. They make money. We make money. Everyone wins.

Integrate: After the launch, we teach them to sell supplements to every new gym member. So when new clients buy a membership package, the gym owner sets up a nutrition orientation. At the nutrition orientation, the gym owner sells them $50-$1000 of supplements. So if a gym signs up twenty clients per month, and gets seventy percent of them to buy supplements, we get fourteen new customers per month per gym. It doesn't sound like much, but when you multiply 4000 gyms x 14 new sales per month x $200 average order = a lot of money every month.

Local Business Case Study #3: Chiropractors

Chiropractors want new patients. And a portfolio company of ours teaches them to use an affiliate strategy to get them. Their model is simple: go to high volume businesses that have people that are in need of adjustments. A gym fits the bill nicely. Here's what they do.

Launch: They get the gym owner to promote a three hour workshop where they show correct exercises and posture to get more from their workouts. The gym owner promotes the workshop for free *or* sells the workshop for $29-$99 per person. The chiropractor splits the money with the gym owner. Hint: if you give the affiliate (gym owner in this case) 100% of the money, they'll want to do it more. So if a gym gets thirty people to show up for $99, they make $2970 profit for zero work besides a few emails and posts. At the workshop the chiropractor soft pitches their services and gets a bucket of new patients. Easy peasy lemon squeezy.

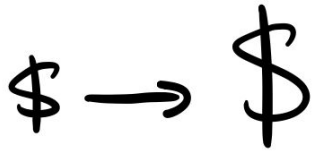
Integrate: Long term, the chiropractor convinces the gym owner to include one to two adjustments with every new membership the gym signs up. This increases the value of the gym membership compared to the guy down the street. And, it shows the gym prioritizes its members health and safety (a big concern for beginners). Win win. Now, every new gym member becomes a lead for the chiropractor to follow up with. They repeat this process with thirty gyms, and get more patients than they can handle.

Pro Tip: Employees Are Leads Too

Companies that hire a lot of people make great affiliates. This is HUGE for direct to consumer businesses and *wildly* underused.

Example: Every new hire at a company gets a free massage in their new employee packet. Or, you can give free massages to their employees at lunch. It's free. It's easy. And lots of companies want to provide more value to their teams. They get free value, you get free leads. And since they're probably not in the same business as you, there's no risk of you 'competing' with theirs. So employers can be among the easiest affiliates to integrate with.

Costs and Returns



"Affiliates can't work for my business" the loser said.

"I have to make affiliates work for my business" the winner said.

Be a winner.

When calculating returns with other methods, we compared lifetime gross profit (LTGP) with cost to acquire a customer (CAC). So we spend money to get customers and the customers, in a profitable business, give us *more* money back. Affiliates work

differently. We spend money to get affiliates, sure. But we don't really make much back *from* affiliates themselves. Instead, the money we spend to get an affiliate comes back *from the customers they bring us.* So to calculate returns, we compare how much it costs us to get an affiliate with the gross profit of *all* the customers they send to our business.

Example:

Let's say we own a widget company that grows with affiliates.

- It costs us $4000 in advertising to get an affiliate. CAC = $4000
- Our average affiliate sells $10,000 in widgets per month and stays for 12 months.
    - ($10,000 per month) x (12 months) = $120,000 total sales
- The widgets have 75% gross margins. In other words, they cost 25% of retail price to make.
    - ($120,000 total sales) x (25% cost of goods) = $30,000 total cost of goods
    - ($120,000 total sales) - ($30,000 total cost of goods) = $90,000 in gross profit from all the customers the affiliate brings
- We pay affiliates 40% of the gross profit:
    - ($90,000 gross profit) x (40% payout) = $36,000 to the affiliate as payment.
- Here's the gross profit we have left after cost of goods and payouts:

    - ($120,000 total) - ($30,000 costs) - ($36,000 payouts) = $54,000 leftover

- Let’s find our affiliate LTGP to CAC ratio:
    - ($54,000 gross profit left) / ($4000 to get an affiliate) = 12.5 : 1

…Not too shabby.

If you recall from earlier, we need to be *at least* at 3:1 to have a decent business. Like the example, we want the ratio even higher than that (5:1, 10:1+). Now, if we had these numbers, we’d just do *more*. But, if your actual LTGP : CAC is less than 3, here are the three ways to improve it:

1) Lower CAC: We get affiliates *for less* (by improving our ads, offer, and sales process).

2) Increase LTGP & Decrease CAC: Get more to *activate* (by creating a launch process).

3) Increase LTGP: We make them *worth more* (by improving our integration process).

With affiliates, you now have at least two layers of customers. Your customers, and the people who get you customers. And if you’ve got super-affiliates you add a third, the people who get you the people who get you customers! This adds complexity, but if you can manage it, it’s worth it.

Now that you understand how to use affiliates to advertise, and how to make them more profitable– let's bring it all home.

Conclusion

Like referrals, affiliates aren't an advertising method you can 'do.' They're people who advertise your stuff to benefit you both. You do the core four to get them, and if you want them to love you, then you *treat them like customers*. Because in a lot of ways, *they are*. And if you deliver more value to them than it costs them to get it (especially hidden costs), they'll get you more leads than you can handle.

And like we learned earlier, there are two ways to create a compounding business. You can find more people that never stop buying your stuff *or* you can find more people who never stop selling it for you. Referrals are the former. Affiliates are the ladder.

In theory, once you build an affiliate army, you never need to advertise again. They keep getting you leads month after month. The main reason - it makes sense for them. The way you do business, your leadership, and the value of your product all come into play. You are only as good as the goodwill you have with your affiliate partners. Arrange it right and you should both be better off from the relationship. They should be able to spend more to acquire customers through a more compelling offer, higher profits, or both. And, in return, you get more engaged leads. So why doesn't everyone do this? They don't know it's possible. They don't know how. Or, they don't want to. Simple as that. Hopefully we solved all three of those issues at once.

Remember, *advertising always works*, it's only a matter of efficiency. So once you start, keep going until it works.

Action Steps

Advertise your affiliate offer until you get ten to twenty affiliates. Get results with those affiliates and use their feedback to work the kinks out of your offer, terms, launches, and integration strategy. Then, scale like crazy by turning their results into your first batch of affiliate lead magnets.

FREE GIFT: Build Your Affiliate Army BONUS

As you can see - I am a big fan of building affiliate programs when they're done right. To help you 'do it right' on your first try, I made an in depth video training for you. You can get it free at: **Acquisition.com/training/leads**. And as always, you can also scan the QR code below if you hate typing.

SCAN ME

Section IV Conclusion: Get Lead Getters

"The last skill you ever need to learn is how to get other people to do everything you need for you."

We do the core four to get engaged leads: warm outreach, post content, cold outreach, and paid ads. And we use them to get two types of engaged leads: the ones that become customers, or the ones we turn into lead getters. Lead getters come in four flavors: Referrers, Employees, Agencies, and Affiliates. Each have key strengths:

- Customer referrals have the biggest potential for low-cost exponential growth.
- Employees have your *direct* influence and run your business on your behalf.
- Agencies teach skills you keep forever and can transfer to your team.
- Affiliates, once you get them going, can operate entirely on their own.

You can either do the advertising or other people can. And there are more "other people" than there are of you. *You get more leads for the work you do when you have help.* So if you want to get a ton of leads, this is the way.

Maybe your head is officially spinning. Now that you understand these advertising methods, you see leads everywhere you look. *We*

have so many ways to grow! And you'd be right. But...you don't know which one to focus on.

Any or all of these lead methods can underpin a successful lead-getting strategy, and I put them in the order of what happens naturally. If you start on your own, you tend to get your first referrals before you start building a big team. And when you start building a big team (employees) you'll probably start looking for professional help (agencies). And only when a business owner has a handle on managing people inside of their business do they tend to get the guts to try and manage people outside their business (affiliates). In any case, you have to forget the idea that everything is going to work out the first time.

If you think you're going to become a millionaire the first year you go out on your own, you're probably wrong. It's very unlikely. And an obsession with "getting rich quick" will likely ensure it never happens. People try shortcuts for a decade until they realize they should have picked a strategy and stuck with it for a decade. If you do that, success is inevitable. Once you find something that works for you–*stick to what you pick.* Those are the best words of encouragement I can offer. The longer you play the game, the better you will get, and the more success you will have. *Just don't quit or switch methods after seeing a few losses*. It's normal to lose in the beginning. In fact, I *expect* to crack a new lead source in three to six months (and this isn't my first rodeo). So if your expectations are *faster* than that, do you think your expectations are reasonable?

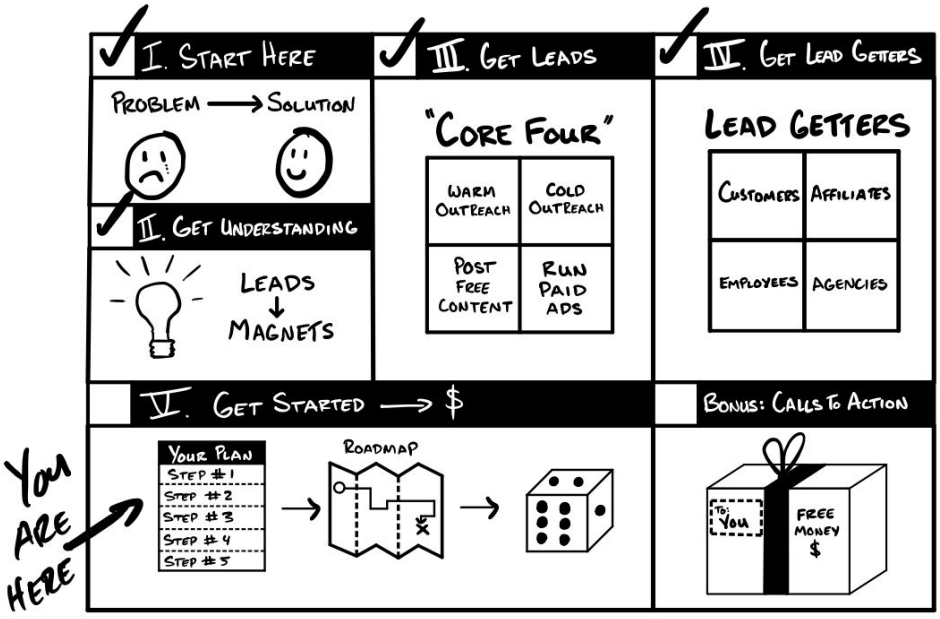
We covered a lot here. This section was how you scale: you get other people to help you. They are the missing link. Each has their own strategy and best practices. Use what applies to you now.

This leads us to Section V: Get Started. I want to put everything together for you in a nice bow so you know *exactly what to do next*. Together, we'll eliminate leads as the bottleneck in your business forever. Onwards!

Section V: Get Started

"It's not the end. It's not even the beginning of the end. But it is, perhaps, the end of the beginning"

-Winston Churchill



June 2017. Three months after we lost it all, again, and switched Gym Launch to licensing.

"Hey Leila, what do you make of this?" I asked.

"What's up?"

I gave her my phone.

Mr. and Mrs. Hormozi, we cordially invite you to a private event for entrepreneurs earning eight figures and up. Let me know if you're interested.

"Seems cool" she said. "...but we're not making eight figures?"

I pretended not to hear her. "You wanna go?"

"Sure. Is it included in our mentorship dues?"

"One sec, I'll ask"

An email response came a moment later:

No, this is an additional fee. It is a two-day event limited to ten people at a private resort.

"Nope" I said.

"Huh. Can we afford to go?" *Ouch.*

"Who cares? We can't afford not to go."

10 days, a long flight, and a short drive later…

We made it. The "cool kids" meet up. I had one goal, to add as much value as I could to everyone else in the room. But the moment I walked in, I knew I was out of my league. I recognized almost everyone there. They were famous in the advertising world. They all spoke at huge events. Signed autographs. Made millions.

Then, there was me. I wasn't an eight-figure entrepreneur. I was a kid from Baltimore just paying to breathe everyone else's air.

Once everyone settled we had a short housekeeping discussion and then got down to business. This way of doing things was a sharp contrast to the big stages, booming sound systems, flashing lights, and other theatrics that "real" events have.

The first speaker was ready to go. He had a 'man bun' and loose yoga-ish clothing. He looked like a hippie. But then, he opened with how he was *only* doing $3,000,000 per month…*is this for real!?* I felt like a fraud. The numbers he shared with such a casual attitude blew my mind. *How is this possible?*

He continued on with his talk using all sorts of business, advertising, and tech jargon. He pointed to dizzying charts and graphs. I came here to learn more about advertising but felt dumber by the second. I recognized enough of the words to realize I knew nothing useful about them. His presentation went *way* over my head. I started sweating bullets. Leila grabbed my hand. We both felt stressed and out of our depths.

He finished and finally opened up for Q&A. *Excellent*. But the questions were still at the same level as his presentation. *Nope, I'm still doomed.* Then, an awkward voice cracked."So uhh… What courses are you taking to learn all this stuff?" *Now we're talking.* I leaned in. Pen in hand. His answer changed my life:

"At this point, I don't expect to learn anything new from courses. I have to learn by doing. And I 'do' by spending a percentage of my revenue to test new campaigns, new channels, new pages, or just plain crazy ideas. And I learn something every time I test, so the money is well spent. Whenever one of these tests is a winner, and *some* are, it's a big deal. I learn something amazing and make far

more money than I spent. It raises the bar for my business and, more importantly, myself. So whether it's 1%, 5%, or 10%, set *some percentage of your advertising budget* aside to try new things without expecting a return. Consider it an investment in your education."

I felt chills go through me like some judgment demon left my body. He gave me permission to fail.

None of this is magic. If he can do this, so can I.

***

The next week, I *tripled* my advertising budget. Yes, it was a bit aggressive. But my mindset had completely changed. I'd either make more, or get better:

Our business went from $400,000 in June to $780,000 in July. From there, my cost to get customers went up too high. So I tried new audiences. Most failed. Then, a hit. Boom, we cruised past $1M to $1.2M to $1.5M per month.

Then, I realized we didn't follow up with our engaged leads… at all. We tested email. Didn't work. We tested phone calls. Nothin'. Then I tried text blasts. Wham, we zoomed to $1.8M the next month.

From there, we tested paid ads like crazy. We made way more of them *and* put more focus on their production value. Boom. We cruised past $2.5M per month.

Then, we launched our affiliate program and stacked another $1.5M per month *on top*. That took us past $4m per month. Years later, our portfolio now does more than $16,000,000 per month.

So test until you find something that works. Take massive action. Stay focused. Double down on it until it breaks. Then test until you find the next thing that works, and double down on *that.* Taking these leaps are the only way to unlock the business you want and the life that comes with it. And maybe, slay your judgment demon too.

So from now on…

You either win or you learn.

The End of the Beginning

Your speed to making big money depends on how fast you learn the skills to making big money. Getting more engaged leads with the skills of advertising, is a great start to making more money. In fact, if you make *any* amount of money, more engaged leads will make you even more. And, sadly, *those skills take time to learn.* So I share my experiences to shave *years* off your time. To shorten the gap between no money and mo' money. It's time to make it happen.

Outline Of The "Get Started" Section

This final section has three chapters. They are short and sweet, just like our time together.

In the first chapter, Advertising in real life– I'll lay out my one big advertising rule. Then, I'll give you my personal one-page advertising plan you can use to get more engaged leads, *today*.

In the next chapter, Putting It all Together– I'll lay out the roadmap to scale from your first few leads all the way to your *$100M Leads* machine.

Finally, A Decade In Page–I'll distill everything we learned into bullets to show how far we've come in our time together. Then, to send you on your way, I'll share a parable that has gotten me through even my hardest times.

Advertising in Real Life: Open To Goal

If some is good, more is better.



June 2014.

When I launched my first gym, I used the same paid ads I used at Sam's gym from way back. And they worked, for a while. Over time, the costs started creeping up. I got less leads for the same money. But, I still needed more customers. I wasn't sure what to do.

I talked to a mentor who ran a chain of tanning salons for some advice. He said "before all this fancy internet stuff, flyers crushed for us, you should try those." So, try them we did. We printed 300. Over the next day, we put them on cars in areas close to the gym. A day passed. Nothing. The next day, the phone rang. *Finally!*

"Hey, you put a flyer on my car–" My heart raced. *It worked!*

“–Yes, yes I did! How can I–?” But before I could finish, he interrupted right back.

“–yea, you scratched my Mercedes…” *Crap.* “...you’re gonna need to pay for–” I panicked and hung up the phone. He called back. I let it ring. He never called again. That was the only call I got from the flyers. No leads. Nothing.

Universe: 1. Alex: 0.

A few weeks later

I sat in the lobby of my gym *waiting for customers to fall into my lap.* Feeling bored, and a bit frustrated, I called the mentor with the ‘bright idea’ to put out flyers.

“Hey Alex - how's it going?”

“Uh, not too good.”

“Why what's up?”

“We put out the flyers like you said.”

“Oh yea, how many leads you get from ‘em?”

“None.”

“Hmm…that’s odd.” He paused. “What was your test size?”

“What do you mean?”

“You know, how many did you put out?”

“I put out 300.” I said in a resentful tone.

“Shoot, you only put out 300? Hard to know if anything works with such a small number…I test with 5000. Then when we find a winner, we put out 5000 per day, every day, for a month…”

Five thousand? He *tests* with almost seventeen times more than my entire “campaign.” And he does it in a single day. I felt like the person who says exercise doesn’t work after going to the gym one time. And I *hate* that person.

“...I mean what kind of response did you think you were gonna get?” he chuckled. “If we get half a percent, that’s decent. If we get one percent, that’s a winner. With 300 flyers, half a percent would be like one and a half people. That makes it pretty hard to know if you got a winner or not.”

I had nothing to say. He was right. *I felt like a fool*.

I doubt he remembers the call. But, it stuck with me. I promised myself I would *never* let effort be the reason *anything* didn't work for me. It could be something else. The offer. The copy. The image. The targeting. The media. The platform. The position of the moon. But *not. my. effort.*

Those 300 measly flyers taught me a mondo lesson. I did the right stuff, but I didn't do it enough times. I lacked what can be described in a single word: volume.

Neil Strauss once said “Success comes down to doing the obvious thing for an uncommonly long period of time without convincing yourself you’re smarter than you are.” The right action in the wrong amount still fails. Most people, myself included, *stop too soon*. We don’t do *enough.*

Most people dramatically underestimate the volume it takes to make advertising work. They're not doing half as much or a third as much as is required. In fact, they're doing dramatically less. I was doing 1/1500th the level of effort required to make a flyer campaign work–*I just didn't know it.*

I hear this all the time. “Alex, I reached out to 100 people over the last six weeks, I only got one customer, it doesn’t work.” Response: “You did 1/42 of the amount of work required. It was 100 per day, not 100 over time.”

Most people do not get that advertising is an inputs and outputs game. To them, outputs appear out of their control. Their low effort inputs get them their low and unreliable output of engaged leads. We’re ending that now. You input advertising effort. Your output is engaged leads. Period. Now, we are crystal clear on the stuff you do (the core four). And like we learned when maximizing the core four–You just gotta put in *more* and do it *better* than before. We started with the rule of 100–but when you make that the norm, you’re ready to take it to the next level with…

Rule of 100 on Steroids–Open To Goal

A very successful gym chain allowed their sales managers to make their own schedules. But there was a catch–they had to sign up five new members per day *no matter what.* So if they did it by lunch, they could cut out early. But if it took 18 hours, so be it. They called this type of work schedule ‘open-to-goal’.

I’ve found that elite entrepreneurs and salespeople across industries do some variation of ‘open to goal’. This is because it’s like the rule of 100… but for the big kids. You don’t just commit to doing something a specific number of times… you commit to the work until you hit a specific number of outcomes–no matter what. So it means you unlock a whole new level of effort you never even realized you had. It might mean only doing something fifty times to get the desired result. Or, like the flyers, five thousand times, every day, for *years*.

If you want to take your advertising to the next level - work until the job is done. Give up the idea of ‘doing your best.’ Instead, do what is required. And sometimes that means your best just needs to get better.

How I Make Open To Goal Work For Myself



If I had to pick the three habits that best served me in my life - they would be:

1) Waking up early (4-5 am)–Pro tip, this actually means *going to bed early*…

2) Getting right to work–No rituals. No routines. I drink coffee and get to work.

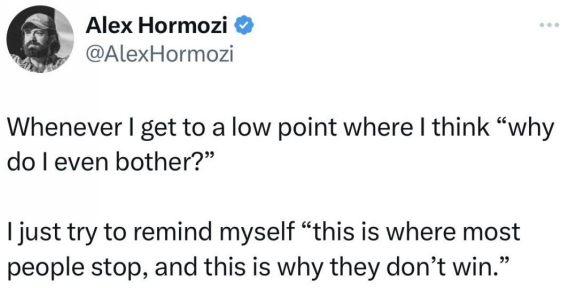
3) No meetings until noon–No interruptions. Nothing. Fully focused work time.

To be clear, I don't think there's any magic to waking up early. But I do think there's magic in a long stretch of uninterrupted work immediately after a long stretch uninterrupted sleep. After all, it's the most productive hours in a row of the most productive work I can do… with nothing getting in my way… Every. Single. Day. How can you lose?

And since I have a good idea of what I can do in a day, I set my daily goal accordingly. Then, only after my dedicated block of work–do I go put out fires, talk to humans, and deal with the other day to day stuff.

Waking up early, getting right to work, and working 8 hours straight has been my highest ROI "habit stack." By a longshot. If you choose to try it, I hope it serves you as well as it has served me (or better). And for those of you thinking "Wait! That's more than twelve hours of work a day!" You're right. I'm playing to win. But if it overwhelms you at first, I get it. Just throttle it back a few hours and then work your way up. Some days it's tough, but I always like to remind myself:

“Do more than they do, and you will have more than they have.”



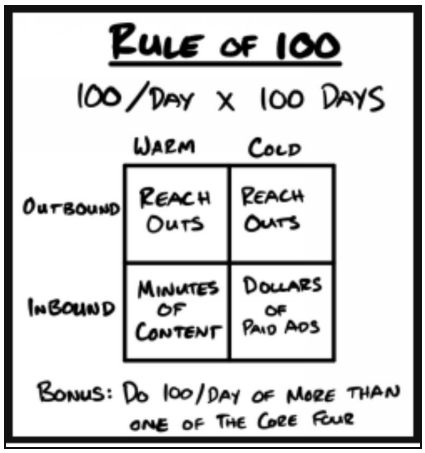
Since my job is usually to “get more customers” in most of my companies, advertising is what I focus on. This book, for example, was written exclusively in that open to goal time block. Why? Because it’s an asset that can bring me more companies.

So, if you’re gonna follow my high ROI habit stack, then you’re gonna want a clear action plan for that time. This is the simplest advertising plan I can give you.

One Page Advertising Checklist

Step #1: Pick The Type Of Engaged Lead To Get: Customers, Affiliates, Employees, or Agencies

Step #2: Pick Rule of 100 or Open To Goal. Commit To Your Daily Advertising Actions



Step #3: Fill Out The Advertising Checklist For That Daily Action

	Advertising Daily Checklist
Who:	You
What:	Your Offer or Lead Magnet
Where:	Platform
To Whom:	Audience/List
When:	First 8 Hours
Why:	Get X Engaged Leads or Lead Getters
How:	Warm/Cold Outreach, Content, Ads
How Much:	100 or Until you hit your goal
How Many:	# of Follow Ups/ Times Retargeted
How Long:	100 Days or Until you hit your goal

Step #4: Do this daily action until you have enough money to afford paying someone else to do it.

Step #5: When you do, go back to step 1. Make employees your new target lead type. And repeat steps 1-4 until you have the help you need. Then, scale again.

Conclusion

Lots of pages. So many ideas. We're almost at the end. But, you don't have any more leads. What gives? Answer: Reading doesn't get people interested in the stuff you sell… *advertising does.* If you're not telling anyone about the stuff you sell, then you aren't getting anyone interested in the stuff you sell. Period.

This chapter laid out the plan to advertise in the simplest way I could:

- Work 'open to goal.'
- Structure your day to make open to goal possible.
- Create *and* commit to that goal with the one page advertising checklist.

Many skip planning, or worse, they write a one hundred page plan that never gets used. So skip the atrocious waste of time that is writing pages of baloney. Harness the power of laying out your action steps on a *single page*. It leaves little room for excuses, distractions, and delusions. You either did the stuff or you didn't. You can fill out your one page advertising checklist in about five

minutes. And once the naked truth stares back at you, all you have left is to *do it*.

FREE GIFT: Downloadable Advertising Checklist

You can watch an added training and download this checklist to fill out for yourself at **Acquisition.com/training/leads**. As always, you can also scan the QR code below if you hate typing.



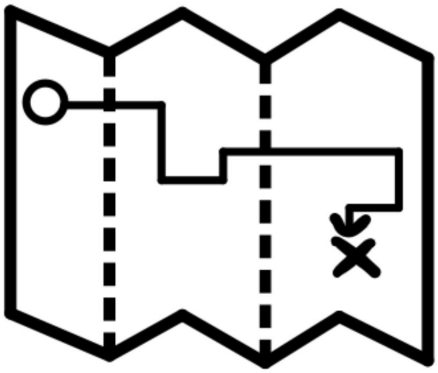
The Roadmap - Putting it All Together

Zero to $100,000,000

"A leader must aim high, see big, judge widely, thus setting himself apart from the ordinary people who debate in narrow confines."

- Charles de Gaulle,

French President During World War II



To get to where you want to go, it pays to know what lies ahead. So in this chapter, I describe the phases you will go through as you scale your advertising. Acquisition.com uses this roadmap to scale our portfolio companies from a few million a year, all the way to $100,000,000+. These levels will help you identify where you are on the advertising totem pole so you know what to do to get to the next level.

Level 1: *Your friends know about the stuff you sell.* To start getting engaged leads, you make one offer, to one avatar, on one platform. The moment you get engaged leads, is the moment you can start making money. For me, this started with reaching out to *everyone* I knew.

Primary Action: Warm outreach.

Level 2: *You consistently let everyone you know about the stuff you sell.* You know the exact inputs to get an engaged lead with your chosen advertising method. And, by scaling those inputs, you get *consistent* customers with it. But the consistent customers come from maximizing your personal work capacity. For me, on top of warm reach outs, I maximized my personal work capacity with paid aids, using a case study as my lead magnet. But looking back, I wish I would have started with posting free content. So I suggest that.

Primary Actions: Do as much warm outreach and post as much content as you can *consistently*.

Level 3: *You get employees to help you do more advertising.* You've maxed your personal advertising inputs, but not the platform. And if you want more engaged leads that can only mean one thing. Doing more. For me, I hired a videographer and a media buyer to take most of the paid ads work off my plate.

Primary Action: You hire people to advertise profitably on your behalf.

Level 4: *Your product is good enough to get consistent referrals.* You continue building goodwill and shoot for getting 25% or more of your customers from referrals. Now, you've set yourself up to ramp your advertising again. But to make that work, you have to get more serious about hiring a team to make it happen.

This is when I realized that my ads were shut off but I was still getting referrals every week. So, I doubled down on referrals. I

built goodwill using customer feedback to update my product every two weeks. I also started a strong referral program with big incentives at the same time.

Primary Actions: Focus on your product until you get consistent referrals then go back to scaling your advertising with a bigger team. This is where most people mess up. They let their product slip and never recover.

Level 5: *You advertise in more places in more ways with more people.* First, you expand to new audiences on your best platform. Then, you make ads with all placements and media types the platform supports. And, after your team can get consistent results, you expand your team again to add: *another platform, lead-getter, or core four activity*.

For me, I hit two birds with one stone. I expanded my paid ads to include potential affiliates. And this paved the way for my affiliate programs.

Primary Action: Advertise profitably using at least two methods on multiple platforms.

Level 6: *You hire killers.* Your executives grow departments specific to an advertising method or platform without you. And you're not looking for potential. You're looking for experienced leaders specializing in exactly what you want. We capped here.

It took me three years to figure out two things. One, that I needed veteran executives with experience suited to my problems. And two, that they needed stronger incentives. But by the time I realized this, I sold those companies. Once I started Acquisition.com I realized the power of expanding the pie to get

more of the right people invested in winning. This is how we crossed $100M+ then $200M+ in portfolio revenue and beyond.

Primary Action: Get battle-hardened executives and department heads to take over new advertising activities and channels.

Pro Tip: Hire Experience, Not Potential.

I tried cold reach outs twice before it worked the third time. The main difference: the person I hired to run it. First, I tried someone external with experience - that failed. Then I tried internally with no experience - that failed. Then finally, I hired internally *with* experience - that worked. Since it's a people heavy, operationally complex machine, the person you hire to manage the team matters a lot. Pick experience. They should know *more* than you do. If you're not learning from them in the interview, you've got the wrong person.

Level 7: I'll come back and edit this chapter once I cross a billion. I promise, I'll send the lessons as soon as I have them. You have my word.

Last Points: I know this looks clean. But it never is. Real business is *messy*. It takes *a lot* to find what audiences, lead magnets, methods, and platforms work best. And you can only find out what works if you try. So you have to try a lot of different things, a lot of different ways, for a long enough time to know for sure.

Nobody can ever know the absolute best thing to do. But I do know this: the more you advertise, the more people find out about the stuff you sell. The more people who know about the stuff you sell, the more people will buy it. This is the key to the *$100M Leads* Machine.

The $100M+ Lead Machine

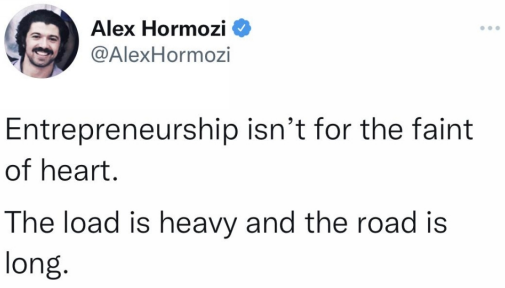


Let's look into your future. Your business makes $100,000,000+ annual revenue. It's great to have a clear picture of what the $100M machine looks like. Let's have a look, shall we? First and foremost, your advertising fires on all cylinders…

- Your media team scales tons of free content, in all media types, on many platforms.
- You regularly make offers to your warm audience to get more customers or affiliates.
- Your ravenous audience makes *anything* you launch *immediately* profitable.
- You have teams running and scaling profitable paid ads across multiple platforms.

- Your cold outreach team gets you more customers.
- You have an affiliate manager launching and integrating all new affiliates.
- You have recruiters *and* recruiting agencies bringing in more lead getters.
- Your product is so good that a third of your customers bring you more customers.
- Your executive team drives all this growth without you.
- And…*<u>you have more engaged leads than you can possibly handle.</u>*

How long does this take? For business owners who know what to do–anywhere from five to ten years. Building something great, even if you know exactly what to do, takes time. And so many like to trumpet "overnight success," but looking behind the curtain tells a different story. It took my wife and I *more than ten years of our best effort*, to cross the first $100M in net worth. So the bigger your goals, the longer your time horizons need to be. You want to play games where if you wait, you win.



FREE GIFT: BONUS TUTORIAL - Scaling from $0 to $100M+

Sometimes it’s useful to hear a narrative of what each stage is like. If you know what comes next, you can start preparing for it today. I recorded a free tutorial where I help you identify where you are at, and what comes next so you can win. You can grab the tutorial free at, you guessed it, **Acquisition.com/training/leads**. As always, you can also scan the QR code below if you hate typing.



A Decade in a Page

"Simplicity is the ultimate sophistication" - Leonardo Da Vinci

We've covered a lot. And I think organizing what we learned into one place helps it sink in. So I made this "back of the napkin" list of what we've covered and why.

1) How to define a lead from this point forward. Now you know what you're after: engaged leads, not just leads.

2) How to turn leads into engaged leads with an offer or lead magnet. And, how to make them.

3) The *Core Four* - the only four ways we can let people know about the stuff we sell.

    a) How to reach out to people who know us: *ask them if they know anybody*

    b) How to post publicly: *hook, retain, reward. Give until they ask.*

    c) How to reach out to strangers: *lists, personalization, big fast value, volume*

    d) How to run paid ads to strangers: *targeting, callouts, What-Who-Whens, CTAs, client financed acquisition*

4) Maximizing the Core Four: *More Better New*

a) What keeps us from doing what I'm currently doing at ten times the volume? Then solving for that.

b) Finding the constraint in our advertising. Then testing until it frees the constraint. Then doing *more* until it gets constrained again.

5) The Four Lead Getters: *Customers, Employees, Agencies, and Affiliates*

a) How to get customers to refer other customers

b) How to get employees to scale your advertising without you

c) How to get an agency to teach you new skills

d) How to get affiliates launched and integrated

6) When advertising in the real world: *The Rule of 100 and Open to Goal*

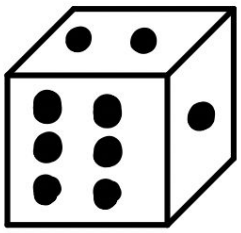
a) The five step one-page advertising plan to get more leads *today*.

7) The seven levels of advertisers and the *$100M leads* machine in action.

As I promised in the beginning, the result of these bullets is more, better, cheaper, reliable engaged leads. I hope this book provides you utility. I hope as a result of reading this you know how to get more leads than you currently are. And I hope I unmasked the mystery behind lead getting.

Also, since you are one of the few who actually finish what you start, I want to leave you with a parting gift: a fable that has gotten me through my hardest times.

The Many Sided Die



Imagine you and a friend play a dice-rolling game. You are each given one die. One of the die has 20 sides. The other has 200. On each die, only one side is green. And the rest, are red.

The point of the game is simple: *Roll green as many times as you can.*

The rules of the game are as follows:

- *You can't see how many sides you have. You can only see if you roll red or green.*
- *If you roll green–One of your red sides turns green, and you get to roll again.*

- *If you roll red–Nothing happens, and you get to roll again.*

- *The game ends when you stop rolling. And if you stop rolling, you lose.*

What do you do?

You roll. When you roll red, you pick up the die and roll again. When others roll green, you pick up your die and roll again. When you roll green, you pick up the die and roll again. You keep telling yourself one thing. “The more I roll, the more greens I get.” At first, you roll green once in a while. But as more red sides turn green, the greens happen more. With enough rolls, hitting green becomes the rule rather than the exception.

What does your friend do?

He rolls a few times and hits red each time. He sees you roll a green and complains that you *must* have a die with fewer sides. He reasons, it’s the *only* way you could have rolled green before him. And although you did, you also rolled many more times. So which is it?

In either case, he rolls a few more times in frustration and hits a green. But then he complains about how long it took. He’s spent more time watching you and complaining than actually playing. Meanwhile, you’ve hit your green streak. *It’s so much easier for you*, he tells himself. *You get greens every time! This game is rigged, so what’s the point?* He quits.

***

So who got the die with 20 sides? Who got the die with 200 sides? If you get the game then you see, once you roll enough times, ***the die you're given doesn't matter.***

- Die with fewer sides might roll green sooner.
- Die with more sides might roll green later.
- But, a die with a green side *always* has a chance of rolling green… *if you roll it.*
- Every die hits its green streak when rolled enough times.

All of us get a many-sided die. And looking at the other players, you have no idea if it's their 100th roll or their 100,000th. You don't know how "good" other players are when they start, you can only see how well they do *now*. But, if you understand the game, you also know *it doesn't matter.*

A few begin playing early. Others begin much later. The rest sit on the sidelines complaining about how lucky the players are. I guess so, but they're luckier because they play. And when they hit red, which they do, they didn't quit. They rolled again.

Learning to advertise is a lot like the game of the many sided die. You do not know if it will work until you try. And when you start advertising, you will probably hit red on your first rolls. But if you try enough times *you will hit green.* And *when* it works, you have a better chance of getting it to work *again.* The more you do it, the easier it gets. You begin to understand the game. No matter how many players there are or the number of sides on the die you're given, you start to see the only two guarantees:

1) The more times you roll, the better you get.

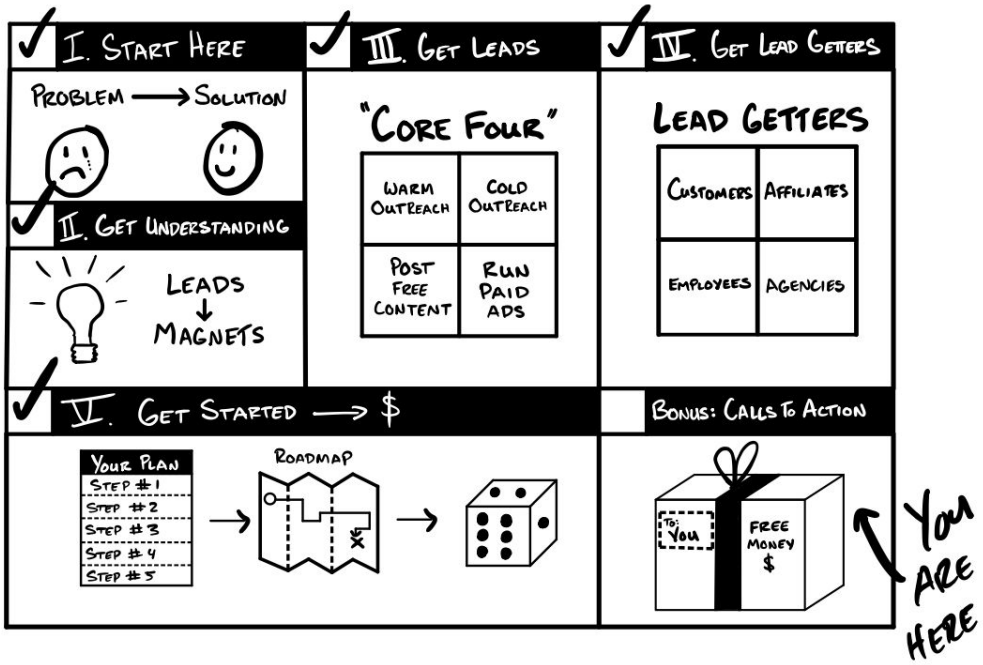
2) If you quit, you lose

So here’s my final promise:

You cannot lose if you do not quit.

Free Goodies: Calls To Action

If it's free, it's for me!



I'm gonna give you a bunch of free stuff in a second - so stay tuned.

Dr. Kashey (my editor) and I spent over 3,500 hours on this book. We wrote 650+ pages and 19 drafts with varying frames, themes, and points of focus. But ultimately, the changes left only the most distilled 'need to knows' inside. We went through 127 pages of hand drawn models to carve out the few that made it into the book. All that to say - I hope this work results in you growing the business of your dreams.

When I look back on my life these books will be among the things I am most proud of. I wouldn't be able to write as fervently if I didn't think people would read it. And as much as I strive to be the man who would work as hard if nobody cared, I am not there yet. Your support and positivity make a difference for me. So thank you from the bottom of my heart for allowing me to do the work I find meaningful. I am forever grateful.

If you are new to #mozination, welcome. We believe in big ambitions, and matching our ambitions with giving and patience. And I have a personal goal in that spirit of giving: *to die with nothing left to give*.

So if you're still with me, thank you. I want to provide some more goodies.

1) **If you're struggling to figure out <u>who</u> to sell to**, I released a chapter called "Your First Avatar" between this book and the last. Think of it like a 'single' from a music album. You can get it for free at **Acquisition.com/avatar.** Just pop in your email and we'll send it over.

2) **If you're struggling to figure out <u>what</u> to sell**, you can go to Amazon or wherever you buy books and search "Alex Hormozi" and $100M Offers. It should get you on the right path. The digital version is available for sale at the cheapest price that the platform would let me make it and still list it as a book.

3) **If you're struggling with getting people to buy, my next book will be on persuasion and sales.** It may or may not be out by the time you read this. It'll either be called $100M Sales *or* Persuasion. I haven't decided yet. But if you search my name you can look for any other books that may be out by the time

you read this.

4) **If you want a job at Acquisition.com** or in one of our portfolio companies - we love hiring from #mozination. We love doing this because we've found our best returns investing in great people. Go to **Acquisition.com/careers/open-jobs**, and you can see all the job openings across all our companies and our portfolio.

5) **If your company is over $1M in EBITDA (profit)**, we'd love to invest in your business to help you scale. It brings so much pleasure to know our portfolio companies have grown much bigger and faster than mine *because they avoided the mistakes I made*. If you want us to take a look under the hood and see if we can help go to **Acquisition.com**. Sending your info is fast and easy.

6) To get the free book downloads and video trainings that come with this book, go to Acquisition.com/training/leads.

7) **If you like listening to podcasts and want to hear more**, my podcast at the time of this writing is top 5 in entrepreneurship and top 15 in business in the US. You can get there by searching "Alex Hormozi" wherever you listen. Or, by going to **Acquisition.com/podcast**. I share useful and interesting stories, valuable lessons, and the essential mental models I rely on every day.

8) **If you like to watch videos**, we put a lot of resources into our free training, available for everyone. We intend on making it better than any paid stuff out there, and let you decide if we succeeded. You can find our videos on YouTube or wherever you watch videos by searching "Alex Hormozi".

9) **And if you like short form videos**, check out the bite sized content we pump out on the daily at **Acquisition.com/media**. You'll see all the places we post and you can pick the ones you like the most.

And last, thank you again. Please be one of those givers and **share this with other entrepreneurs by leaving a review**. It would mean the world to me. I'm sending you business building vibes from my desk. I spend a lot of time there, so it's a lot of vibes. May your desire be greater than your obstacles.

Hope to meet you and your company soon. Ad astra.



Alex Hormozi, Founder, Acquisition.com